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Group Financial Highlights

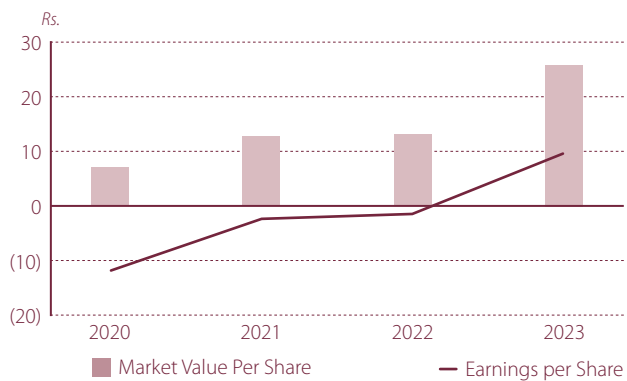
Financial Performance - For the year ended 31st March,		2023	2022	Change %
Revenue - Consolidated	Rs. million	77,081	51,556	50
Gross Profit	Rs. million	22,598	10,213	121
Share of Results of Associates (Net of Tax)	Rs. million	(147.2)	(116.1)	(27)
Profit before Interest & Tax (EBIT)	Rs. million	13,121	3,788	246
Profit/(Loss) before Tax	Rs. million	6,846	404	1,595
Profit/(Loss) for the Year	Rs. million	4,533	(148)	3,163
Profit/(Loss) Attributable to-				
Owners of the Company	Rs. million	2,346	(351)	768
Non Controlling Interest	Rs. million	2,186	203	977

Financial Position - As at 31st March,		2023	2022	Change %
Total Assets	Rs. million	63,807	55,779	14
Total Shareholders' Funds	Rs. million	5,779	3,913	48
Non Controlling Interest	Rs. million	5,745	4,645	24
Total Equity	Rs. million	11,524	8,558	35
Total Debt	Rs. million	27,415	25,692	7
Total Capital Employed	Rs. million	38,939	34,250	14
Net Assets per Share	Rs.	24.08	16.31	48

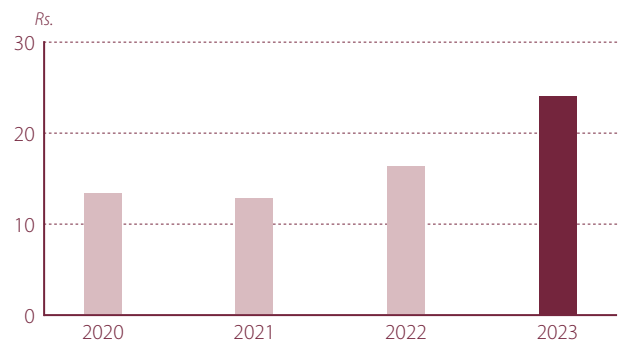
Market/Shareholder Information - As at 31st March,		2023	2022	Change %
Number of Shares in Issue	million	240	240	-
Market Price of Share	Rs.	26.10	13.20	98
Market Capitalisation	Rs. million	6,264	3,168	98
Price Earnings Ratio (PER)	No. of times	3	-	100

Key Financial Ratios - As at 31st March,		2023	2022	Change %
Gross Profit Margin	%	29.32	19.81	48
EBIT Margin	%	17.02	7.35	132
Interest Cover	No. of times	2.09	1.12	87
Net Profit / (Loss) Margin	%	5.88	(0.29)	2,128
Earnings / (Loss) per Share	Rs.	9.78	(1.48)	761
Return on Capital Employed	%	33.69	11.06	205
Return on Equity	%	39.33	(1.73)	2,374
Debt Ratio	%	81.94	84.66	(3)
Total Assets Turnover	No. of times	0.83	1.08	(23)
Current Ratio	No. of times	0.48	0.43	11
Dividend payout Ratio	No. of times	-	-	-
Dividend Per Share	Rs.	-	-	-

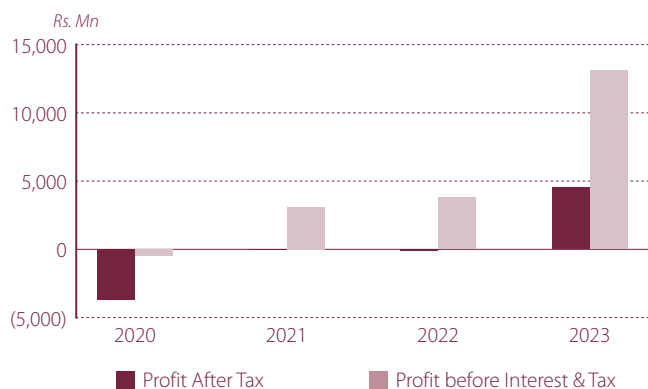
Market Value Vs. Earnings per Share



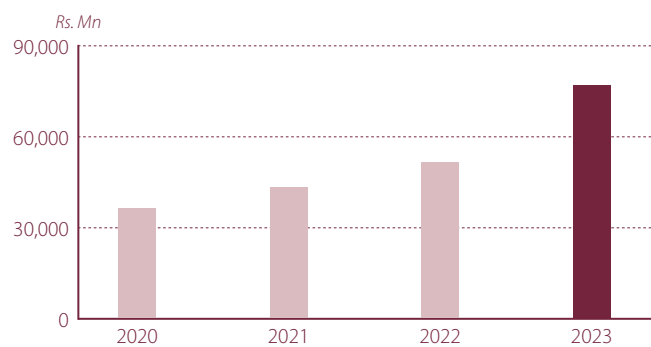
Net Assets Per Share



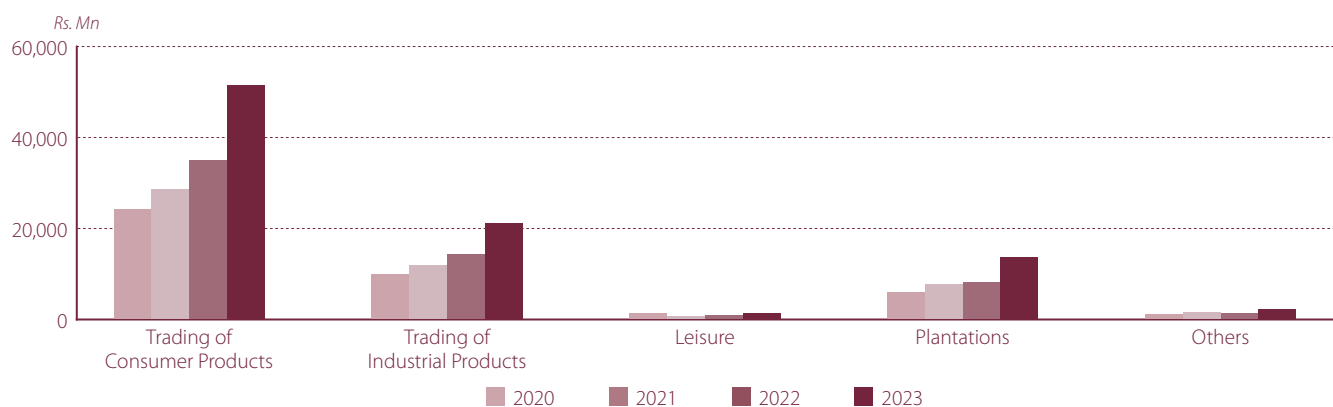
Profit Before Interest & Tax Vs. Profit After Tax



Revenue



Segment Contribution in the Group Revenue - (Gross)



Chairman's Review

On behalf of the Board of Directors, it gives me great pleasure to present to you the Annual Report and the Audited Financial Statements for the year ended 31st March 2023.

The year under review, was the most challenging year for the Sri Lankan economy and the population since gaining independence. The country faced a severe shortage of fuel, essential food items, medicine and power outages arising from the scarcity of foreign currency. The foreign exchange crisis escalated the inflation to unbearable levels peaking at 70% in a short time span and the economic pressure led to social and political instability in the country.

To address the crisis, the Government of Sri Lanka along with the Central Bank introduced strict policy measures, resorted to sky-high policy interest rates and steep tax hikes which drastically decreased the consumer purchasing power compelling businesses to scale down due to the increased finance cost.

The economy gradually recovered in the second half of the year 2022/23 by securing the assistance of the International Monetary Fund (IMF) program under stringent conditions. The shortage of essential items eased out by the end of the financial year with further improvements expected throughout 2023. The interest rates and inflation are expected to reduce further to single digits in the forthcoming financial year.

Despite the challenges, our Group achieved a turnover of Rs. 77 billion during the year under review compared to a turnover of Rs. 51.5 billion in the previous year. The Group concluded the year with a net profit of Rs. 4.5 billion compared to the net loss of Rs. 148 million reported in the previous year. The Company recorded a turnover of Rs. 108.8 million and a Profit of Rs. 196.5 million for the reporting year.

The Consumer product sector performed extremely well during the year. The revenue of the sector grew by 46% compared to last year. Darley Butler & Company Ltd and EB Creasy & Co. PLC have contributed significantly towards this improvement.

The Industrial Products Sector revenue increased by 41% and the profits of this Sector increased by 302% compared to previous year. The increase was mainly due to the improvement in the performance of Lankem Ceylon PLC, CW Mackie PLC and Ceylon Tapes (Pvt) Ltd. Further, the packaging companies of the sector have also performed extremely well and contributed positively to profitability of the sector despite substantial material-related impediments and working capital concerns.

The Leisure Sector revenue has increased by 77% demonstrating resilience and adaptability in a challenging economic environment. Despite the war in Ukraine, the winter season showed an increase in Russian travellers which accounted for 28% of the country's arrivals and the industry very much proactively captured the market early. However, the increased operational costs and the shrinking margins as well as increase of finance expenses resulted in an increase in the loss of the sector for the year under review.

The Plantation Sector revenue has Increased by 70% and the profit of the said Sector has increased by 451% The increase was mainly

due to the performance of the group's plantation companies Agarapatana Plantations Limited and Kotagala Plantations PLC.

The revenue of the Others Sector of the Group, consisting mainly of the Parent Company, Investment Companies, travel companies and the power project collectively has increased by 73% during the year under review whilst the combined loss has increased by 26%.

The Group is looking forward to the year ahead expecting internal and external stability. Further, it is encouraging that the Group has continued to improve its financial resilience over the past few years, despite persistent unfavourable macro environmental conditions. The expansion projects of different Sectors of the Group which had to be postponed due to unavoidable circumstances arising from the economic crisis are expected to be revived. Additionally, expanding and diversification of product portfolios, accessing untapped market segments and industries, and development of infrastructure will be initiated by the Group with the positive outlook in the upcoming financial year.

In view of the results achieved this year, the Board of Directors are pleased to propose a dividend of Rs. 0.25 per share.

It is with profound regret that we record the demise of Mr. A. Rajaratnam and Mr. R. Seevaratnam who served on the Board of the Company and note with gratitude and appreciation the tremendous contribution made by these gentlemen towards the growth of the Company and the Group as a whole.

Mr. A. Rajaratnam was associated with the CFLB Group for over four decades. At the time of his initial involvement with the Company, its income was derived solely from the rent of the Company premises. Over the years in which he led the Company, CFLB diversified and grew to be one of the largest conglomerates in the island, with interests in the real estate, FMCG, chemicals, plantation, hospitality, and automobile sectors. He was appointed to the Board of Directors in 1987 and served as Chairman from 2011 until he relinquished such position in June 2022 whilst continuing to serve on the Board until his demise. The Group will miss his wise counsel, judgement and leadership.

Mr. R. Seevaratnam served on the Board for over 13 years until his passing in January 2023. We shall deeply miss his wise counsel and guidance.

In conclusion, I wish to extend my sincere appreciation to my colleagues on the Board for their invaluable advice and guidance in determining the strategic direction of the Group. I am humbled by the loyalty of our treasured employees throughout the Group, customers, many business partners and our valued shareholders for their trust and confidence as we forge ahead in our endeavours.

S.D.R. Arudpragasam
Chairman

01st September, 2023

Directors' Profiles

S.D.R. Arudpragasam - Chairman

FCMA (U.K.)

Mr. S.D.R. Arudpragasam whilst being associated with The Colombo Fort Land & Building Group of companies since 1982 joined the Board in the year 2000, was appointed Deputy Chairman in November 2011 and as Chairman on 1st July 2022. He serves as Chairman of several subsidiaries of The Colombo Fort Land & Building PLC including C M Holdings PLC and Lankem Ceylon PLC. He also functions as Chairman/ Managing Director of E.B. Creasy & Company PLC, in addition to serving on the Boards of other companies in The Colombo Fort Land & Building Group.

Mr. Arudpragasam is a Fellow of the Chartered Institute of Management Accountants (UK).

C.P.R. Perera – Deputy Chairman

Mr. C.P.R. Perera was appointed to the Board in May 2013 and was appointed Deputy Chairman with effect from 1st July 2022. He serves on the Boards of several subsidiaries of the CFLB Group and also holds directorships in other private and public companies. He retired as Chairman of Forbes & Walker Ltd. and its subsidiary companies in June 2005 after almost 44 years of service. He is a past Chairman of the Sri Lanka Tea Board, Sri Lanka Insurance Corporation, PERC and Bank of Ceylon. Mr. Perera having held the Office of Chairman of Ceylon Tea Brokers PLC until 1st April 2022 continues to serve as a Non-Executive Director of the said Company. Mr. Perera has served as a Committee Member of the Ceylon Chamber of Commerce, The Planters Association of Ceylon, and on the Committee of Management of the Ceylon Planters Provident Society.

Anushman Rajaratnam – Group Managing Director

B.Sc (Hons.), CPA, MBA

Mr. Anushman Rajaratnam joined the Board in November 2011 and functions in the capacity of Group Managing Director of The Colombo Fort Land & Building PLC since January 2017. In addition, he serves on the Boards of several subsidiary companies of the CFLB Group. Prior to joining the CFLB Group, he worked overseas for a leading global Accountancy Firm. He holds a Bachelor of Science degree in Economics from the University of Surrey, UK, CPA Australia and MBA from the Massachusetts Institute of Technology, USA.

A.M. de S. Jayaratne - Director

B.Sc. (Econ.), FCA (Eng. and Wales), FCA (ICASL)

Mr. A.M. de S. Jayaratne joined the Board in 2005. He was a former Chairman of Forbes & Walker Limited, Colombo Stock Exchange, Ceylon Chamber of Commerce and The Finance Commission. He also served as Sri Lanka's High Commissioner in Singapore. Mr. Jayaratne is a Director of several listed and unlisted Companies. He holds a Bachelor of Science degree in Economics and is a Fellow of the Institute of Chartered Accountants of England and Wales and Sri Lanka.

P.M.A. Sirimane - Director

FCA, MBA

Mr. P.M.A. Sirimane was appointed to the Board in May 2017 and currently serves in the capacity of an Independent Non-Executive Director. He is a Fellow of the Institute of Chartered Accountants of Sri Lanka and also holds a Master's in Business Administration from the University of Swinburne, Victoria, Australia.

Mr. Sirimane also serves on the Boards of several subsidiary companies in the CFLB Group. Amongst other senior positions he has functioned as Managing Director/CEO of Mercantile Leasing Ltd., Group Finance Director of United Tractor & Equipment Ltd., Chief Finance Officer of Sri Lanka Telecom Ltd., and Director of SLT Hong Kong Ltd. He has served as a Member of several Committees of the Institute of Chartered Accountants of Sri Lanka and was an ex-officio member of the International Leasing Association.

Sanjeev Rajaratnam – Director

B.Sc., CA

Mr. Sanjeev Rajaratnam was appointed to the Board in May 2017. He holds a Bachelor of Science Degree in Business Administration from Boston College, U.S.A. and is a member of the Institute of Chartered Accountants in Australia. He was appointed Joint Managing Director of E.B. Creasy & Company PLC in April 2018 and holds other Directorships in The Colombo Fort Land & Building Group.

A.R. Rasiah - Director

B.Sc. (Cey.), FCA

Mr. A. R. Rasiah was appointed to the Board with effect from 8th June 2023. He functions as a Non-Executive Director of the E. B. Creasy Group of Companies, and on some of the Boards of the Hotels Sector in The Colombo Fort Land & Building Group.

Mr. Rasiah is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and finalist of the Chartered Institute of Management Accountants (UK). He holds a Bachelor of Science Degree from the University of Ceylon.

Mr. A.R. Rasiah's illustrious career both in finance and commerce spans over forty years. He started his career with Ernst and Young and later served at Mercantile Group of Companies and Almulla Group of Companies, Kuwait. Finally, he joined Nestle Lanka PLC as Director Finance in 1994 and was with the Group until his retirement in 2005. He was formerly Chairman of Atlas Axillia (Pvt) Ltd., Chairman of the Sri Lanka Institute of Directors and Senior Director of Nations Trust Bank PLC. Currently Mr. Rasiah functions as the Chairman of Hela Apparel Holdings PLC, Alternate to Chairman of Gestetner of Ceylon PLC, and as a Director of Fintek Managed Solutions (Pvt) Ltd, Clindata Lanka (Pvt) Ltd, Sunshine Tea Co (Pvt) Ltd and Watawala Plantations PLC. He is also a keen sportsman who represented Sri Lanka at Table Tennis.

Management Discussion and Analysis

Company Overview

The Colombo Fort Land & Building Company PLC formally known as The Colombo Fort Land & Building Company Limited, a pioneer of commercial property development in (the then) Ceylon is currently a diversified conglomerate with diverse interests in real estate, investment, chemical and paint, distribution, manufacturing, food processing, motors, hotels and plantations. The Company was incorporated on 30th April 1895 for the purpose of acquiring the premises known as Leyden Bastian and to develop the said site to meet the burgeoning demand for high quality office accommodation during that time.

The company through organic growth as well as strategic acquisitions currently operates as a dynamic conglomerate and now looks forward with vigour and confidence to meet the emerging challenges.

Macro-economic Factors

In the year 2022, the Sri Lankan economy grew at the rate of -7.8% and a recovery was observed in all the sectors from the COVID-19 Pandemic. However, the core inflation (National Consumer Price Index) accelerated sharply from mid-2022 and reached 57% by end 2022. Due to rising interest rates, which permitted the Central Bank to halt printing money, Sri Lanka ended 2022 with gross foreign exchange reserves of \$1,896 million, up from \$1,804 million in November 2022. After rates were raised in April and India abruptly stopped delaying import payments through the Asian Clearing Union, gross reserves have remained basically constant. Despite having \$ 3.1 billion in gross reserves at the start of 2022, Sri Lanka continued printing money to keep its policy rate artificially low, which made it hard to keep the country's exchange rate pegged at 200/- to the US dollar. Around March 2022, Sri Lanka ran out of foreign reserves but was still able to conduct operations and sterilize them using printed money triggering demand.

The Central Bank participated in a unique tightening of monetary policy, and many changes to the policy rates led to a substantial increase in market interest rates in 2022. A wave of anti-government protests began in early 2022 with the severe economic problems that the populace was experiencing, including rising prices, power outages, and shortages of basic goods. The large-scale demonstrations caused significant societal unrest, which in turn sparked political turbulence, the President's resignation, and numerous administration changes in 2022.

The economic crisis effects started to spread, causing serious problems for Sri Lankan tourism sector. The foreign exchange crisis, price increases, and shortage of necessities like gas and petrol as well as power outages presented another obstacle for Sri Lanka's tourism sector to overcome.

Company Financial Review

During the year under review, the company recorded a revenue of Rs. 108.83 million. The revenue has increased by 2% in comparison to the

previous year's revenue of Rs. 106.32 million. The increase was due to the occupancy of vacant premises at the latter part of the financial year. Other Income has decreased by 10% in comparison to the previous year as there was a decrease in Dividend Income. Administration expenses recorded during the year amounts to Rs. 79.92 million (31st March 2022-Rs. 65.96 million), resulting in an increment of 21%. Finance Income of the Company amounted to Rs. 92.98 million (31st March 2022-Rs. 36.35 million) and this has increased by 156% due to increase in interest rates. Parallely, the Company was negatively affected through the increased interest expense (31st March 2023-Rs. 139.66 million, 31st March 2022-Rs. 62.66 million) compared to the previous year due to the rise in borrowing rates. The Company is liable to Income Tax of Rs. 11.46 million during the year under review (31st March 2022-Rs. 24.07 million).

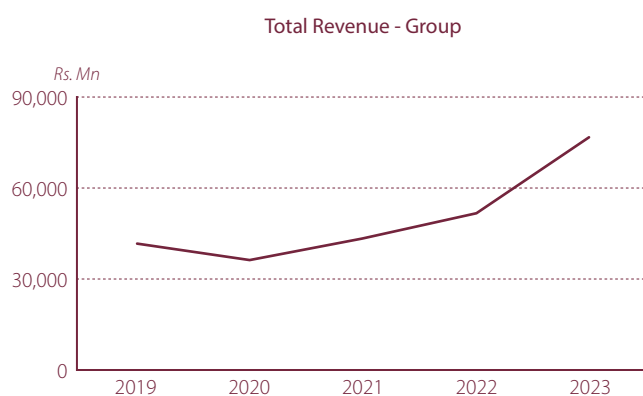
The Company invested Rs. 358.74 million in Colombo Fort Hotels Limited, increasing its holding by 13.72%. The fair value of quoted investments held by the Company as at 31st March, 2023 amounted to 5.90 billion (31st March, 2022 - Rs. 4.13 billion).

The Company's Investment Properties were revalued at Rs. 3.36 billion as at 31st March, 2023 (Carrying Value as at 31st March, 2023 - 792.76 million).

The Net Asset Value of the Company as at the end of the financial year was Rs. 9.65 per share as against Rs. 9.00 per share in the previous year.

Group Financial Review

Despite the challenges faced during the under review, the performance of the group has remained resilient and progressed forward. The group's revenue for the year 2022/2023 increased by 50% to Rs. 77.08 billion in comparison to the previous year's revenue of Rs. 51.56 billion.



The revenue of all the segments has increased compared to previous year and the below table depicts the year-on-year revenue of each segment.

For the Year Ended 31st March,	Total Revenue				
	2019 Rs.'000	2020 Rs.'000	2021 Rs.'000	2022 Rs.'000	2023 Rs.'000
Trading of Consumer	21,209,961	18,740,686	22,590,429	27,836,443	40,735,418
Trading of Industrial	10,654,370	9,664,405	11,647,411	14,095,772	19,943,010
Leisure	1,698,352	1,169,869	430,679	693,476	1,227,091
Plantations	7,264,624	5,898,309	7,498,494	7,983,311	13,533,934
Others	862,049	757,524	1,064,506	947,261	1,641,396
	41,689,356	36,230,793	43,231,519	51,556,263	77,080,849

The Group profit for the year under review is Rs. 4.5 billion in comparison to the previous year's loss of Rs. 148.3 million. The Trading of Industrial Products Sector and the Plantation Sector has recorded an increase in profitability compared to last year, whereas the Trading Consumer Sector earned Rs. 1.35 billion profit compared to last year loss of Rs. 336 million. Leisure Sector has incurred loss same as last year due to prevailing economic conditions which was affecting to tourism industry.

The table below depicts the year-on-year sector wise profitability of the Group.

For the Year Ended 31st March,	Total Profit				
	2019 Rs.'000	2020 Rs.'000	2021 Rs.'000	2022 Rs.'000	2023 Rs.'000
Trading of Consumer	(1,151,526)	(742,511)	733,908	(336,283)	1,354,424
Trading of Industrial	(747,243)	(992,099)	(335,840)	280,706	1,127,120
Leisure	162,449	(1,879)	(270,275)	(333,224)	(312,695)
Plantations	(1,131,188)	(1,648,090)	244,764	484,648	2,671,899
Others	(297,113)	(321,670)	(427,228)	(244,148)	(308,536)
	(3,164,621)	(3,706,249)	(54,671)	(148,300)	4,532,212

Trading Consumer Products Sector

Darley Butler & Company Ltd and E.B. Creasy & Co. PLC in the Consumer Sector have performed extremely well during the year. Darley Butler & Company Ltd results from operating activities for the period under review was Rs. 1.7 billion. The cumulative group revenue and profit before tax of E B Creasy & Company PLC stood at Rs. 23 billion and Rs.1.8 billion respectively, both reporting an increase of 33% and 73% respectively over the previous year. The profit before tax grew by Rs. 762 million in 2022/2023. The performance of these companies were remarkable under very challenging conditions that prevailed during the year 2022/2023.

The Union Commodities group has been able to reduce its loss by executing sound working capital management measures with the support of related companies while implementing strict cost control initiatives (31 March 2023 – Rs. 717 million, 31 March 2022 – Rs. 956 million).

Trading Industrial Product Sector

Revenue of the Trading of Industrial Products Sector increased by 41% and the profits increased by 302% compared to previous year mainly due to the improvement in the performance of Lankem Ceylon PLC, CW Mackie PLC and Ceylon Tapes Ltd. Lankem Ceylon PLC recorded a segment revenue of Rs. 6.9 billion compared to the revenue of Rs. 4.4 billion and a profit after tax Rs. 1.1 billion compared to last year's profit of Rs.171 million. Also, the packaging companies of the Sector have performed extremely well and contributed positively to profitability of the Sector despite substantial material-related impediments and working capital concerns.

ACME Printing and Packaging PLC, which was acquired during last financial year has contributed by a profit of Rs. 118 million to improve the profitability of the Group.

Leisure Sector

Marawila Resorts PLC, Beruwala Resorts PLC and Sigiriya Village Hotels PLC are the three main Companies that contribute to the performance of the Leisure Sector.

Leisure Sector revenue has increased by 77% demonstrating resilience and adaptability in a challenging economic environment. In the current year, despite the war in Ukraine, the winter season showed an increase in Russian travellers which accounted for 28% of the country's

arrivals and the Sector very much proactively captured the market early. However, the increased operational costs and the shrinking margins, increase of finance expenses resulted an increase in the loss of the sector for the year under review.

Plantations Sector

The Plantations Sector revenue has Increased by 70% and Profit has increased by 451% This was mainly due to the performance of the Group's plantation companies, Agarapatana Plantations Limited and Kotagala Plantations PLC. During the year, Plantation Sector had to absorb the challenges of unavailability of fertilizer followed by fuel and power disruptions with repeated price hikes and labour outmigration.

Agarapatana Plantations Limited has earned a profit before tax of Rs. 2.4 billion, compared to Rs. 60 Million in the previous year and the revenue of Agarapatana Plantations Limited increased to Rs 8.5 billion from Rs. 4.4 billion in the previous year.

Kotagala Plantations PLC also has performed well during the year under review recording a profit before tax of Rs. 771 million compared to Rs.104 million incurred in the previous financial year. Revenue increased to Rs. 4.9 billion from Rs 3.47 billion.

Others (Investment, Travel & Other Sectors)

The revenue of this Sector has increased by 73% during the year under review. Also, the loss has increased by 26%. This Sector mainly consists of the Parent Company, Investment Companies, Travel Companies and power project.

Future Outlook

The Group anticipates a stable year ahead, both internally and externally. It is noteworthy that despite ongoing unfavourable macro environmental conditions, the group has managed to enhance its financial robustness in recent years. The expansion initiatives for various segments of the group, which were postponed due to unavoidable circumstances stemming from the economic crisis, are set to be revitalized. Additionally, the group plans to explore opportunities for expanding and diversifying its range of new product offerings, accessing untapped market segments and industries, and developing infrastructure, all in light of a positive outlook for the forthcoming financial year.

Risk Management Review

OVERVIEW

Risk management involves identifying potential risks faced by the Group and implementing proper risk management techniques to mitigate such risks.

The Colombo Fort Land & Building Group PLC is involved in a diverse range of business activities. Whilst this diversification provides a hedge against the positive correlation of business and environmental risks, it also exposes the Group to a wider range of risks and opportunities. Therefore, a disciplined approach to risk management is important in order to ensure successful execution of strategic objectives and to express acceptance towards risk management which has been adequately compensated.

COMPANY'S APPROACH TO RISK

Risk management is an important function of our Group. The Group reviews and assesses significant risks on a regular basis and has implemented an oversight programme to ensure that there is a system of internal controls in place. It is more important to identify risks that may prevent a business from realising its potential, and to manage them in order to minimise adverse effects and maximise positive outcomes.

The risk management process involves identifying the risks, analysing and evaluating the risks and treating such risks by taking steps to reduce and eliminate the losses which may be faced by the Group. As a part of the Risk Management process, at the Group level, the Board reviews its strategies, processes, procedures and guidelines on a continuous basis to effectively identify, assess and respond to such risks.

The Group assesses risk at the individual transaction level and evaluates aggregated risk at the customer, industry, geographic and collateral-type levels, where appropriate. Risk assessment and risk management are the responsibilities of management. The risk infrastructure is designed to identify, evaluate and mitigate risks within each of the following categories;

RISK FACTORS

Strategic Risk

Strategic risk relates to the Group's future business plans and strategies, and includes risks associated with the markets and industries in which the Group operates, demand for products and services, competitor threats, technology and product innovation, mergers and acquisitions and public policy.

Operational Risk

Operational risk relates to the risk arising from the execution of business operations. The Group has established sound internal control systems in all its operations and continuously reviews and monitors those procedures to ensure accountability and transparency in all its operations.

The Group faces a number of operational risks on an ongoing basis, including: Stock management; Supply chain management; Key supplier failure; and IT security. The Group is continuously focusing on improving its controlling and monitoring processes to ensure smooth functioning of all its operations.

Financial Risk

Financial risk relates to the ability to meet financial obligations and mitigate credit risk, liquidity risk and exposure to broad market risks, including volatility in foreign currency exchange rates, interest rates and commodity prices. Liquidity risk is the risk of being unable to accommodate liabilities at maturity, fund asset growth and meet contractual obligations through access to funding at reasonable market rates. Credit risk is the risk of financial loss arising from a customer or counterparty failing to meet contractual obligations.

Legal and Compliance

Legal and compliance risk relates to changes in the Government and regulatory environment, compliance requirements with policies and procedures, including those relating to financial reporting, environmental health and safety and intellectual property risks. Government and regulatory risk is the risk that the Government or Regulators' actions which will impose additional cost or cause the Group to change its business models or practices.

New Business and Acquisitions

Innovation is encouraged across CFLB businesses and activities. Therefore, it is important that all elements of new business initiatives are well understood before commencement. All new business initiatives must be approved by all Directors prior to commencement. The new business approval process is a formal process whereby all relevant risks (e.g. market, credit, equity, legal, compliance, taxation, accounting, operational and systems issues) are reviewed to ensure that the transaction or operation can be managed properly and will not create unknown or unwanted risks for CFLB in the future.

Credit Risk

Credit Risk is defined as the risk of a counterparty failing to complete its contractual obligations when they fall due. The consequent loss is either the amount of the loan being unpaid, or the loss incurred in replacing a trading contract with a new counterparty.

Business Risk

New entrants into the markets and the intensification of competition from existing players in these markets, variation in consumer spending patterns and effects of the weather conditions for seasonal businesses are the significant business risks that the Group encounters.

Corporate Governance

The Colombo Fort Land & Building PLC's (CFLB) Corporate Governance policy has ensured transparency and accountability towards our valuable stakeholders. The core objective of all Corporate Governance rules and regulations is to ensure that the interests of all stakeholders are reasonably safeguarded. Thus, the Board strives to take all possible steps to comply with best practices on Corporate Governance as it builds trust among stakeholders and establishes a basis for responsible conduct.

Our values have been applicable at all levels and this guarantees the business transparency towards our valuable stakeholders and corporate society.

THE BOARD

Board Composition

Currently the Board comprises of one Executive Director and six Non- Executive Directors of whom four are Independent. The Directors possess the necessary expertise in the fields of finance and corporate management with varied business and professional experience in order to direct, lead and control the Company's business activities successfully.

Mr. S.D.R. Arudpragasam - *Chairman - Non-Executive*

Mr. C.P.R. Perera - *Deputy Chairman - Independent Non-Executive*

Mr. A. Rajaratnam - *Former Chairman - Non-Executive*
(Deceased - 26.08.2023)

Mr. Anushman Rajaratnam - *Group Managing Director - Executive*

Mr. A.M. de S. Jayaratne - *Independent Non-Executive*

Mr. R. Seevaratnam - *Independent Non-Executive*
(Deceased – 19.01.2023)

Mr. P.M.A. Sirimane - *Independent Non-Executive*

(Relinquished the position of Group Finance Director and appointed as an Independent Non-Executive Director w.e.f. 01.02.2023.)

Mr. Sanjeev Rajaratnam - *Non-Executive*

Mr. A.R. Rasiah - *Independent Non-Executive*
(Appointed w.e.f. 08.06.2023)

Decision Making of the Board

The Board discusses matters relating to formulation and implementation of sound business strategies, ensuring an effective system to secure integrity of information, internal controls and risk management.

The Board has met on four occasions during the year under review. In addition to the decisions taken at Board Meetings, matters are referred to the Board and decided by resolutions in writing. The Board collectively and the Directors individually, act in accordance with the laws of the country, which are applicable to the business enterprise.

Board Responsibilities

- Formulation of short and long term strategies towards sustainable growth.
- Enhancing shareholder value.
- Identifying principal risks of the business.
- Overseeing systems of internal control.

- Approval of interim and annual financial statements.
- Ensuring compliance with laws and regulations.
- Authorising all material contracts, acquisitions or disposal of subsidiaries and approving capital projects.

Company Secretary and Independent Professional Advice

The Company and all the Directors may seek advice from Corporate Managers & Secretaries (Private) Limited (CMSL) who are qualified to act as Secretaries as per the provisions of the Companies Act No. 07 of 2007. CMSL assists the Board in ensuring that Board procedures are followed and that relevant rules and regulations are complied with. The Board in discharging its duties seeks independent professional advice from external parties when necessary.

Chairman's Role

The Chairman is a Non-Executive Director and is responsible for steering the Board to preserve order and to facilitate the effective discharge of Board functions. He conducts Board proceedings in a manner which always ensures the following:

- The effective participation of Directors.
- Encourages an effective contribution from Directors within their respective capabilities, for the benefit of the Company.
- Ascertains the views of Directors on issues under consideration.

The Board is in complete control of the Company's affairs and is alert to its obligation to all shareholders and other stakeholders.

Financial Acumen

Currently the Board includes six finance professionals who possess the knowledge and competence to offer the Board the necessary guidance on matters of finance.

Board Balance

Except for one Executive Director all Directors on the Board are Non-Executives of whom, four are Independent Directors. The Directors with a blend of experience in the fields of finance, business management and possessing a high standing of integrity and business acumen, constitute a balanced Board. This enables individual Directors to make a significant contribution towards the Board's decision making process. Further, the balanced structure of the Board makes the strategic decision making process more effective which ultimately facilitates build up of sustainable value for shareholders and all its other stakeholders.

Independent Directors on the Board have declared that they are Independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgements. All Non-Executive Directors have also submitted signed and dated declarations of their independence or non-independence to the Board.

The Board makes a determination annually as to the independence or non-independence of each Non-Executive Director based on such

declarations made on the defined criteria and other information available to the Board. The names of Directors determined to be "Independent" are set out in the Annual Report.

Mr. A.M. de S. Jayaratne, Mr. C.P.R. Perera, Mr. P.M.A. Sirimane and Mr. A.R. Rasiah are Directors of several subsidiaries of The Colombo Fort Land & Building PLC. The said Directors have served on the Boards of some subsidiaries for a period exceeding nine years. These Independent Directors are also on the Boards of certain companies which have significant shareholdings in another and also serve on the Boards of some companies of which majority of the Directors serve on the Board of another, within the CFLB Group of companies. Mr. A.M. de S. Jayaratne and Mr. C.P.R. Perera have served on the Board of the Listed Entity for over a period of nine years. However, the Board having considered the fact that the said Directors are Independent of management and having taken into consideration all other circumstances listed in the Rules pertaining to the Criteria for Defining Independence is of the view that the said Directors are nevertheless Independent.

Nomination Committee and Appointments to the Board

There is a formal and transparent procedure for the appointment of new Directors to the Board, which is in accordance with the recommendations made by the Nomination Committee, in consultation with the Chairman and in compliance with the provisions of the Articles of Association of the Company and the Rules on Corporate Governance.

The Nomination Committee of the Company comprised of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam (Deceased - 19.01.2023), Independent Non-Executive Directors, Mr. S.D.R. Arudpragasam Non-Executive Director and Mr. C.P.R. Perera, Independent Non-Executive Director. (Appointed to the Nomination Committee with effect from 19.01.2023).

Upon the appointment of a new Director to the Board, the Company makes the required disclosures to the shareholders by making announcements to the Colombo Stock Exchange.

Re-election of Directors

The Company's Articles of Association require two of the Directors in Office (other than those appointed to the Office of Chairman, Chief Executive, Managing or Joint Managing Director) to retire at each Annual General Meeting. The Directors to retire in each year are those who have been longest in office since their last election or appointment. Retiring Directors are eligible for re-election by the shareholders.

DIRECTORS' REMUNERATION

Remuneration Committee and the Remuneration Procedure

During the financial year, the composition of the Remuneration Committee was as follows.

The Remuneration Committee of the Company comprised of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam (Deceased - 19.01.2023), Independent Non-Executive Directors,

Mr. S.D.R. Arudpragasam Non-Executive Director and Mr. C.P.R. Perera, Independent Non-Executive Director (Appointed to the Remuneration Committee with effect from 19.01.2023).

All managerial and secretarial services are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

The Remuneration Committee Report is set out on page 19 of this report.

RELATIONS WITH SHAREHOLDERS

Constructive use of Annual General Meeting (AGM) and Conduct of General Meetings

The Board makes use of the Annual General Meeting/General Meetings to communicate with shareholders and does encourage their active participation. The Board considers the AGM/General Meetings as an opportunity to communicate and maintain an appropriate dialogue with its shareholders and welcomes their suggestions. It also enables shareholders to meet and discuss Company matters with the Directors.

Major Transactions

There have been no transactions during the year under review which fall within the definition of "Major Transactions" under Section 185 of the Companies Act No. 07 of 2007.

ACCOUNTABILITY AND AUDIT

Financial Reporting and Going Concern

The Board undertakes the responsibility for the preparation and presentation of financial statements and ensures that they are prepared and presented in accordance with the Sri Lanka Accounting Standards adopted by The Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007. The Board values the timely publication of annual and quarterly results and other price-sensitive information enabling shareholders to make effective economic decisions and strives to take all possible steps to comply with the statutory requirements and procedures laid down by the Colombo Stock Exchange and the Securities and Exchange Commission with regard to those publications.

The Annual Report of the Board of Directors presents a balanced and understandable assessment of the Company's financial position, performance and future prospects.

The Directors, after making necessary inquiries and reviews of the Company's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue as "a going concern" in the foreseeable future. Further, the Directors do not intend either to liquidate or cease its operations and therefore, the "going concern assumption" adopted in the preparation of the financial statements is appropriate.

All statutory and material declarations are highlighted in the Annual Report of the Board of Directors.

Corporate Governance contd.

Compliance with Legal Requirements

The Board is conscious of its responsibility to the shareholders, the Government and the Society in which it operates and is unequivocally committed to upholding ethical behaviour in conducting its business. The Board strives to ensure that the Company and its Subsidiaries comply with the laws and regulations of the Country.

Internal Control

The Company maintains a sound internal control system to safeguard the shareholders' investment and the Company's assets. The Board is responsible for ensuring the Company has in place an effective system of internal controls and periodical reviews are conducted to identify any deviations that may need corrective action. The observations of the Audit Committee are reported to the Board for appropriate action.

Audit Committee

The Audit Committee of the Company was reconstituted with effect from 19th January, 2023, consequent to the demise of Mr. R. Seevaratnam who functioned as the Chairman of the Audit Committee. Effective 19th January, 2023, the Audit Committee of the Company comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. C.P.R. Perera, Independent Non – Executive Directors and Mr. S.D.R. Aurdpragasam, Non- Executive Director.

The Report of the Audit Committee is set out on pages 16 and 17 of this Annual Report.

Related Party Transactions Review Committee

The Related Party transactions are disclosed in Note 31 on pages 134 to 139

The Report of the Related Party Transactions Review Committee appears on page 18.

The Company's compliance status with the Colombo Stock Exchange Listing Rules on Corporate Governance is disclosed on pages 10 to 15

ADHERENCE TO THE CORPORATE GOVERNANCE RULES OF THE COLOMBO STOCK EXCHANGE

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
7.10.1 (a)	Non-Executive Directors	Two or at least one third of the total number of Directors should be Non- Executive Directors.	Complied	Corporate Governance
7.10.2 (a)	Independent Directors	Two or one third of Non-Executive Directors, whichever is higher, should be Independent.	Complied	Corporate Governance
7.10.2 (b)	Independent Directors	Each Non-Executive Director should submit a declaration of Independence / Non-Independence in the prescribed format.	Complied	Corporate Governance
7.10.3 (a)	Disclosure relating to Directors	The Board shall annually make a determination as to the Independence or Non-Independence of each Non-Executive Director and names of Independent Directors should be disclosed in the Annual Report.	Complied	Corporate Governance
7.10.3 (b)	Disclosure relating to Directors	The basis for the Board to determine a Director is Independent, if criteria specified for Independence is not met.	Complied	Corporate Governance
7.10.3 (c)	Disclosure relating to Directors	A brief resume of each Director should be included in the Annual Report containing information on the nature of his/her expertise in relevant functional areas.	Complied	Directors' Profiles
7.10.3 (d)	Disclosure relating to Directors	Provide a brief resume of new Directors appointed to the Board with details specified in Rule 7.10.3(a), (b) and (c) mentioned above.	Complied	Directors' Profiles and Corporate Governance
7.10.5	Remuneration Committee	A Listed Company shall have a Remuneration Committee in conformity with the following; (a) Composition (b) Function (c) Disclosure in the Annual Report	Complied	Corporate Governance and Remuneration Committee Report
7.10.6	Audit Committee	The Company shall have an Audit Committee.	Complied	Corporate Governance and Audit Committee Report

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
7.10.6 (a)	Composition of Audit Committee	- Shall comprise of a minimum of two Independent Non- Executive Directors or Non-Executive Directors a majority of whom shall be Independent, which ever shall be higher. - A Non-Executive Director shall be appointed as the Chairman of the Committee. - Unless otherwise determined by the Audit Committee the Chief Executive Officer and the Chief Financial Officer shall attend Audit Committee Meetings. - The Chairman of the Audit Committee or one member should be a member of a professional accounting body.	Complied Complied Complied The Group Managing Director and the Group Finance Director attend meetings Complied	Audit Committee Report
7.10.6 (b)	Audit Committee Functions	Functions shall include; a) Overseeing the preparation, presentation and adequacy of disclosures in the Financial Statements in accordance with Sri Lanka Accounting Standards. b) Ensuring Compliance with financial reporting requirements, information requirements of the Companies Act and other relevant financial reporting related regulations and requirements. c) Overseeing the processes to ensure that the internal controls and risk management are adequate to meet the requirements of the Sri Lanka Auditing Standards. d) Assessment of the Independence and performance of the External Auditors. e) Making recommendations to the Board pertaining to appointment, re-appointment and removal of External Auditors, and approving the remuneration and terms of engagement of External Auditors.	Complied Complied Complied Complied Complied	Audit Committee Report
7.10.6 (c)	Disclosure in the Annual Report	a) Names of Directors comprising the Audit Committee. b) The Audit Committee shall make a determination of the Independence of the Auditors and disclose the basis for such determination. c) The Annual Report shall contain a Report of the Audit Committee setting out the manner of compliance with their functions.	Complied Complied Complied	Audit Committee Report
9.1	Related Party Transactions - Shareholder Approval	The Listed entity shall obtain prior approval from the shareholders by way of a Special Resolution for the Related Party Transactions listed below;		
9.1.1	Non-Recurrent Transactions	In the event of non recurrent transactions; (a) Any Related Party Transaction of a value equal to, or more than: i. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity; or ii. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other non-recurrent transactions entered into with the same Related Party during the same financial year.	Not Applicable Not Applicable	Not Applicable Not Applicable

Corporate Governance contd.

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
9.1.2	Recurrent Transactions	(a) Any recurrent Related Party Transaction of value equal to, or more than i. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the Entity as per the latest Audited Financial Statements of the entity; or ii. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other recurrent transactions entered into with the same Related Party during the same financial year. and iii. the transactions are not in the ordinary course of the business and in the opinion of the Related Party Transactions Review Committee, are on terms favourable to the Related Party than those generally available to the public	Not Applicable Not Applicable Not Applicable	Not Applicable Not Applicable Not Applicable
9.2	Related Party Transactions Review Committee	A listed Company shall have a Related Party Transactions Review Committee (RPTRC) in Conformity with the following:		
9.2.1	Review of Transactions	Except for transactions set out in Rule 9.5, all other Related Party Transactions should be reviewed by the Related Party Transactions Review Committee	Complied	Related Party Transactions Review Committee Report
9.2.2	Composition	The Committee shall comprise a combination of Non-Executive Directors and Independent Non- Executive Directors and may also include Executive Directors at the option of the Listed Entity. One Independent Non-Executive Director shall be appointed as Chairman.	Complied Complied	Related Party Transactions Review Committee Report
9.2.3	Related Party Transactions Review Committee of the Parent Company	In a situation where both the parent company and the subsidiary are Listed Entities, the RPTRC of the parent company may be permitted to function as the RPTRC of the Subsidiary. However, if the Parent Company is not a Listed Entity, then RPTRC of the Parent Company is not permitted to act as the RPTRC of the subsidiary. The Subsidiary shall have a separate RPTRC.	Not Applicable	Not Applicable
9.2.4	Committee Meetings	The Committee shall meet at least once a calendar quarter	Complied	Related Party Transactions Review Committee Report
	Documentation of minutes	The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors.	Complied	Related Party Transactions Review Committee Report
9.2.5	Professional and Expert Advice	Directors of the Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, they should obtain appropriate professional and expert advice from an appropriately qualified person.	Complied	Related Party Transactions Review Committee Report
9.2.6	Approvals by the Board	Where necessary, the Committee shall request the Board of Directors to approve the Related Party Transactions, which are under review by the Committee. In such instances, the approval of the Board of Directors should be obtained prior to entering into the relevant Related Party Transaction.	Complied	Related Party Transactions Review Committee Report

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
9.2.7	Material personal interest in Transactions	If a Director of the Listed Entity has a material personal interest in a matter being considered at a Directors' meeting to approve a Related Party Transaction as required in Rule 9.2.6 above, such Director shall not: (a) be present while the matter is being considered at the meeting, and; (b) vote on the matter.	Not Applicable	Not Applicable
9.3	Disclosures			
9.3.1	Immediate Disclosures	i. The Listed Entity shall make an immediate announcement to the exchange: of any non-recurrent Related Party Transaction with a value exceeding 10% of the Equity or 5% of the Total Assets whichever is lower, of the Entity as per the latest Audited Financial Statements. or of the latest transaction if the aggregate value of all Non-Recurrent Related Party Transactions entered into with the same Related Party during the same Financial year amounts to 10% of the equity or 5% of the total assets whichever is lower, of the entity as per the latest Audited Financial Statements. ii. Listed entity shall disclose subsequent non-recurrent transactions which exceeds 5% of the equity of the entity, entered into with the same Related Party during the financial year.	Complied	Annual Report of the Board of Directors and Related Party Transactions Review Committee Report
9.3.2	Disclosure in the Annual Report	a) Disclosure of Non-Recurrent Related Party Transactions if aggregate value of the Non-Recurrent Related Party Transactions exceeds 10% of the equity or 5% of the Total Assets, whichever is lower, of the Listed Entity as per the latest Audited Financial Statements, the information must be presented in the Annual Report in accordance with the prescribed format under 9.3.2 (a) of the Listing Rules. b) Disclosure of Recurrent Related Party Transactions if the aggregate value of the recurrent Related Party Transactions exceeds 10% of the gross revenue/ income (or equivalent term in the Income Statement and in the case of group entity consolidated revenue) as per the latest Audited Financial Statements. The Listed entity must disclose the aggregate value of Recurrent Related Party Transactions entered into during the financial year in the Annual Report in accordance with the prescribed format under 9.3.2 (b) of the Listing Rules. c) Report by the Related Party Transactions Review Committee d) A declaration by the Board of Directors in the Annual Report as an affirmative statement of the compliance with these Rules pertaining to Related Party Transactions or a negative statement in the event the Entity has not entered into any Related Party Transaction/s.	Complied Not Applicable Complied Complied	Note No. 31.5 of the Financial Statements All the Recurrent transactions were below the disclosure threshold Related Party Transactions Review Committee Report Related Party Transactions Review Committee Report and Annual Report of the Board of Directors
9.4	Acquisition and Disposal of Assets from/ to Related Parties			
9.4.1		The Listed Entity nor any of its subsidiaries without obtaining prior approval from the shareholders by way of a special resolution, should not acquire or dispose of from / to any Related Party an asset/assets amounting to a value which exceeds 1/3 of the total assets of the Entity (a substantial asset) as per latest Audited Financial Statements	Not Applicable	Not Applicable
9.4.4		The members of the Related Party Transactions Review Committee should obtain competent independent advice from independent professional experts with regard to the value of the substantial assets of the Related Party Transaction under consideration.	Not Applicable	Not Applicable
9.4.5		The competent independent advice obtained in terms of Rule 9.4.4 above should be circulated with the notice of meeting to obtain the shareholder approval as set out in Rule 9.4.1 above.	Not Applicable	Not Applicable

Audit Committee Report

The responsibilities of The Colombo Fort Land & Building PLC's Audit Committee are governed by the Rules and Regulations which are approved and adopted by the Board. The Board fulfils its overall responsibility to the shareholders in relation to the integrity of the Company's financial reporting process in accordance with the Companies Act and other legislative reporting requirements including adequacy of disclosures in the financial statements in accordance with the Sri Lanka Accounting Standards.

Role of the Audit Committee

The role of the Audit Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the integrity of the financial statements of the Company and the Group.

The Audit Committee reviews and advises the Company to ensure that the Financial Reporting system is in adherence with the Sri Lanka Accounting Standards and other regulatory and statutory requirements. It also reviews the adequacy of internal controls and the business risks and the independence of the Company's External Audit function.

The Audit Committee has reviewed and discussed the Group's quarterly and annual financial statements prior to publication. The review included ascertaining compliance of same with the Sri Lanka Accounting Standards, the appropriateness and changes in accounting policies and material judgemental matters. The Committee also discussed with the External Auditors and management, any matters communicated to the Committee by the External Auditors in their reports to the Committee on the audit for the year.

The Committee also reviews the financial reporting system adopted by the Group in the preparation of its Quarterly and Annual Financial Statements to ensure reliability of the processes and consistency of the accounting policies and methods adopted and compliance thereof with the Sri Lanka Accounting Standards laid down by The Institute of Chartered Accountants of Sri Lanka. The methodology included obtaining statement of compliance by the Heads of Finance and Directors-in-Charge of subsidiaries. The Committee recommends the Financial Statements to the Board of Directors for its deliberation and issuance. The Committee in its evaluation of the Financial Reporting System also recognised the adequacy of the content and the quality of routine management information and reports forwarded to its members.

The Committee's responsibilities pertain to the Group as a whole and in discharging its responsibilities, the Committee places reliance on the work of other Audit Committees in the Group without prejudicing the independence of those Committees. However, to the extent, and in a manner it considers appropriate, the Committee provides feedback to those entities for their consideration and necessary action.

Composition

The Audit Committee of the Company was reconstituted on the demise of the Chairman of the Audit Committee, Mr. R. Seevaratnam on 19th January, 2023, and Mr. A.M. de S. Jayaratne was appointed Chairman of the Audit Committee. Further, Mr. C.P.R. Perera was appointed as a member of the Committee on 19th January, 2023.

Mr. A.M. de S. Jayaratne - Chairman - Independent Non-Executive
(Appointed Chairman of the Committee w.e.f. 19.01.2023)

Mr. S.D.R. Arudpragasam - Member - Non-Executive

Mr. C.P.R. Perera - Member - Independent Non-Executive
(Appointed as a member of the Committee w.e.f. 19.01.2023)

Accordingly, as at 31st March, 2023, the Audit Committee comprised of three Non-Executive Directors of whom two were independent. The Chairman of the Committee, Mr. A.M. de S. Jayaratne, an Independent Non-Executive Director, is a Fellow member of the Institute of Chartered Accountants of Sri Lanka (FCA) and England & Wales.

The Committee has a blend of experience in the commercial sector with financial expertise, and high standing of integrity and business acumen in order to carry out their role efficiently and effectively.

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited function as the Secretaries to the Audit Committee.

Meetings and Attendance

The Audit Committee has met on four occasions during the financial year ended 31st March, 2023 and the attendance was as follows:

Mr. R. Seevaratnam - Former Chairman	2/3
(Deceased - 19/01/2023)	
Mr. A.M. de S. Jayaratne - Chairman	4/4
Mr. S.D.R. Arudpragasam	4/4
Mr. C.P.R. Perera	1/1
(Appointed w.e.f.19/01/2023)	

Representatives from Corporate Managers & Secretaries (Private) Limited, Managers & Secretaries, the Group Managing Director, the Group Finance Director and other Directors and Senior Managers from the Group are invited to the meetings as and when required. The proceedings of the Audit Committee are regularly reported to the Board.

Terms of Reference

The Committee is governed by specific terms of reference set out in the Audit Committee Charter. The Committee focuses on the following objectives in discharging its responsibilities taking into consideration the terms of reference together with the requirements of the Listing Rules of the Colombo Stock Exchange.

- a) Risk Management.
- b) Efficiency of the system of internal controls.
- c) Independence and objectivity of the External (Statutory) Auditors.
- d) Appropriateness of the principal accounting policies used.
- e) Financial Statement integrity.

Compliance

The Audit Committee reviewed the activities and the financial affairs of the Company and its Subsidiaries and the financial reporting system adopted in the preparation of the Quarterly and Annual Financial Statements to ensure reliability of the processes, appropriateness and consistency of the accounting policies and methods adopted in order to comply with the requirements of the Sri Lanka Accounting Standards (SLFRS/LKAS), the Companies Act No. 07 of 2007 and other relevant statutory and regulatory requirements. The Committee also reviewed the quarterly and year end Financial Statements and have recommended their adoption to the Board of Directors.

Group Internal Audit

The Committee assessed the adequacy of existing internal controls and risk management procedures and has recommended to the Board additional controls and risk mitigating strategies that could be implemented to strengthen the existing internal control system.

Further, the Committee has reviewed the routine operations of the Company and assessed the future prospects of its business operations and accordingly ensures that the going concern assumption used in the preparation of the financial statements, is appropriate.

A few companies of the Group have outsourced the internal audit function in order to strengthen the internal control measures.

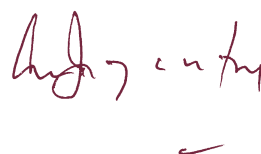
External Audit

The Company has appointed KPMG, Chartered Accountants as its External Auditor for the financial year ended 31st March, 2023 and the services provided by them are segregated between audit/ assurance services and other advisory services such as tax consultancy. The Committee has reviewed the progress and conduct of the statutory audit function and discussed the audit related issues with the Auditors. KPMG Chartered Accountants has also issued a declaration as required by the Companies Act No.7 of 2007, that they do not have any relationship or interest in any of the Companies in the Group which may have a bearing on the independence of their role as Auditors. The Committee has also negotiated with the External Auditors on the quantum of their fees and incidental expenses.

The Committee after evaluating the independence and performance of the External Auditors has recommended to the Board the reappointment of KPMG, Chartered Accountants, for the financial year ending 31st March, 2024 subject to the approval of the Shareholders at the Annual General Meeting of the Company.

Conclusion

The Audit Committee is satisfied that the effectiveness of the organisational structure of the Group and Company in the implementation of the accounting policies and operational controls provide reasonable assurance that the affairs of the Group and Company are managed in accordance with accepted policies and that assets are properly accounted for and adequately safeguarded.



A.M. de S. Jayaratne
Chairman
Audit Committee

01st September, 2023

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee (RPTRC) is entrusted with the responsibility of ensuring that the interests of the Shareholders are taken into consideration when entering into a Related Party Transaction.

Composition

On the demise of the Chairman of the Related Party Transactions Review Committee, Mr. R. Seevaratnam on 19th January, 2023, the Related Party Transactions Review Committee of the Company was reconstituted and Mr. A.M. de S. Jayaratne was appointed Chairman of the Committee. Further, Mr. C.P.R. Perera was appointed as a member of the Committee on 19th January, 2023.

Accordingly, as at 31.03.2023, the Related Party Transactions Review Committee of the Company comprised of the following members:

Mr. A.M. de S. Jayaratne - Chairman/Independent Non-Executive
(Appointed Chairman of the Committee w.e.f. 19.01.2023)

Mr. S.D.R. Arudpragasam - Member/Non-Executive

Mr. C.P.R. Perera - Independent Non-Executive
(Appointed as a member of the Committee w.e.f. 19.01.2023)

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited, functions as the Secretaries to the Related Party Transactions Review Committee.

Meetings of the Committee

The RPTRC has met on four occasions during the financial year ended 31st March 2023 and the attendance was as follows:

Mr. R. Seevaratnam	2/3
(Deceased - 19/01/2023)	
Mr. A.M. de S. Jayaratne	4/4
Mr. S.D.R. Arudpragasam	4/4
Mr. C.P.R. Perera	1/1
(Appointed w.e.f. 19/01/2023)	

Meetings of the RPTRC have been held in each quarter of the financial year. In addition to these Meetings on several occasions Related Party Transactions were referred to the RPTRC and have been reviewed and recommended by Resolutions in writing.

The activities and views and proceedings of meetings of the Related Party Transactions Review Committee are duly documented and minuted and submitted to the Board of Directors.

Policies, Procedures and Functions of the Committee:

The Policies and Procedures adopted by the Related Party Transactions Review Committee when reviewing and recommending transactions are consistent with Section 9 of the Listing Rules of the Colombo Stock Exchange.

The functions of the Committee are as follows:

- To identify the persons/entities considered to be Related Parties.
- Review all proposed Related Party Transactions. (Except for transactions which are exempted)
- Advise Management on Related Party Transactions and where necessary direct the transactions for Board approval / Shareholder approval as deemed appropriate.
- Obtain updates on previously reviewed Related Party Transactions from Senior Management and approve any material changes.
- Establish guidelines for Senior Management to follow ongoing dealings with Related Parties.
- Review and assess on an annual basis the transactions for Compliance against the Committee guidelines.
- Ensuring that immediate market disclosures and disclosures in the Annual Report are made as required by the applicable rules and regulations.

Conclusion

The Related Party Transactions Review Committee has reviewed the Related Party Transactions entered into during the financial year under review and has communicated its comments and observations to the Board of Directors.

The Board of Directors have also declared in the Annual Report that there were no recurrent related party transactions which exceeded the respective thresholds mentioned in Section 9 of the Colombo Stock Exchange Listing Rules. However the non-recurrent related party transactions which exceeded the respective threshold is duly set out in Note 31.5 on page 137 of the Annual Report. The Company has complied with the requirements of the Listing Rules on Related Party Transactions.



A.M. de S. Jayaratne
Chairman
Related Party Transactions Review Committee

01st September, 2023

Remuneration Committee Report

The Remuneration Committee of The Colombo Fort Land & Building PLC consists of the following members:

Mr. A.M. de S. Jayaratne - *Chairman / Independent Non-Executive*

Mr. R. Seevaratnam - *Member / Independent Non-Executive*
(Deceased – 19.01.2023)

Mr. S.D.R. Arudpragasam - *Member / Non-Executive*

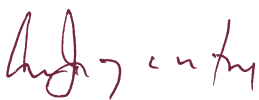
Mr. C.P.R. Perera - *Member / Independent Non-Executive*
(Appointed as a member of the Committee w.e.f.19/01/2023)

The main function of the Remuneration Committee is to assist the Board in developing and administering an equitable and transparent method for setting policy on the overall human resources strategy of the Group.

The Company does not have any employees and as such does not require the Remuneration Committee to decide on Executive compensation. The individual Group Companies have their own Remuneration Committees.

The Remuneration Committee meets on the same day as the Audit Committee of CFLB only if it is required, to give guidance and recommendations to any of the Remuneration Committees of its subsidiaries.

The key objective of the Committee is to attract, motivate and retain qualified and experienced personnel throughout the Group and to ensure that the remuneration of Executives at each level of management is competitive and are rewarded in a fair manner based on their performance and having regard to comparable market statistics and the operating results of the companies within the Group.



A.M. de S. Jayaratne

Chairman

Remuneration Committee

01st September, 2023

Annual Report of the Board of Directors

The Board of Directors of The Colombo Fort Land & Building PLC present their Report on the affairs of the Company together with the Audited Financial Statements for the year ended 31st March, 2023.

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, and the Colombo Stock Exchange Listing Rules and are guided by recommended best practices.

GENERAL

The Company was re-registered on 3rd July, 2008 as required under the Companies Act No. 07 of 2007.

PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

The principal activities of the Company together with those of its subsidiary companies have been described in the Notes to the Financial Statements in this Annual Report. A review of the Company's business and its performance during the year with comments on financial results is contained in the Chairman's Review and Management Discussion and Analysis which together with the Financial Statements reflects the state of affairs of the Company.

The Directors to the best of their knowledge and belief confirm that the Company has not engaged in any activities that contravene laws and regulations.

FINANCIAL STATEMENTS

The Financial Statements of the Company are given on pages 30 to 34.

INDEPENDENT AUDITORS' REPORT

The Independent Auditors' Report on the Financial Statements is given on pages 24 to 29.

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of Financial Statements are given on pages 35 to 51.

INTEREST REGISTER

Directors' Interest in Transactions

The Directors have made general disclosures as provided for in Section 192(2) of the Companies Act No. 07 of 2007. These have been entered in the Interest Register which is maintained by the Company. The Company carries out transactions in the ordinary course of business with entities in which a Director of the Company is a Director and the said transactions are disclosed in Note 31 'Related Party Transactions', on pages 134 to 139.

The Directors have no direct or indirect interest in any other contract or proposed contract with the Company.

Directors' Interest in Shares

Directors of the Company who have an interest in the shares of the Company are required to disclose their shareholdings and any

acquisitions/disposals to the Board in compliance with Section 200 of the Companies Act.

Details pertaining to Directors' direct shareholdings are set out below:

Name of Director	No. of shares as at 31.03.2023	No. of shares as at 31.03.2022
S.D.R. Arudpragasam	-	-
A. Rajaratnam (Deceased - 26.08.2023)	-	-
C.P.R. Perera	10,000	10,000
Anushman Rajaratnam	-	153,735
A.M. de S. Jayaratne	200,666	666
R. Seevaratnam (Deceased - 19.01.2023)	N/A	-
S. Rajaratnam	2,225,000	2,000,000
P.M.A. Sirimane	-	-
A.R. Rasiah (Appointed w.e.f. 08.06.2023)	N/A	N/A

DIRECTORS' REMUNERATION

Key management personnel compensation in respect of the Company for the financial year 2022/2023 is given in Note 7 to the Financial Statements on page 54.

CORPORATE DONATIONS

No donations were made by the Company during the year.

DIRECTORATE

The names of the Directors who held office during the financial year and the appointment subsequent to the financial year end are given below and the Directors currently in Office are profiled on page 5.

Mr. S.D.R. Arudpragasam - Chairman

(Appointed Chairman w.e.f. 01.07.2022)

Mr. C.P.R. Perera - Deputy Chairman

(Appointed Deputy Chairman w.e.f. 01.07.2022)

Mr. A. Rajaratnam - Former Chairman

(Relinquished the Office of Chairman on 30.06.2022)

(Deceased - 26.08.2023)

Mr. Anushman Rajaratnam - Group Managing Director

Mr. A.M. de S. Jayaratne

Mr. R. Seevaratnam

(Deceased - 19.01.2023)

Mr. P.M.A. Sirimane - (Relinquished the position of Group Finance Director w.e.f. 01.02.2023)

Mr. Sanjeev Rajaratnam

Mr. A.R. Rasiah

(Appointed w.e.f. 08.06.2023)

Mr. S.D.R. Arudpragasam was appointed as Chairman with effect from 1st July 2022.

Mr. C.P.R. Perera was appointed as Deputy Chairman with effect from 1st July 2022.

Mr. P.M.A. Sirimane, Non Executive Director, relinquished his position as Group Finance Director with effect from 1st February 2023 and was appointed as an Independent Non Executive Director of the Company with effect from the said date.

Mr. A.R. Rasiah was appointed as an Independent Non Executive Director with effect from 8th June 2023.

Mr. R. Seevaratnam who functioned as an Independent Non Executive Director, expired on 19th January 2023.

Mr. A. Rajaratnam the former Chairman having relinquished such position with effect from 30th June 2022 and continuing to serve as a Non Executive Director, passed away on 26th August 2023.

Consequent to the demise of Mr. Alagarajah Rajaratnam on 26th August 2023, Mr. Anushman Rajaratnam ceased to be his Alternate Director.

In terms of Articles 85 and 86 of the Articles of Association Mr. P.M.A. Sirimane and Mr. Sanjeev Rajaratnam retire by rotation and being eligible offer themselves for re-election.

Mr. A.M. de S. Jayaratne who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. C.P.R. Perera who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. S.D.R. Arudpragasam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. A.R. Rasiah, who was appointed to the Board of Directors on 08.06.2023, being over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

CORPORATE GOVERNANCE

The Corporate Governance Principles adhered to by the Company are given on pages 10 to 15.

AUDITORS

The Financial Statements of the Company for the year have been audited by Messrs. KPMG, Chartered Accountants, who retire at the forthcoming Annual General Meeting. The retiring Auditors

have expressed their willingness to continue as Auditors of the Company and are recommended for reappointment. A resolution to reappoint them and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting. They were paid Rs. 1,692,000/- (2021/2022 - Rs. 1,410,000/-) as audit fees by the Company. In addition, they were paid Rs. 179,669/- (2021/2022 - Rs. 163,336/-) by the Company for non-audit related work, which consists mainly of fees for tax compliance services.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor) with the Company. The Auditors do not have any interest in the Company.

REVENUE

The revenue of the Company for the year was Rs. 108.83 million (2021/2022 - Rs. 106.32 million).

RESULTS

The Company made a net profit before tax of Rs. 219.49 million against a profit of Rs. 269.05 million in the previous year. The detailed results are given in the Statement of Profit or Loss & Other Comprehensive Income on page 30.

DIVIDENDS

The Directors are pleased to recommend the payment of a First and Final Dividend of Rs. 0.25 per share on the ordinary shares of the Company for the year ended 31st March, 2023 for approval by the shareholders at the forthcoming Annual General Meeting to be held on 27th September 2023.

The Directors have confirmed that the Company satisfies the solvency test requirement under Section 56 of the Companies Act No. 07 of 2007 for the dividend proposed. A solvency certificate has been sought from the Auditors in respect of the aforementioned dividend.

INVESTMENTS

The Cost of Investments in Quoted Securities held as at 31st March, 2023 were Rs. 1,562.0 million (2021/2022 - Rs.1,551.90 million) and the Market Value of such Investments were Rs. 5,898.20 million (2021/2022 - Rs. 4,130.99 million). The detailed investment portfolio is given in Notes 15, 16 and 17 to the Financial Statements on pages 79 to 100.

PROPERTY, PLANT & EQUIPMENT

During 2022/2023, the Company invested Rs. 5.70 million in Property, Plant & Equipment (2021/2022 - Rs.0.17 million). Further, your Directors are of the opinion that the net amounts at which Property, Plant & Equipment appear in the Statement of Financial Position, are not greater than their market value as at 31st March, 2023.

STATED CAPITAL

In compliance with the Companies Act No. 07 of 2007, the Financial Statements reflect the Stated Capital of the Company. The Stated

Annual Report of the Board of Directors contd.

Capital is the total of all amounts received by the Company in respect of issue of shares.

The Stated Capital of the Company as at 31st March, 2023 was Rs. 927,000,000/- represented by 240,000,000 issued and fully paid Ordinary Shares.

RESERVES

The total reserves of the Company as at 31st March, 2023 amounted to Rs. 1,389.98 million (2021/22 - Rs.1,231.92 million). The Reserves comprise, Property Development Reserve of Rs. 10 million (2021/2022 - Rs.10 million), General Reserve of Rs. 0.5 million (2021/2022 - Rs.0.5 million), FVOCI Reserve of Rs. 3.38 million (2021/2022 - Rs. 4.74 million) and the accumulated profit of Rs. 1,376.11 million (2021/2022 - Rs.1,216.67 million). The movements are shown in the Statement of Changes in Equity in the Financial Statements.

TAXATION

In terms of the Inland Revenue Act No. 24 of 2017 and the Inland Revenue (Amendment) Act No. 10 of 2021, the Company is liable to pay income tax at the rate of 24% on the profits and 14% on Dividend Income up to 30th September, 2022. As per the Inland Revenue (Amendment) Act No. 45 of 2022, the rates were revised to 30% and 15% respectively from 1st October, 2022. The detailed Income Tax Computation is given in Note 8 to the Financial Statements on pages 55 to 58.

RELATED PARTY TRANSACTIONS

During the financial year there were no recurrent related party transactions which exceeded the respective thresholds mentioned in Section 9 of the Colombo Stock Exchange Listing Rules. However the non recurrent related party transactions which exceeded the respective threshold is duly set out in Note 31.5 on page 137 The Company has complied with the requirements of the Listing Rules on Related Party Transactions.

The Related Party Transactions presented in the Financial Statements are disclosed in Note 31 from pages 134 to 139.

SHARE INFORMATION

Information relating to earnings, net assets, market value per share and share trading is given on pages 157 and 158.

EVENTS AFTER THE REPORTING DATE

No Circumstances have arisen since the Reporting date that would require adjustments to or disclosure in the Financial Statements other than those disclosed in Note 38 to the Financial Statements on pages 150 and 151.

CAPITAL COMMITMENTS AND CONTINGENT LIABILITIES

Capital Commitments and Contingent Liabilities as at the Reporting date are disclosed in Notes 35 and 36 to the Financial Statements on pages 146 to 148.

EMPLOYMENT POLICY

All operational services are provided by Corporate Managers & Secretaries (Private) Limited, Managers and Secretaries, to whom a fee is paid.

SHAREHOLDERS

It is the Company's policy to endeavour to ensure equitable treatment to its shareholders.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government have been paid or where relevant, provided for.

ENVIRONMENTAL PROTECTION

The Group's business activities can have direct and indirect effects on the environment. It is the Group's policy to minimise any adverse effect its activities have on the environment and to promote co-operation and compliance with the relevant authorities and regulations. The Directors confirm that the Group has not undertaken any activities which have caused or are likely to cause detriment to the environment.

INTERNAL CONTROL

The Directors acknowledge their responsibility for the Company's system of internal control. The system is designed to give assurance regarding the safeguarding of assets, the maintenance of proper accounting records and the reliability of financial information generated.

GOING CONCERN

The Directors, after making necessary inquiries and reviews of the Company's future prospects and risks, cash flows and borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Therefore, the going concern basis has been adopted in the preparation of the Financial Statements.

For and on behalf of the Board,



S.D.R. Arudpragasam
Chairman



Anushman Rajaratnam
Group Managing Director

By Order of the Board,



Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
01st September, 2023

A graphic illustration on a dark red background. It features a large magnifying glass with the text 'Rs.' inside its lens. To the left of the magnifying glass is a stylized icon of a document with a grid of squares and horizontal lines. Below the magnifying glass is a line graph with two circles connected by a horizontal line, and a bar chart with five vertical bars of increasing height.

Rs.

Financial Statement

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Independent Auditor's Report



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(Chartered Accountants)
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Internet : www.kpmg.com/lk

TO THE SHAREHOLDERS OF THE COLOMBO FORT LAND & BUILDING PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of The Colombo Fort Land & Building PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2023, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information as set out on pages 30 to 155 of the Annual Report.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2023, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

01. Management Assessment of the Group's ability to continue as Going Concern and Impairment of Goodwill recorded in Group financial statements.

Refer note 14.1 and 37 to the financial statements and accounting policies note 3.3.5.2.

Risk Description

As at that date the Group current liabilities exceed its current assets by Rs. 2,852 Mn. As disclosed in Note 37 to the financial statements, this is mainly due to the fact that some of the subsidiaries of the Group namely Union Commodities (Private) Limited, Beruwala Resorts PLC, and Marawila Resorts PLC have incurred a net loss of Rs. 717 Mn, Rs. 277 Mn and Rs. 165 Mn respectively during the year ended 31 March 2023. Further as of that date, accumulated losses of Union Commodities (Private) Limited, Beruwala Resorts PLC, and Marawila Resorts PLC to Rs. 2,842 Mn, Rs. 470 Mn and Rs. 1,028 Mn respectively. However, the directors have determined that use of the going concern basis of accounting is appropriate in preparing the financial statements. Their assessment of the going concern was based on the feasibility of management plans and cash flow forecasts.

KPMG, a Sri Lankan partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee.

C.P. Jayatilake FCA	T.J.S. Rajakarier FCA	W.J.C. Perera FCA
Ms. S. Joseph FCA	Ms. S.M.B. Jayasekara FCA	W.K.D.C. Abeyrathne FCA
S.T.D.L. Perera FCA	G.A.U. Karunaratne FCA	R.M.D.B. Rajapakse FCA
Ms. B.K.D.T.N. Rodrigo FCA	R.H. Rajan FCA	M.N.M. Shameel FCA
Ms. C.T.K.N. Perera ACA	A.M.R.P. Alahakoon ACA	Ms. P.M.K. Sumanasekara FCA

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. F.R. Ziyad FCMA (UK), FTII



Further, as at 31 March 2023, the Group recorded Rs. 670 Mn as goodwill. As required by relevant accounting standards, as at 31 March 2023 the management performed an impairment assessment on goodwill by allocating it to the respective cash generating units and determined their recoverable amounts based on value-in-use calculations.

Due to the inherent uncertainty involved in forecasting and discounting cash flows, which are the basis of the management assessment of the Group's ability to continue as a going concern and impairment of goodwill, this is one of the key judgment areas that our audit is concentrated in.

Our audit procedures included,

- Obtaining an understanding of management's assessment of cash flow forecast and impairment assessment process.
- Assessing the credibility of business plan and cash flow forecasts which were used by the management for the assessment of recoverability of the goodwill.
- Obtaining the forecasted cash flows of the subsidiaries and assessing the reasonableness of the discounted cash flow models, principles and accuracy of the forecasts and challenging the assumptions used and the valuation technique applied.
- Evaluating the adequacy of the Group's going concern disclosures and impairment of Goodwill in the financial statements.

02. Measurement of Biological Assets

Refer note 10.4 & 10.6 to the financial statements and accounting policies note 3.10.9.

Risk Description

The Group has recognised bearer biological assets in the amount of Rs. 5,480 Mn and consumable biological assets in the amount of Rs. 3,317 Mn.

Consumable Biological Assets

The commercially cultivated timber trees on estates managed by the Group are classified as consumable biological assets and are measured at each reporting date at fair value less estimated cost to sell at harvest. The trees younger than 5 years (if any) are carried at cost less impairment as the fair value cannot be reliably measured. The valuation of consumable biological assets requires significant levels of judgments and technical expertise in selecting appropriate valuation models and assumptions. Management engaged a subject matter expert who is an incorporated valuer and a member of The Institute of Valuers of Sri Lanka to perform an independent valuation of the consumer biological assets of the Group as at reporting date.

Bearer Biological Assets

Bearer biological assets mainly include mature and immature tea fields. Inappropriate transfer from immature to mature plantations has a significant impact on the carrying value of the bearer plants and the reported profits as capitalization of costs will cease from the point of transfer and the mature plantations are depreciated over the useful lives of the plants. As per the industry practice, transfer of immature plantations to mature plantation fields happens at the point of commencement of commercial harvesting. The actual point of which commercial harvesting could start depends on the soil condition, weather patterns and plant breed.

We considered measurement of biological assets as a key audit matter because the valuation of consumable biological assets involved significant judgments exercised by the management and external valuation expert and were subjected to significant level of estimation uncertainty. Further, immature to mature transfer of bearer biological assets require management to exercise their judgement in determining the point at which a plant is deemed ready for commercial harvesting.

Our audit procedures for Consumable Biological Assets included,

- Evaluating the competence, qualifications, capabilities and objectivity of the independent valuer.
- Obtaining estate wise census books of timber trees and comparing the number of timber trees recorded in the census book with the valuation report to ensure the completeness and accuracy of the data. We also evaluated the accuracy of valuation formulae contained in the valuation report.
- Assessing the key assumptions and methodology used in the valuation, in particular the discount rate, estimated height and average market price by comparing with industry norms that are generally accepted in determining volume of timber.



- Verifying the mathematical accuracy of the consumable biological assets valuation.
- Assessing the adequacy of the disclosure of Consumable biological assets made in the notes to the financial statements.

Our audit procedures for Bearer Biological Assets included,

- Assessing the processes and controls in place to ensure proper identification of the expenses to be capitalized relating to immature plantations.
- Validating the significant amounts capitalized (including capitalized labour and other acceptable costs) by examining related invoices, capital expenditure authorizations and other corroborative evidences.
- Assessing if the timely transfers from respective immature to matured plantation categories are made focusing on ageing profile of immature plantations.
- Inspecting the ageing profile of the immature biological assets as of the reporting date to ensure that triggers of impairment (if any) are duly identified, assessed for probable impairment losses and duly accounted for in the financial statements.
- Assessing the adequacy of the disclosure of bearer biological assets made in the notes to the financial statements.

03. Recoverability of Deferred Tax Assets on Accumulated Tax Losses

Refer note 18 & 27 to the financial statements and accounting policy for note 3.9.2.

Risk Description

The Group has recorded deferred tax assets of Rs. 2,142 Mn at 31 March 2023 for deductible temporary differences arising from accumulated tax losses that it believes are recoverable.

In recognizing this deferred tax asset, the management has considered expected utilization or recovery in the future through generation of future taxable profits by the Group entities or set off against deferred tax liabilities. This consideration involves significant judgment and estimates of the management in respect of assessing the sufficiency of future taxable profits and the probability of such future taxable profits being generated by the entities within the Group.

The recoverability of the deferred tax assets was significant to our audit because it involves significant management judgments based on the assumptions that are affected by expected future business strategies of the Group.

Our audit procedures included,

- Assessing the Group's approach for evaluating the likelihood of the recoverability of deferred tax assets on accumulated tax losses.
- Challenging the key assumptions included in forecasting the future taxable profits after considering the accumulated unutilized tax losses by comparing the key inputs used in the forecasts, including future revenue growth, management of operating costs with historical performance of the entities.
- Assessing the appropriateness of the approval for the forecasts used by the management.
- Assessing the adequacy of disclosures in the financial statements as required by the relevant accounting standards.

04. Revenue recognition

Refer note 04 to the financial statements and accounting policies for note 3.8.1.

Risk Description

The Group recorded revenue of Rs. 77,081 Mn. For the financial year ended 31 March 2023, revenue from E.B. Creasy & Company PLC and its subsidiaries continued to be the main revenue stream for the Group amounting to Rs. 23,342 Mn which is 30% of the Group revenue.

E.B. Creasy & Company PLC and its subsidiaries recognise Revenue from sale of goods when control has been transferred to the buyer and is measured net of trade discounts. Based on the business model, there are many different types of revenues, arising from different types of transactions and events with customers.

In addition, the subsidiary considers revenue as an important element in the preparation of budgets and measuring management performance. These factors could create an incentive for revenue to be recognised prior to control being transferred.



Considering above factors, we identified revenue as a key audit matter based on the significant judgment involved in determining point of recognition and inherent risk.

Our audit procedures included,

- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of management's key internal controls over the revenue recognition and measurement.
- Evaluating the appropriateness of the Group's revenue recognition policies, including the recognition, measurement and classification criteria as well as disclosure requirements as per SLFRS 15.
- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of key IT application controls over revenue, in addition to evaluating the integrity of the general IT control environment.
- Performing test of details over revenue by inspecting a sample of invoices and credit notes in order to ensure revenue is recognised and measured in accordance with the contractual terms of the contract and the Group accounting policies.
- On a sample basis, comparing specific revenue transactions recorded before and after the financial year end with the underlining goods delivery notes and/or invoices to assess whether the related revenue had been recognized in the correct financial period.

05. Carrying Value of Inventories

Refer note 19 to the financial statements and accounting policies for note 3.2.9.

Risk Description

The Group has recognized inventories amounting to Rs. 13,634 Mn as at 31 March 2023 out of that Rs. 4,847 Mn amount of Inventories derived from E. B. Creasy & Company PLC and its subsidiaries which is 36% of the Group's Inventories.

The Group has significant amount of inventory and judgment is exercised with regard to categorisation of inventories as obsolete and/or slow moving to be considered for provision estimates are then involved in arriving at provisions against cost in respect of slow moving and obsolete inventories to arrive valuation based on lower of cost and net realizable value. Given the level of judgements and estimates involved this is considered to be a key audit matter.

Our audit procedures included,

- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of management's key internal controls over inventory valuation and identify slow moving and obsolete inventories.
- Comparison of inventory levels, by product group, to sales data to corroborate whether slow moving and obsolete inventories had been appropriately identified and challenge the categorisation as obsolete or slow moving.
- On a sample basis, physically verify the inventories as at reporting date.
- Assessing the realisations of inventories during the period and after the period end, in particular of clearance categories, and compare these to the expected recoveries for inventory categorized as obsolete and/or slow moving at the period end date.
- Assessing whether the accounting policies had been consistently applied and the adequacy of the disclosures in respect of the judgement and estimation made in respect of inventory provisioning.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2599.

CHARTERED ACCOUNTANTS

Colombo, Sri Lanka
04th September, 2023

Statement of Profit or Loss & Other Comprehensive Income

For the year ended 31st March,	Notes	GROUP		COMPANY	
		2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Revenue	4	77,080,849	51,556,263	108,833	106,320
Cost of Sales		(54,482,866)	(41,343,431)	-	-
Gross Profit		22,597,983	10,212,832	108,833	106,320
Other Income	5.1	1,167,167	1,103,143	237,264	263,561
Distribution Expenses		(4,752,888)	(3,253,954)	-	-
Administrative Expenses		(5,243,253)	(3,796,036)	(79,917)	(65,961)
Other Expenses	5.2	(500,978)	(361,432)	(12)	(8,565)
Finance Income	6	213,491	136,169	92,979	36,351
Finance Costs	6	(6,488,454)	(3,520,682)	(139,661)	(62,655)
Net Finance Cost	6	(6,274,963)	(3,384,513)	(46,682)	(26,304)
Share of Results of Equity Accounted Investees ,Net of Tax	16.1	18,185	11,663	-	-
Share of Results of Joint Venture,Net of Tax	16.2	(165,413)	(127,808)	-	-
Profit/(Loss) before Tax	7	6,845,840	403,895	219,486	269,051
Income Tax Expense	8	(2,313,628)	(552,195)	(23,025)	(7,480)
Profit/ (Loss) for the Year		4,532,212	(148,300)	196,461	261,571
Other Comprehensive Income					
Items that will not be reclassified to Profit or Loss					
Actuarial Gains/(Losses) on Defined Benefit Plans	28.1 / 28.2	(167,596)	1,285,082	-	-
Tax on Other Comprehensive Income		(1,474,205)	(448,660)	-	-
Share of Other Comprehensive Income of Equity Accounted Investees, Net of tax		273,115	(61,329)	-	-
Revaluation of Land		76,157	1,267,963	-	-
Change in Value of FVOCI Financial Assets		128,592	6,515	(1,367)	1,787
Items that are or may be reclassified to Profit or Loss					
Exchange Differences on Translation of Foreign Operations		(163)	(578)	-	-
Other Comprehensive Income / (Loss) for the Year Net of Tax		(1,164,100)	2,048,994	(1,367)	1,787
Total Comprehensive Income/ (Loss) for the Year		3,368,112	1,900,694	195,094	263,358
Profit/(Loss)Attributable to:					
Owners of the Company		2,346,178	(351,291)	196,461	261,571
Non - Controlling Interest		2,186,034	202,991	-	-
Profit/(Loss)for the Year		4,532,212	(148,300)	196,461	261,571
Total Comprehensive Income Attributable to:					
Owners of the Company		1,706,998	617,539	195,094	263,358
Non - Controlling Interest		1,661,114	1,283,155	-	-
Total Comprehensive Income/ (Loss) for the Year		3,368,112	1,900,694	195,094	263,358
Earnings / (Deficit) per Share (Rs.)	9	9.78	(1.48)	0.82	1.10

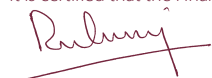
The Notes from pages 35 to 155 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Financial Position

As at 31st March,		GROUP		COMPANY	
		2023	2022	2023	2022
	Notes	Rs.'000	Rs.'000	Rs.'000	Rs.'000
ASSETS					
Non-Current Assets					
Property, Plant and Equipment	10	24,624,345	23,098,939	2,807	5,441
Biological Assets	10.6	3,317,885	3,133,550	-	-
Leasehold Property	11	793,667	791,084	-	-
Right to use of Assets	12	814,012	697,615	-	-
Investment Property	13	2,712,565	2,819,176	801,742	799,850
Intangible Assets	14	696,297	702,250	-	-
Investments in Subsidiaries	15	-	-	1,910,139	1,546,237
Investments in Associates	16.1	658,240	366,940	103,365	97,989
Investment in Joint Venture	16.2	-	163,547	-	-
Other Financial Assets	17	869,896	654,571	3,727	5,087
Employee Benefits	28	100,863	84,560	-	-
Deferred Tax Assets	18	654,855	557,554	-	-
Total Non-Current Assets		35,242,625	33,069,786	2,821,780	2,454,604
Current Assets					
Inventories	19	13,634,248	9,146,007	-	-
Fair Value gain on growing produce of bearer Biological Assets	10.5	43,278	18,692	-	-
Trade & Other Receivables	20	11,738,435	9,534,143	50,959	36,528
Amounts due from Related Parties	31.1	252,439	47,495	172,858	198,767
Loans Given to Related Parties	31.1	-	-	265,000	403,600
Income Tax Recoverable		82,861	89,443	-	-
Other Financial Assets	17.3	872,506	918,678	2,363	2,245
Cash & Cash Equivalents	21	1,940,956	2,924,453	29,492	33,895
Total Current Assets		28,564,723	22,678,911	520,672	675,035
Assets Held for Sale	22	-	30,000	-	-
Total Assets		63,807,348	55,778,697	3,342,452	3,129,639
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	23	927,000	927,000	927,000	927,000
Capital Reserves	24	20,058	20,058	10,000	10,000
Reserves		4,832,390	2,966,249	1,379,985	1,221,919
Equity Attributable to Owners of the Company		5,779,448	3,913,307	2,316,985	2,158,919
Non - Controlling Interest		5,744,584	4,644,964	-	-
Total Equity		11,524,032	8,558,271	2,316,985	2,158,919
Non-Current Liabilities					
Loans and Borrowings	25	12,301,269	10,217,894	164,063	195,312
Deferred Income- Capital Grants	26	504,140	525,750	-	-
Deferred Tax Liabilities	27	4,784,127	2,086,266	211,115	162,519
Employee Benefits	28	3,276,975	3,005,714	-	-
Rent Received In Advance	29	-	-	-	-
Total Non-Current Liabilities		20,866,511	15,835,624	375,178	357,831
Current Liabilities					
Trade & Other Payables	30	11,737,925	11,895,651	38,285	35,640
Amounts due to Related Parties	31.2	759,667	570,386	508,491	470,484
Loans and Borrowings	25	15,114,044	15,474,214	39,063	41,250
Rent Received in Advance	29	9,542	8,765	9,542	8,765
Income Tax Payable		1,169,945	503,871	54,908	56,750
Bank Overdraft	21	2,625,682	2,931,915	-	-
Total Current Liabilities		31,416,805	31,384,802	650,289	612,889
Total Liabilities		52,283,316	47,220,426	1,025,467	970,720
Total Equity and Liabilities		63,807,348	55,778,697	3,342,452	3,129,639
Net Asset per Share (Rs.)		24.08	16.31	9.65	9.00

The Notes on pages 35 to 155 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



M.V.M. Paulraj
Director
Corporate Managers & Secretaries (Private) Limited

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Approved and signed for and on behalf of the Board,



S.D.R. Arudpragasam
Chairman



Anushman Rajaratnam
Group Managing Director

Colombo
01st September, 2023

Statement of Changes in Equity

GROUP	Equity Attributable to Equity Holders of the Parent										Non-Controlling Interest	Total
	Stated Capital	Property Development Reserve	Capital Redemption Reserve Fund	FVOCI Reserve	General Reserve	Foreign Currency Translate Reserve	Revaluation Reserve	Accumulated Profit / (Loss)	Total			
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 31st March, 2021	730,368	15,190	4,868	1,122,823	84,453	(10,799)	2,611,347	(1,741,206)	2,817,044	3,706,309	6,523,354	
Profit/ (Loss)for the year	-	-	-	-	-	-	-	(351,291)	(351,291)	202,991	(148,300)	
Other Comprehensive Income for the Year	-	-	-	4,649	-	-	1,267,963	(303,204)	969,408	1,080,163	2,049,571	
Reclassification of Foreign Currency Translation Reserve	-	-	-	-	-	(578)	-	-	(578)	-	(578)	
Private Placement of Shares	196,632	-	-	-	-	-	-	-	196,632	-	196,632	
Acquisition of Subsidiary	-	-	-	-	-	-	-	-	-	(114,055)	(114,055)	
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	-	-	(223,515)	(223,515)	
Effect of Changes in Percentage in Subsidiaries	-	-	-	-	-	-	-	282,091	282,091	(6,929)	275,163	
Balance as at 31st March, 2022	927,000	15,190	4,868	1,127,472	84,453	(11,377)	3,879,310	(2,113,609)	3,913,307	4,644,964	8,558,271	
Profit/ (Loss)for the year	-	-	-	-	-	-	-	2,346,178	2,346,178	2,186,034	4,532,212	
Other Comprehensive Income for the Year	-	-	-	94,145	-	-	76,157	(809,320)	(639,018)	(524,918)	(1,163,937)	
Reclassification of Foreign Currency Translation Reserve	-	-	-	-	-	(163)	-	-	(163)	-	(163)	
Deferred Tax on Revaluation surplus on Land	-	-	-	-	-	-	(71,043)	-	(71,043)	-	(71,043)	
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	-	-	(309,750)	(309,750)	
Effect of Changes in Percentage in Subsidiaries	-	-	-	-	-	-	-	230,187	230,187	(251,746)	(21,558)	
Balance as at 31st March, 2023	927,000	15,190	4,868	1,221,617	84,453	(11,540)	3,884,424	(346,564)	5,779,448	5,744,584	11,524,032	

COMPANY	Equity Attributable to Equity Holders of the Parent					Total
	Stated Capital	Property Development Reserve	General Reserve	FVOCI Reserve	Accumulated Profit / (Loss)	
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 31st March, 2021	730,368	10,000	501	2,958	955,102	1,698,929
Private Placement of Shares	196,632	-	-	-	-	196,632
Profit for the year	-	-	-	-	261,571	261,571
Remeasuring of other non-current financial assets	-	-	-	1,787	-	1,787
Balance as at 31st March, 2022	927,000	10,000	501	4,745	1,216,673	2,158,919
Profit for the year	-	-	-	-	196,461	196,461
Remeasuring of other non-current financial assets	-	-	-	(1,367)	-	(1,367)
Deferred Tax on Revaluation surplus on Land	-	-	-	-	(37,028)	(37,028)
Balance as at 31st March, 2023	927,000	10,000	501	3,378	1,376,106	2,316,985

The Notes from pages 35 to 155 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Cash Flows

		GROUP		COMPANY	
For the year ended 31st March,	Notes	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Cash Flows from Operating Activities					
Profit before Working Capital Changes	A	15,632,207	5,768,242	9,055	19,694
(Increase)/Decrease in Inventories		(4,557,217)	(1,156,985)	-	-
(Increase)/Decrease in Trade & Other Receivables		(2,352,920)	(1,256,866)	(23,298)	(8,223)
(Increase)/Decrease in Amounts due from Related Parties		(239,341)	116,858	69,238	(75,884)
Increase/(Decrease) in Trade & Other Payables		(320,063)	(282,224)	2,645	(2,696)
Increase/(Decrease) in Amounts due to Related Parties		189,281	(535,434)	90,007	(96,629)
Cash Generated from Operating Activities		8,351,947	2,653,591	147,647	(163,738)
Income Tax Paid		(592,243)	(362,468)	(13,299)	-
Interest Expenses Paid		(6,488,454)	(3,520,682)	(139,661)	(62,545)
Gratuity Paid		(519,181)	(149,064)	-	-
Rent Income Received		34,673	31,708	34,673	31,708
Net Cash Generated from/(used in) Operating Activities		786,742	(1,346,915)	29,360	(194,575)
Cash Flows from Investing Activities					
Acquisition of Property, Plant & Equipment, Investment Property & Biological Assets		(3,354,264)	(1,245,813)	(5,703)	(171)
Acquisition of Intangible Assets		(4,520)	(14,298)	-	-
Proceeds from Disposal of Property, Plant & Equipment		421,110	207,632	-	2,800
Proceeds from Disposal of Investment Property		89,758	-	-	-
Loans given to Related Parties		-	-	138,600	(23,700)
Acquisition /Disposal of Subsidiaries and Equity Accounted Investments		-	(418,029)	(369,278)	(318,650)
Acquisition of FVTPL financial assets		(7,754)	(43,015)	-	-
Proceeds from Disposal of FVTPL financial assets		61,387	5,218	-	-
Net Disposal/Acquisition of Other Investments		(86,733)	61,169	(113)	-
Interest Income Received		213,491	136,169	91,681	36,424
Dividend Income Received		60,758	138,816	196,486	242,821
Net Cash Generated from/(used in) Investing Activities		(2,606,767)	(1,172,152)	51,673	(60,476)
Cash Flows from Financing Activities					
Capital Grants Received		2,755	24,063	-	-
Increase/(Decrease) in Other Short-Term Loans		(122,499)	4,099,015	-	-
Increase/(Decrease) in Loan Due to Related Parties		-	-	(52,000)	(141,900)
Proceeds from Rights Issue		-	196,632	-	196,632
Repayment of Lease Rentals		(98,638)	(169,605)	-	(1,809)
Receipt of Interest-bearing Borrowings		6,773,507	4,276,345	-	250,000
Redemption of Debenture		(72,235)	(68,859)	-	-
Right Issue of Shares by Subsidiary		205,178	288,741	-	-
Repayment of Interest-bearing Borrowings		(5,235,557)	(4,173,472)	(33,436)	(57,438)
Dividend Paid to Non Controlling Interests		(309,750)	(223,515)	-	-
Net Cash Generated from/(used in) Financing Activities		1,142,761	4,249,345	(85,436)	245,485
Net Increase/(Decrease) in Cash & Cash Equivalents		(677,264)	1,730,277	(4,403)	(9,566)
Cash & Cash Equivalents at the beginning of the year	21	(7,462)	(1,737,739)	33,895	43,461
Cash & Cash Equivalents at the end of the year	21	(684,726)	(7,462)	29,492	33,895

The Notes from pages 35 to 155 form an integral part of these Financial Statements

Figures in brackets indicate deductions.

Statement of Cash Flows contd.

For the year ended 31st March,		GROUP		COMPANY	
		2023	2022	2023	2022
	Note	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Note A					
Profit before Working Capital Changes					
Profit Before Tax		6,845,840	403,895	219,486	269,051
Adjustments for;					
Depreciation and Amortisation	10-13	1,709,939	1,355,019	6,445	6,833
Dividend Income	5	(60,758)	(138,816)	(186,323)	(255,281)
Amortisation of Rent Income	29	(33,896)	(31,266)	(33,896)	(31,266)
Interest Expense	6	6,488,454	3,520,682	139,661	62,655
Amortisation of Intangible Assets	14	10,473	18,291	-	-
Amortisation of Capital Grants	26	(24,365)	(24,838)	-	-
Gain on Disposal of Property, Plant & Equipment / Timber trees	5	(62,030)	(18,723)	-	(2,800)
Exchange Loss on Translation of Foreign Currency Loan	25.3	119,446	312,521	-	-
Interest Income	6	(213,491)	(136,169)	(92,979)	(36,351)
Provision for Retirement Gratuity	28	606,543	509,378	-	-
Share of (Profit)/Loss of Equity Accounted Investees		(18,185)	(11,663)	-	-
Share of results of Joint Ventures		165,413	127,808	-	-
(Gain) / Loss on Disposal of Investments in Subsidiaries		-	-	-	(1,676)
Change in Fair Value of Financial assets classified as FVTPL	5	54,755	(61,736)	(11)	818
Provision for/(Reversal of) Impairment fall in Value of Investments		-	-	-	100
Impairment Loss/(Reversal of Impairment Loss) on					
Trade & Other Receivables	20	163,252	105,635	-	-
Impairment Loss/(Reversal of Impairment Loss) on					
Related Party Receivables	31	34,397	(4,634)	(43,328)	7,611
Change in Fair Value of Biological Assets	5	(216,292)	(193,466)	-	-
Write off during the year		28,054	(3,441)	-	-
Impairment/(Reversal of Impairment Loss) on Inventories	5	68,976	116,106	-	-
Creditors No Longer Payable Written Back	5	(26,277)	(60,174)	-	-
Reversal of Provision for Bad Debts on Trade Receivables	5	(8,042)	(16,167)	-	-
		15,632,207	5,768,242	9,055	19,694

Notes to the Financial Statements

1. REPORTING ENTITY

The Colombo Fort Land & Building PLC is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office and principal place of business of the Company is located at No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1.

The ordinary shares of the Company are listed on the Colombo Stock Exchange. In the Annual Report of the Board of Directors and in the financial statements, 'the Company' refers to The Colombo Fort Land & Building PLC as the Parent Company and 'the Group' refers to the Companies whose accounts have been consolidated therein.

The principal activities of the Company include real estate and property development, management of an investment portfolio and provision of management services. The Companies within the Group are engaged in;

- a) Real estate and property development.
- b) Manufacture and marketing of chemicals, paints, hardware, building materials and packaging.
- c) Manufacture and marketing of consumer disposables, food & beverage products and marketing and distribution of pharmaceuticals.
- d) Marketing of motor vehicles & accessories and providing vehicle maintenance services.
- e) Tourist hotels and inbound tour operations.
- f) Production, processing and marketing of tea, rubber and desiccated coconut and cultivation and sale of palm oil.
- g) Management of investment portfolios.
- h) Provision of management services.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The financial statements of the Company and the consolidated financial statements of the Group have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) adopted by The Institute of Chartered Accountants of Sri Lanka (CA) and the requirements of the Companies Act No.07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The financial statements of the Company and the consolidated financial statements of the Group comprise the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and Statement of Cash flows together with the Accounting Policies and Notes to the financial statements.

The financial statements of the Group and the Company for the year ended 31st March, 2023 were authorised for issue by the Board of Directors on 01st September, 2023.

2.2 Basis of Measurement

The consolidated financial statements have been prepared on an accrual basis and under the historical cost basis, except for

measurement of the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value.
- Non-derivative financial instruments at fair value through profit or loss are measured at fair value.
- Non-derivative Financial instruments at fair value through Other Comprehensive Income are measured at fair value.
- Class of land under Property, Plant & Equipment is valued under Revaluation model. (Note 10.3)
- Biological assets (managed timber) are measured at fair value less costs to sell. (Note 10.5)
- Defined benefit assets are measured at the present value of the defined benefit obligations. (Note 28)

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs : are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs : are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 inputs : are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

2.3 Functional and Presentation Currency

The financial statements are presented in Sri Lankan rupees, which is the Group's functional currency. All financial information presented in Sri Lankan rupees has been rounded to the nearest thousand, except when otherwise indicated.

2.4 Key Accounting Judgements and Estimates

The preparation of financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities at the reporting date. Judgments and estimates are based on historical experience and other factors including expectations that believe to be reasonable under circumstances. Actual results may differ from those estimates and judgmental decisions.

Notes to the Financial Statements contd.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

2.4.1 Economic Considerations

During the first half of 2022 all key sectors contracted, amid shortages of inputs and supply chain disruptions with the economic crisis. The core inflation (National Consumer Price Index) accelerated sharply from mid-2022 and reached 57% by the end of 2022. This reflects the impact of rising commodity prices, monetization of the fiscal deficit and currency depreciation. From January 2023 onwards the year on year core inflation rate started to drop slightly whereas in March 2023 the year on year inflation rate is 44%. The outlook for the global economy took a positive turn in the first half of 2023 as inflationary pressure began to ease, but ongoing political tensions and domestic challenges in key markets are slowing any return to sustained growth of the business. Further global energy prices returning to levels last seen prior to the invasion of Ukraine, combined with easing commodity and food prices, have helped put further downward pressure on inflation for the rest 2023.

Lock down restrictions imposed time to time as a measure to control the spread of the pandemic and the challenges imposed from the macroeconomic front caused disruptions to the business operations and delays in recovery of debts. However, the Group's overall business was not significantly impacted. No significant increase in credit risk was identified in respect of receivables. As the situation is evolving, the effects of these challenges are subject to uncertainty, with the full range of possible effects currently unknown. However, the management is vigilant on social and economic variables, and will continue to monitor and assess the impact and likelihood of both risks and opportunities.

2.4.2 Judgements

Judgments, estimates and assumptions made by management in the application of SLFRSs/LKASs that could have a significant effect on the financial statements are mentioned below.

	Policy No.	Note No.
Valuation of Property, Plant and Equipments	3.2.1	10
Valuation of Leasehold Property	3.10.1	11
Valuation of Intangible Assets	3.2.8	14
Deferred Tax	3.9.2	27 and 18
Valuation of Employee Benefit Liabilities	3.6	28
Valuation of Biological Assets	3.10.9	10.6
Leases	3.2.5	12
Provisions, Contingent Assets and Liabilities	3.7	36
Unquoted Investments	3.1.4	17.1.2

2.5 Materiality and Aggregation

Each material class of similar items is presented separately in the financial statements. Items of a dissimilar nature or function are presented separately unless they are immaterial.

2.6 Comparative Information

Comparative information has been reclassified to conform to the current year's presentation, where necessary. Except when a standard permits or requires otherwise, comparative information is disclosed in respect of the previous period. Where the presentation or classification of items in the financial statements are amended, comparative amounts are reclassified unless it is impracticable.

2.7 Going Concern

In preparing these financial statements, the management has assessed the existing and anticipated the economic uncertainties on the Group and the appropriateness of the use of the going concern basis of preparation giving special attention on short to medium term economic outlook.

The Group's management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for a foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.8 Current versus Non-Current Classification

The Group presents assets and liabilities in the Statement of Financial Position based on Current / Non-Current classification. An asset is Current when it is expected to be realized or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading or expected to be realized within twelve months after the reporting period or is Cash or Cash Equivalents unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as Non-Current Assets.

A liability is Current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period or there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting date.

All other liabilities are classified as Non-Current Liabilities.

2.9 Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or to realize the assets and settle the liabilities simultaneously. Income and expenses are not offset in the Income Statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the Significant Accounting Policies of the Company.

3. SIGNIFICANT ACCOUNTING POLICIES

Changes in Significant Accounting Policies

There were no changes in Accounting Policies for the year ended 31 March 2023.

Further a number of other new standards were effective from 1 April 2022 but they do not have a material effect on the Group's Financial Statements.

The accounting policies set out from Note 3.1 onwards have been applied consistently for all periods presented in the financial statements by the Group and Company.

3.1 Basis of Consolidation

The consolidated financial statements (referred to as the 'Group') comprise of the financial statements of the Group, its Subsidiaries and the Group's interest in equity accounted investees.

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs.

The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognized in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it;

- Derecognises the assets (including goodwill) and liabilities of the subsidiary.
- Derecognises the carrying amount of any non-controlling interest.
- Derecognises the cumulative translation differences, recorded in equity.
- Recognises the fair value of the consideration received.
- Recognises the fair value of any investment retained.
- Recognises any surplus or deficit in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.

- Reclassifies the Parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognised amount of any non-controlling interests in the acquiree, plus if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interests at fair value, or at their proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

In a business combination achieved in stages, the Group remeasures its previously held equity interest in the acquiree at its acquisition - date fair value and recognises the resulting gain or loss, if any, in the Statement of Profit or Loss and Other Comprehensive Income.

3.1.1 Acquisitions of Non-Controlling Interest

Acquisitions of non-controlling interests are accounted for as transactions with owners, in their capacity as owners and therefore no goodwill is recognised as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; the contractual arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins

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when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company. The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group

The following companies in which the Group's effective holding is less than 50% have been consolidated as the group has the practical ability to direct the relevant activities of these entities, unilaterally.

Company Name	Holding
Muller and Phipps (Ceylon) PLC	30.72%
Laxapana Batteries PLC	40.90%
Marawila Resorts PLC	40.64%
C.W. Mackie PLC	41.22%
Agarapatana Plantations Limited	44.67%
Lankem Developments PLC	46.04%
Sigiriya Village Hotels PLC	47.47%
Kotagala Plantations PLC	48.56%
York Arcade Holdings PLC	49.99%

Loss of Control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and other components of equity relating to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as a FVOCI financial asset depending on the level of influence retained.

3.1.3 Investments in Equity Accounted Investees (Associates and Jointly Controlled Entities)

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% and 50% of the voting power of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The Group has Joint Control in a venture when there is contractually agreed sharing of control of the venture and the decisions about

the relevant activities of the venture require the unanimous consent of the parties sharing control.

Associates and Joint ventures are treated as equity accounted investees and are accounted for using the equity method.

Under the equity method Investments in equity-accounted investees are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is adjusted at each reporting date to recognise changes in the Group's share of net assets of the equity-accounted investees arising since the acquisition date. Goodwill relating to the equity-accounted investees is included in the carrying amount of the investment. Dividends declared by the equity-accounted investees are recognised against the equity value of the Group's investment.

The income statement reflects the Group's share of the results of operations of the equity accounted investees. When there is a change recognised directly in the Other Comprehensive Income or equity of the entity, the Group recognises its share of any changes, when applicable, in the statement of profit or loss and Other Comprehensive Income or the changes in equity. Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investees are eliminated to the extent of the interest in the equity-accounted investees.

The Group's share of profit or loss of equity accounted investees is shown on the face of the income statement and represents profits or loss after tax of the entity.

Adjustments are made if necessary, to the financial statements of the equity accounted investees to bring the accounting policies in line with those of the Group. After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its equity accounted investee. The Group determines at each reporting date whether there is any objective evidence that the investment in the equity accounted investee is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity-accounted investees and its carrying value and recognises the amount in 'share of losses of an equity accounted investee' in the income statement.

Upon loss of significant influence over the associate or the joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the equity accounted investee disposed and the fair value of the retaining investment and the proceeds from disposal is recognised in the income statement.

Non-Controlling Interest

Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit or loss for the year in the Consolidated Statement of Profit or Loss and Other Comprehensive Income and as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent's shareholders' equity.

Summarised financial Information in respect of subsidiaries that have non-controlling interests that are material to the reporting entity (i.e., the Group) is disclosed separately when applicable.

3.1.4 Other Long-Term Investments

Investment in companies where the Group's holding is less than 20% and where the Group does not exercise significant influence and/or control over the financial and operating policies/decisions are accounted for on the basis stated in Note 3.3 below. The income from these investments is recognised only to the extent of dividend received.

3.1.5 Profits and Losses

The total profits and losses of the Company and its subsidiaries for the period are included in the consolidation. The proportion of the profit or loss after taxation attributable to non-controlling interest shareholders of the subsidiaries is shown as a component of profit for the period in the Consolidated Statements of Comprehensive Income.

3.1.6 Assets and Liabilities

All assets and liabilities of the Company and its subsidiaries are included in the Consolidated Statement of Financial Position. Non-controlling interest which represents the proportion of interest attributable to non-controlling interest of subsidiaries in the net assets employed by the Group is disclosed as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent shareholders' equity.

3.1.7 Transactions Eliminated on Consolidation

All intra group balances and transactions, income and expenses and profits and losses resulting from intra group transactions that are recognised in assets, liabilities, income and expenses are eliminated in preparing the consolidated financial statements.

3.1.8 Reporting Date

All subsidiaries and equity accounted investees of the Group have a common financial year as the Parent Company other than Sunquick Lanka Property (Private) Limited. Whose financial year ends on 31st December. Group incorporates the results of Sunquick Lanka Property (Private) Limited up to 31st March in the Group's financial statements.

3.1.9 Foreign Currency Transactions

All foreign currency transactions are translated to Sri Lankan Rupees at the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into local currency at the exchange rate at that date.

The foreign currency gain or loss on monetary items is the difference between the amortised cost in Sri Lankan Rupees at the beginning of the period, adjusted for effective interest and payments during the period, and the amortized cost in foreign currency translated at the exchange rate at the end of the reporting period.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured based on historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

3.2 Property, Plant & Equipment

3.2.1 Recognition and Measurement

Items of property, plant & equipment except freehold land are measured at cost less accumulated depreciation and accumulated impairment losses. From 31 March 2019, freehold land of the Group is recognised at revalued amount and such revaluation will be assessed once in three years.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

- The cost of materials and direct labour
- Any other costs directly attributable to bringing the assets to a working condition for their intended use
- When the entity has an obligation to remove the asset or restore the site an estimate of the costs of dismantling and removing the items and restoring the site on which they are located
- Capitalised borrowing costs

When parts of an item of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

Any gain or loss on disposal of an item of property, plant & equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use the previous revaluation as deemed cost on 1st April, 2011, the date of transition.

3.2.2 Subsequent Expenditure

The cost of replacing part of an item of property, plant & equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy given below. The costs of the day-to-day servicing of property, plant & equipment are recognised in profit or loss as incurred.

3.2.3 Derecognition and Depreciation

Items of property, plant & equipment are derecognised upon replacement, disposal or when no future economic benefits are

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expected from its use. Any gain or loss arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each part of an item of property, plant & equipment. Assets held under finance leases are depreciated over the shorter of the lease term and the useful lives of equivalent owned assets. Freehold land is not depreciated.

Depreciation of an asset begins when it is available for use whereas depreciation of an asset ceases at the earlier of the date that the asset is classified as held-for-sale and the date that the asset is derecognised. Provision for depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant & equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

The estimated useful lives of assets are as follows:

Assets	Years
Freehold Buildings	10-40
Plant & Machinery	04 - 13 1/3
Motor Vehicles	04-05
Office Equipment	08-10
Furniture & Fittings	08-10
Computer Equipment	04-05
Electricity	20
Mature Plantations - Tea	33 1/3
Mature Plantations - Rubber	20
CTC Machinery	20
Freehold Buildings on Leasehold Lands	Over the lease period or estimated useful life whichever is shorter
Linen, Cutlery & Crockery	On replacement basis /4 years

The useful life and residual value of assets are reviewed, and adjusted if required, at the end of each financial year.

3.2.4 Finance Leases

Property, plant & equipment on finance leases, which effectively transfer to the Group substantially all the risk and benefits incidental to ownership of the leased items, are classified as leasehold assets under the property, plant & equipment and stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception of the lease, less the accumulated depreciation. Depreciation is made over the remaining lease or the useful life of the asset, whichever is shorter.

3.2.5 Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset,

the Group uses the definition of a lease in SLFRS 16. This policy is applied to contracts entered into, on or after 1 April 2019.

3.2.5.1 As a Lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Group entities uses its incremental borrowing rate as the discount rate.

The Group entities determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in "Right-of-use" assets and lease liabilities in interest bearing loans and borrowings in the statement of Financial Position.

Short term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

3.2.5.2 As a Lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risk and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic useful life of the asset.

When the Group is an intermediate lessor, it accounts for its interest in the head lease and the sub-lease separately. It assesses the lease classification of sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies sub-lease as an operating lease.

The Group recognises lease payments received under operating leases as rental income on a straight-line basis over the lease term as part of 'other income'. Generally, the accounting policies to the Group as a lessor in the comparative period were not different from SLFRS 16.

Short term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

3.2.6 Investment Property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not held for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Cost includes expenditure that is directly attributable to the acquisition of the investment property. The cost of self constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use fair value as at the date of transition, 1st April 2011 as deemed cost. Consequently, investment property is measured at deemed cost less accumulated depreciation and any impairment losses. Depreciation is recognised on a straight-line basis over the estimated useful life of the investment property.

Investment properties are derecognised when disposed of, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal. Transfers are made to and from investment property only when there is a change in use in accordance with the criteria listed in LKAS 40 - Investment Property.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant & equipment in the consolidated financial statements, and accounted for in accordance with LKAS 16 - Property, Plant & Equipment.

3.2.7 Borrowing Costs

Borrowing costs are recognised as an expense in the period in which they are incurred except those that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, where it is capitalised as a part of the cost of that asset.

3.2.8 Intangible Assets

An intangible asset is initially recognised at cost, if it is probable that future economic benefit will flow to the enterprise, and the cost of the asset can be measured reliably.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

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Intangible assets with finite lives are amortised over the useful economic life, from the date that they are available for use and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at least once at each financial year end.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash-generating unit level.

Goodwill

Goodwill arising on an acquisition represents the excess of the cost of acquisition over the fair value of net assets acquired. Goodwill is measured at cost less accumulated impairment losses.

Gain from bargain purchase arising on an acquisition represents the excess of the fair value of the net assets acquired over the cost of acquisition. Gain from bargain purchase is recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

Software

All computer software cost incurred, which are not internally related to associate hardware, which can be clearly identified, reliably measured and its probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category of intangible assets.

3.2.9 Inventories

Inventories are measured at lower of cost and estimated net realisable value.

In general, cost is determined on weighted average basis other than in Candy Delights Limited whose cost of inventory is determined on first-in, first out basis (FIFO).

The cost includes all expenses incurred in acquiring the inventories and bringing them to their existing condition. In the case of finished products, cost includes all direct expenditure and production overheads based on the normal level of activity.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated selling expenses and where applicable, cost of conversion from their existing state to the finished condition.

Provision is made for obsolete, slow moving and defective inventories where necessary.

Goods in transit are determined based on actual cost.

3.2.10 Assets Held for Sale

Before the classification as held-for-sale, non-current assets and liabilities in the disposal group are measured in accordance with relevant SLFRSs. Non-current assets and disposal groups classified as held-for-sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal

groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Non-current assets are classified as held for distribution when the Company/Group committed to distribute the assets or disposal group to its owners.

Impairment losses on initial classification as held-for-sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

3.3 Financial Instruments

3.3.1 Recognition and Initial Measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provision of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.3.2 Classification and subsequent measurement

3.3.2.1 Financial Assets

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI – debt investment; FVOCI – equity instrument; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit

risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features)

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par amount, a feature that permit or requires prepayment at an annual amount that substantially represent the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

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3.3.2.2 Financial Liabilities

Classification, subsequent measurement and gains and losses
Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

3.3.2.3 Derivative Financial Instruments

Derivatives are initially recognised at fair value; any directly attributable transaction costs are recognised in profit or loss as incurred. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are generally recognised in profit or loss.

3.3.3 De-recognition

3.3.3.1 Financial Assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

3.3.3.2 Financial Liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On de-recognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

3.3.4 Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.3.5 Impairment

3.3.5.1 Non-derivative Financial Assets

The Group recognises loss allowances for Expected Credit Loss (ECL) on:

- financial assets measured at amortised cost;
- debt investments measured at FVOCI; and
- contract assets.

The Group measures loss allowance at an amount equal to lifetime ECLs, except for the following, which are measured at 12-months ECLs:

- debt securities that are determined to have low credit risk at the reporting date; and
- other debt securities and bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowance for trade receivables and contract assets are always measured at an amount equals to life time ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligation to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

The Group considers a debt security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data;

- significant financial difficulty of the borrower;
- a breach of contract such as default or being more than 90 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

For debt securities at FVOCI, the loss allowance is charged to profit or loss and is recognised in OCI.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 90 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

3.3.5.2 Non-financial Assets

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than biological assets, investment property, inventories and deferred tax assets) to determine whether there is any indication of impairment. If any such indicator exists, then the asset's recoverable amount is estimated. Goodwill is tested annually for impairment.

For impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or CGUs. Goodwill arising from a business combination is allocated to CGUs or groups of CGUs that are expected to benefit from the synergies of the combination.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

An impairment loss is recognised if the carrying amount of an asset or CGU exceeds its recoverable amount.

Impairment losses are recognised in profit or loss. They are allocated first to reduce the carrying amount of any goodwill allocated to the CGU, and then to reduce the carrying amounts of the other assets in the CGU on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have determined, net of depreciation or amortisation, if no impairment loss had been recognised.

3.4 Cash and Cash Equivalents

Cash and cash equivalents comprise of cash balances and call deposits with maturities of three months or less from the acquisition date that are subject to an insignificant risk of changes in their fair value, and are used by the Group in the management of its short term commitments.

3.5 Stated Capital Ordinary Shares

Ordinary shares are classified as equity. As per the Companies Act No. 07 of 2007, Section 58 (1), stated capital in relation to a Company means the total of all amounts received by the Group or due and payable to the Group in respect of the issue of shares and in respect of call in arrears.

3.6 Employee Benefits

Defined Benefit Plans - Retirement Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

The Group's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs and the fair value of any plan assets are deducted.

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The defined benefit obligation is calculated annually by independent qualified actuaries using Project Unit Credit method (PUC) as recommended by LKAS 19 - Employee Benefits. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows.

The actuarial gain or losses arising from defined benefit plans are recognised immediately in Other Comprehensive Income.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service.

Provisions has not been made for gratuity in the accounts of the Company as per LKAS 19 - 'Employee Benefits', since the Company did not employ any staff. All staff related services are provided by Corporate Managers & Secretaries (Pvt) Ltd.

Defined Contribution Plan - Employees' Provident Fund & Employees' Trust Fund

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. All employees who are eligible for Provident Fund Contributions and Trust Fund Contributions are covered by relevant contribution funds in line with respective statutes and regulations.

Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the periods during which related services are rendered by employees.

Contribution for Employees Provident Fund and Employees Trust Fund have not been made since the Company does not employ any staff.

When the benefits of a plan are changed or when a plan is curtailed, resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

3.7 Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations present, legal or constructive obligations existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow.

All contingent liabilities are disclosed as a note to the financial statements unless the outflow of resources is remote. Contingent assets are disclosed, where inflow of economic benefit is probable.

3.8 Statement of Profit or Loss and Other Comprehensive Income

3.8.1 Revenue Recognition

As per SLFRS 15, Revenue from contracts with customers, revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes.

The nature and timing of the satisfaction of performance obligations in contract with customers, including significant payment terms, and the related revenue recognition policies are given below:

Sale of Goods

Customers obtain control of products when the goods are delivered to and have been accepted at their premises. Invoices are generated at that point in time. Invoices are usually payable within 30/60/90 days based on the product category

Rendering of Services

Revenue from rendering of services is recognized in the accounting period in which the services are rendered or performed.

Revenue from Hotel Services

Revenue is recognised on the rooms occupied on a daily basis and food and beverage and other hotel related sales are recognised at the point of sale.

3.8.1.1 Other Sources of Revenue Dividend Income

Dividend Income is recognised in the Statement of Profit or Loss on the date when the entities right to receive payment is established.

Finance Income

Finance income comprises interest income on funds invested (including Financial Assets at FVTPL), gains on the disposal and Fair Value Gains on Financial Assets at fair value through Profit or Loss. Interest income is recognised as it accrues in profit or loss, using the effective interest method.

Rental Income

Rental income from investment property is recognised in profit or loss on a straight-line basis over the term of the lease.

Other Income - Other income recognised based on the actual basis. Gains and losses of a revenue nature on the disposal of Property, Plant and Equipment and other non-current assets are recognised by comparing the net sales proceeds with the carrying amount of the corresponding asset and are recognised net within 'other income' in the Statement of Profit or Loss.

3.8.2 Expenditure Recognition

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to Statement of Profit or Loss and Other Comprehensive Income in arriving at the profit for the year.

Expenditure incurred for the purpose of acquiring and extending or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

For the purpose of presentation of the Statement of Profit or Loss and Other Comprehensive Income, the “function of expenses” method has been adopted, on the basis that it presents fairly the elements of the Company and the Group’s performance.

3.8.3 Finance Income and Finance Costs

Finance income comprises interest income on funds invested (including Financial Assets at FVTPL). Interest income is recognised as it accrues in the Statement of Profit or Loss and Other Comprehensive Income, using the effective interest method.

Finance costs comprise of all interest and other costs incurred in connection with borrowings, and are recognised as an expense in the period in which they are incurred, unless they are incurred in respect of qualifying assets in which case it is capitalised.

Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.9 Income Tax Expenses

Income tax expense comprises current and deferred tax. Income tax expense is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity, or in OCI.

The Group has determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore accounted for them under LKAS 37 Provisions, Contingent Liabilities and Contingent Assets.

3.9.1 Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustments to tax payable in respect of previous years.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act, No.24 of 1977.

3.9.2 Deferred Tax

Deferred taxation is the tax attributable to the temporary differences that arise when taxation authorities recognise and measure assets and liabilities with rules that differ from those used in the financial statements.

Deferred tax is provided using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognised for all deductible temporary differences, unused tax credits and tax losses carried forward to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, the unused tax credits and tax losses carried forward can be utilised.

Deferred tax is not recognised for the following temporary differences:

- Taxable temporary differences arising on the initial recognition of goodwill
- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects either accounting or taxable profit
- Temporary differences related to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Tax withheld in dividend income from subsidiaries and associates is recognised as an expense in the consolidated Statement of Profit or Loss and Other Comprehensive Income at the same time as the liability to pay the related dividend is recognised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group Statement of Financial Position and are not offset against each other.

3.10 Accounting Policies Which are Specific to the Business of Plantation Companies

The plantation companies in the Group adopt certain accounting policies, which differ from that of the Group since the nature of operation of the plantation companies is significantly different from that of the rest of the Group. Those accounting policies of plantation companies that significantly vary from the rest of the Group are given below:

3.10.1 Leasehold Properties

Leasehold properties comprise of leasehold rights of assets (bare lands and immovable lease assets) taken over from Janatha Estate Development Board (JEDB) / Sri Lanka State Plantation Corporation (SLSPC) on a long term basis.

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease

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liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. The leasehold rights of assets taken over from JEDB/SLSPC are amortised in equal amounts over the shorter of the remaining lease periods and the useful lives as follows:

3.10.2 Permanent Land Development Costs

Permanent land development costs are those costs incurred to make major changes to land contours to build new access roads and other major infrastructure development. Such expenditure on leasehold land has been capitalised and amortised over the remaining lease period. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.10.3 Limited Life Land Development Costs (Mature and Immature Plantations)

The cost of new planting, replanting, inter-planting and crop diversification incurred between the time of field development and being ready for commercial harvesting are classified as immature plantations. Further, the general charges incurred on the plantation are apportioned on the labour days spent on respective replanting and new planting, and capitalised on the immature areas. The remaining portion of the general charges is charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which it is incurred. No depreciation is provided for immature plantation.

The total expenditure incurred on perennial crops (Tea & Rubber) which come into bearing during the year have been transferred to mature plantations and depreciated over its useful life time. No depreciation has been charged on mature plantations in the year of transfer. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

3.10.4 Borrowing Costs

Borrowing costs that are directly attributable to acquisition, construction or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalised as a part of the asset.

Borrowing costs that are not capitalised are recognised as expenses in the period in which they are incurred and charged to the Statement of Profit or Loss and Other Comprehensive Income.

The amounts of the borrowing costs which are eligible for capitalisation are determined in accordance with LKAS 23 – “Borrowing Costs”.

Borrowing costs incurred in respect of specific loans that are utilised for field development activities have been capitalised as a part of the cost of the relevant immature plantation. The capitalisation will cease when the crops are ready for commercial harvest.

3.10.5 Infilling Cost on Bearer Biological Assets

Where Infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalized and depreciated over the useful life at rates applicable to mature plantations. Infilling costs that are not capitalized have been charged to the Statement of Comprehensive Income in the year in which they are incurred.

3.10.6 Inventories

Finished Goods Manufactured from Agricultural Produce of Biological Assets.

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items. Net realisable value is the estimated selling price at which stocks can be sold in the ordinary course of business after allowing for cost of realisation and/or cost of conversion from their existing state to saleable condition.

Input Material	At average cost (Agarapatana Plantations Limited) At actual cost on FIFO basis (Kotagala Plantations PLC)
Growing Crop-Nurseries	At the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads less provision for overgrown plants.
Spares & Consumables Produce Stocks	At actual cost on FIFO basis. Estimated realisable price or since realised price or cost

3.10.7 Grants and Subsidies

Grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is set up as deferred income. Where the Group receives non-monetary grants, the asset and that grant are recorded at nominal amounts and are released to the Statement of Profit or Loss and Other Comprehensive Income over the expected useful life of the relevant asset by equal annual instalments.

3.10.8 Retirement Benefit Obligations

The Retirement Benefit Plan adopted is as required under the Payment of Gratuity Act No.12 of 1983 to eligible employees. This item is grouped under Retirement Benefit Obligations in the Statement of Financial Position.

All Workers and Staff

Provision of gratuity for all workers and staff is on actuarial basis, using the Projected Unit Credit (PUC) method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using the interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. Actuarial gains and losses arising from experience

adjustments and changes in actuarial assumptions are recognised as income and expense in the period in which they arise. Past service costs are recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

The actuarial valuation was carried out by a professionally qualified Actuaries as disclosed in Note 28.

The Group expects to carry out actuarial valuation every year. The key assumptions used by the actuary include the following.

- Rate of Interest - 10% - 15% p.a.
- Salary Increment Rate - Staff 7.5% - 10% per annum
- Retirement Age - 55 to 60 year

3.10.9 Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber that are to be harvested as agricultural produce or sold as biological assets.

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment.

The cost of land preparation, rehabilitation, new planting, replanting, crop diversification, inter planting and fertilizing etc. incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads. The expenditure incurred on bearer biological assets (Tea) which comes into bearing during the year, is transferred to mature plantations.

The managed timber is measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial. The fair value of timber trees are measured using Discounted Cash Flow (DCF) method taking

into consideration the current market prices of timber, applied to expected timber content of a tree at maturity by an independent professional valuer.

The Main Variables in DCF Model Concerns;

Variable	Comment
Currency valuation	Rs.
Timber content	Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department.
Economic useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department.
Selling price	Estimated based on prevailing Sri Lankan market prices factoring all the conditions to be fulfilled in bringing the trees in to saleable condition.(price range per cu ft is Rs. 386 - 1,188)
Discount Rate	Future cash flows are discounted at the rate of 21.5%, 22.5% & 23.5% (2021/22 - 18%, 19% & 20%)

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads, less provision for overgrown plants.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the Statement of Profit or Loss and Other Comprehensive Income for the period in which it arises.

Impairments to biological assets are charged to the Profit or Loss Statement in full and reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.11 Statement of Cash Flows

The Statement of Cash Flows has been prepared using 'indirect method'. Interests paid are classified as operating cash flows while dividends paid are classified as financing cash flows. Interests and dividends received are classified as investing cash flows for the purpose of presentation of Statement of Cash Flows.

For the purpose of Statement of Cash Flows, cash & cash equivalents consist of cash at bank and in hand and short-term deposits net of outstanding bank overdrafts.

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3.12 Segmental Reporting

A segment is a distinguishable component of an enterprise that is engaged in either providing products or services (Business Segments) or in providing products or services within a particular economic environment (Geographic Segment) which is subject to risks and rewards that are different from those of other segments.

Segment information is presented in respect of the Group's business activities. The business segment has been identified as the primary segment of the Group as there are no distinguishable components to be identified as geographical segments for the Group. The business segments are reported based on the Group's management and internal reporting structure.

3.13 Related Party Transactions

Disclosures have been made in respect of the transactions between parties who are defined as related parties as per Sri Lanka Accounting Standards (LKAS) 24 – Related Party Disclosures.

3.14 Earnings per Share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.15 Events after the Reporting Period

All material occurring events after the reporting period have been considered and appropriate adjustments to or disclosures have been made in the financial statements.

3.16 Operating Profit

Operating profit is the result generated from the continuing principal revenue producing activities of the Group as well as other income and expenses related to operating activities. Operating profit excludes net finance costs, share of profit of equity accounted investees and income taxes.

3.17 Financial Risk Management Policies

The Group's principal financial liabilities comprise of loans and borrowings, trade and other payables, and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The Group has loan and other receivables, trade and other receivables, and cash and short-term deposits that arise directly from its operations. The Group also holds debt and equity instruments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management monitors these risks. The Group's senior management is supported by an Audit Committee that advises on financial risks and the appropriate financial risk governance framework for the Group. The Audit Committee provides assurance

to the Group's senior management that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with group policies and group risk appetite.

The Group's objectives, policies and processes for measuring and managing risk from financial instruments and the management of capital are reported separately in Note 33.6 in conformity with Sri Lanka Financial Reporting Standards.

3.18 Directors responsibilities

The Board of Directors of the Company is responsible for the preparation and presentation of Consolidated Financial Statements as per the provisions of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards (SLFRSs/ LKASs). This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

3.19 New and Amended Standards Issued but not Effective as at the Reporting Date

3.19.1 Standards Issued but not yet Effective

A number of new standards are effective for annual periods beginning after 1st April 2022 and earlier application is permitted; however, the Group has not early adopted the new or amended standards in preparing these consolidated financial statements. Once the standards become effective after 01st April 2022, the following amended standards and interpretations are not expected to have a significant impact on the Company's financial statements.

▪ Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to LKAS 12)

The amendments narrow the scope of the initial recognition exemption to exclude transactions that give rise to equal and offsetting temporary differences – e.g. leases and decommissioning liabilities. The amendments apply for annual reporting periods beginning on or after 1 January 2023. For leases and decommissioning liabilities, the associated deferred tax asset and liabilities will need to be recognised from the beginning of the earliest comparative period presented, with any cumulative effect recognised as an adjustment to retained earnings or other components of equity at that date. For all other transactions, the amendments apply to transactions that occur after the beginning of the earliest period presented.

▪ Classification of Liabilities as Current or Non-Current (Amendments to LKAS 1)

The amendment aims to clarify the requirements on determining whether a liability is current or non-current and apply for annual reporting periods beginning on or after 1 January 2023.

The amendments in classification of liabilities as current or non-current (Amendment to LKAS 1) affect only the presentation of liabilities in the statement of financial position not the amount or timing of recognition of any assets, liability, income or expense or the information that entities disclose about those items.

▪ **Other standards**

The following new and amended standards are not expected to have a significant impact on the financial statements.

- Disclosure of Accounting Policies (Amendments to LKAS 1 and IFRS Practice Statement 2).
- Definition of Accounting Estimates (Amendments to LAKS 8).
- SLFRS 17 Insurance Contracts

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4. REVENUE

For the year ended 31 March,	GROUP		COMPANY	
	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000

4.1 Summary

Gross Revenue	81,722,533	53,344,141	108,833	106,320
Less: Revenue Related Taxes	(4,641,684)	(1,787,878)	-	-
Net Revenue	77,080,849	51,556,263	108,833	106,320

4.2 Business Segment Analysis

Trading of Consumer Products	51,457,885	34,931,692	-	-
Trading of Industrial Products	21,118,696	14,216,704	-	-
Leisure	1,227,121	667,250	-	-
Plantations	13,537,608	7,983,311	-	-
Others	2,019,591	1,175,658	108,833	106,320
	89,360,901	58,974,615	108,833	106,320
Inter-Segment Revenue	(12,280,052)	(7,418,352)	-	-
Net Revenue	77,080,849	51,556,263	108,833	106,320

4.3 Business Segment Analysis of Revenue

Segmentation has been determined based on the operating activities of the companies or the sector, where multiple activities fall within one company or sector has been based on the core activities of that particular sector.

Trading Consumer Products	- Manufacturing, Selling and Distribution of Consumer Products
Trading Industrial Products	- Manufacturing, Selling and Distribution of Industrial Products
Leisure	- Owning and Operation of Hotels
Plantation	- Cultivation and Processing of Tea and Rubber
Others	- Investment Holdings ,Special Projects and Other Services

5 OTHER INCOME / (EXPENSES)

For the year ended 31st March,	GROUP		COMPANY	
	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000

5.1 Other Income

Gain on Disposal of Property, Plant and Equipment	37,541	18,723	-	2,800
Dividend Income	60,758	138,816	186,323	255,281
Sale of Rubber Trees	35,081	129,635	-	-
Sale of Timber & Scrap	95,742	38,637	-	-
Amortisation of Grants and Subsidies	24,365	24,838	-	-
Net Gain on Disposal of Subsidiaries / Associates	-	-	-	1,712
Commission Income	134,665	10,992	600	600
Reversal of Impairment Loss on Trade and other Receivables	8,042	16,167	-	-
Creditors No Longer Payable Written Back	26,277	60,174	-	-
Change in Fair Value of Biological Assets	216,292	193,466	-	-
Rental Income	237,219	212,998	-	-
Gain on Financial Assets at fair value through profit or loss	8,290	61,736	11	-
Reversal of Expected Credit Loss	-	-	43,340	-
Sundry Income	282,895	196,961	6,990	3,168
	1,167,167	1,103,143	237,264	263,561

5.2 Other Expenses

Provision for loss on land Acquisition	-	-	-	-
Loss on Financial Assets at fair value through profit or loss	54,755	-	-	818
Net Impairment/(reversal) of Inventories	197,661	116,106	-	-
Write off of Assets held for sale	-	30,000	-	-
Write off/Provision for Impairment of Trade and other Receivables	180,563	105,635	-	-
Impairment loss on Property Plant and Equipment	1,678	(3,441)	-	-
Impairment/ (Reversal) of Investment in Subsidiaries	-	-	-	100
Impairment of Related Party Receivables	-	-	12	8
Write off of PPE	29,732	-	-	-
Others	36,589	113,132	-	36
Expected Credit Loss	-	-	-	7,603
	500,978	361,432	12	8,565

Notes to the Financial Statements contd.

6 NET FINANCE COST

For the year ended 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Finance Income				
Interest Income	213,491	136,169	92,979	36,351
Total	213,491	136,169	92,979	36,351
Finance Costs				
Interest on Short-Term Loans - Related Parties	-	-	87,925	34,233
Interest on Loans	4,505,015	1,817,825	51,736	22,026
Interest on Finance Lease Obligation	119,164	94,583	-	110
Interest on JEDB/SLPC Estate Lease (Note 25.1)	102,358	95,429	-	-
Debenture Interest	17,178	26,290	-	-
Interest on Bank Overdraft	852,245	291,955	-	6,286
Other Interest	164,325	170,264	-	-
Net Gain/(loss) on Translation of Foreign Currency	781,838	1,097,349	-	-
Amount Capitalised	(53,669)	(73,013)	-	-
Total	6,488,454	3,520,682	139,661	62,655
Net Finance Cost	6,274,963	3,384,513	46,682	26,304

7 PROFIT/(LOSS) BEFORE TAXATION

Is stated after charging all expenses including the following:

For the year ended 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Audit Services				
KPMG	37,624	30,183	1,692	1,410
Other Auditors	14,656	13,575	-	-
Non-Audit Services				
KPMG	3,349	3,081	180	164
Other Auditors	14,267	21,799	-	-
Amortisation of Intangible assets (Note 14.2 & 14.3)	10,473	18,291	-	-
Depreciation and amortisation (Note 7.1)	1,701,278	1,355,019	6,445	6,833
Directors Remuneration	604,327	457,443	11,100	11,400
Staff Cost (Note 7.2)	8,839,488	8,341,690	-	-
Donations	428	94	50	50
7.1 Depreciation and amortisation				
Property, Plant & Equipments (Note 10.1 & 10.2)	1,481,463	1,147,089	2,875	3,387
Leasehold Properties (Note 11)	48,977	47,315	-	-
Right of use Assets (Note 12)	137,445	120,731	-	-
Investment Properties (Note 13)	33,393	39,884	3,570	3,446
	1,701,278	1,355,019	6,445	6,833
7.2 Staff Cost				
Salaries and Wages	7,419,090	6,877,296	-	-
Defined Contribution Plan Cost - EPF & ETF	797,051	955,016	-	-
Defined Benefit Plan Cost - Retiring Gratuity	623,347	509,378	-	-
	8,839,488	8,341,690	-	-

8 INCOME TAX EXPENSE

For the year ended 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Current Income Tax Expense				
Taxation on Profit for the Year (Note 8.1)	1,268,395	496,807	11,457	24,070
Under Provision on Taxation in respect of previous years	(10,079)	32,885	-	-
	1,258,316	529,692	11,457	24,070
Deferred Tax Expense				
Origination/(Reversal) of Temporary Differences	1,055,312	22,503	11,568	(16,590)
	2,313,628	552,195	23,025	7,480

8.1 Taxation on Profit for the Year

Reconciliation of Accounting Profit to Income Tax Expense

Profit / (Loss) before Tax	6,845,839	403,895	219,486	269,051
Intra-Group Adjustments	4,461,016	1,473,375	-	-
	11,306,855	1,877,270	219,486	269,051
Aggregate Disallowed Expenses	6,356,546	3,605,207	6,875	17,411
Aggregate Allowable Items	(7,289,946)	(3,596,981)	(180,484)	(207,913)
Tax Exempt (Income)/Loss	(219,139)	(128,842)	(104,708)	(102,924)
Statutory (Income)/Loss	10,154,316	1,756,654	(58,831)	(24,375)
Other Source of Income	(1,104,756)	(144,565)	122,858	188,861
Tax Losses utilised during the year	(2,620,929)	(918,732)	(41,113)	(24,375)
Taxable Income/(Loss)	6,428,631	693,357	81,745	164,486
Income Tax@ 30%	579,045	-	-	-
Income Tax@ 24%	330,567	329,914	31	2,500
Income Tax @ 15%	4,424	-	-	-
Income Tax@ 14%	267,725	87,185	11,426	21,570
Income Tax at Other Rates	86,634	79,708	-	-
Current Income Tax Expenses	1,268,395	496,807	11,457	24,070
Tax Losses B/F	15,082,884	15,666,714	-	-
Adjustment in respect of prior year	1,167,707	(316,370)	-	-
Tax Loss during the year	2,917,332	651,272	58,831	24,375
Tax Loss utilised	(2,620,929)	(918,732)	(41,113)	(24,375)
Tax Loss C/F	16,546,994	15,082,884	17,718	-

8.2 Income Tax Expense

In accordance with Inland Revenue (Amendment) Act, No. 10 of 2021, Business Income is liable to Income Tax at 24% and in accordance with the provision of the Inland Revenue (Amendment) Act, No. 45 of 2022, as per para 4 (a) (ii) (c) of the first schedule, the Business Income is liable to income tax at 30% w.e.f from 01.10.2022. Further as per the Inland Revenue (Amendment) Act, No. 10 of 2021, Dividend received from a resident company is liable to income tax at 14% and a dividend paid by a resident company to a member to the extent that dividend payment is attributable to, or derived from, another dividend received by that resident company or another resident company is exempt from income tax w.e.f 01.01.2020. As per the Inland Revenue (Amendment) Act, No. 45 of 2022, amendment of Third Schedule item (35) (4) (ooo) (ii) on or after 01.10.2022 a dividend paid by a resident company to a member to the extent that such dividend payment is attributable to, or derived from, another dividend received by that resident company or another resident company which is subject to Advance Income Tax, is exempt from income tax.

Notes to the Financial Statements contd.

In accordance with the Inland Revenue (Amendment) Act, No. 45 of 2022, item (19) (aa) on or after 1st January 2023, dividends paid by a resident company shall be subject to a final withholding payment of 15% which is considered as a final tax. Further according to Notice PN/IT/2023-01, applicable Income Tax rate for dividend received or derived by residents during the period from 01.10.2022 to 31.12.2022 is 15% (other than in respect of companies / activities set out in notes 8.2.1& 8.2.2).

Tax status of companies in the Group which are;

- enjoying income tax exemptions (Note 8.2.1)
- enjoying concessionary tax rates (Note 8.2.2)

on profit/income earned from ordinary activities of business.

8.2.1 Companies exempted from Income Tax

Company	Activity	Statute	Period
Ceyflex Rubber Limited	Taxable profit	Board of Investments of Sri Lanka Law No.4 of 1978, Section 17	Exempted from income tax for a period of seven years starting from the year in which the enterprise commence to make profits or on any year of assessment not later than two years reckoned from the date of commencement of commercial operations
Agarapatana Plantations Limited	Profit from its business of "Agro Farming"	Inland Revenue Amendment Act No. 24 of 2017.	Exempted from income tax for a period of five years starting from 1st April 2019
Kotagala Plantations PLC	Profit from its business of "Agro Farming"	Inland Revenue Amendment Act No. 45 of 2022.	Exempted from income tax for a up to 2023/24.

Ceyflex Rubber Limited

In accordance with the agreement entered into with BOI under Section 17 of the BOI Act No. 04 of 1978, the profits of Ceyflex Rubber Ltd is exempted from income tax for a period of seven years starting from the year in which the enterprise commence to make profits or on any year of assessment not later than two years reckoned from the date of commencement of commercial operations, whichever year is earlier. After the expiration of above tax exemption period, the profits and income of the enterprise shall be charged at 10% for a period of two years. After the expiration of aforesaid concessionary tax period, profits and income of the enterprise shall be charged for any year of assessment at a rate of 15% or at such rate that may prevail under the Inland Revenue Law, whichever is less.

Agarapatana Plantations Limited

Based on the Inland Revenue (Amendment) Act No. 24 of 2017, Agarapatana Plantations Limited is exempted to pay income tax on profit from its business of "Agro Farming" for a period of 5 years with effect from 1st April 2019.

As per the rebate given by the Inland Revenue Department for tea manufacturing, the company has entitled to a special tax rate for agro processing by granting tax rebate of 25% on applicable tax rate (i.e. 30%).

The Inland Revenue (Amedment) Act no 45 of 2022 was certified by the speaker on 19th December 2022. The Standard rate of Income tax has been increased 30% from 24% w.e.f 1st October 2022. The increase in income tax rate to 30% in mid year has resulted in two tax rate being applicable for the year of assessment 2022/2023.

Kotagala Plantations PLC

Gains and profits earned or derived from the sale of produce of an undertaking for Agro farming without subjecting such produce to any process of production or manufacture are exempted within the period of five years of assessment commenced on April 1, 2019. Further, Agro Processing and Other Income liable at the rates of 14% and 24% respectively.

8.2.2 Companies liable to tax at concessionary rates

Company	Activity	Statute	Period
E.B.Creasy & Company PLC	Profit/Income earned by Manufacturing Companies	As per the latest amendments to the Inland Revenue Act No. 24 of 2017 reading together with the Institute of Chartered Accountants of Sri Lanka (ICASL) guideline on application of tax rates, the tax rate given in the Inland Revenue (Amendment) Act No. 10 of 2021 was 18% until 30th September 2022.	01.04.2022 - 30.09.2022
Candy Delights Limited	Profit/Income earned by Manufacturing Companies	As per the latest amendments to the Inland Revenue Act No. 24 of 2017 reading together with the Institute of Chartered Accountants of Sri Lanka (ICASL) guideline on application of tax rates, the tax rate given in the Inland Revenue (Amendment) Act No. 10 of 2021 was 18% until 30th September 2022.	01.04.2022 - 30.09.2022
Kotagala Plantations PLC	Agro Processing	14%, 24% under Inland Revenue (Amendment) Act No 10 of 2021.	01.04.2022 - 07.07.2022
Beruwala Resorts PLC	Hotel operations	14% under Inland Revenue Act No. 24 of 2017.	Up to 30.09.2022
Galle Fort Hotel Limited	Hotel operations	14% under Inland Revenue Act No. 24 of 2017.	
Marawila Resorts PLC	Hotel operations	14% under Inland Revenue Act No. 24 of 2017.	
Sigiriya Village Hotels PLC	Hotel operations	14% under Inland Revenue Act No. 24 of 2017.	
Sherwood Holidays Limited	Hotel operations	14% under Inland Revenue Act No. 24 of 2017.	
Lanka Special Steels Limited	Manufacturing, Importing an Exporting galvanised wire.	20% under BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 322.	Indefinite
Waverly Power (Private) Limited	Generating electricity for the National Grid	14% under Inland Revenue Amendment Act No. 10 of 2021	01.04.2022 - 30.09.2022
Agarapatana Plantations Limited	Agro Farming	25% rebate under Inland Revenue (Amendment) Act No. 10 of 2021.	Indefinite

Other Companies within the Group, excluding those which are enjoying tax holidays or concessionary rates of taxation as mentioned above, are liable for tax at 30%.

8.2.3 Lankem Paints Limited, Lankem Chemicals Limited, Lankem Research Limited, Lankem Consumer Products Limited, Lankem Export Limited, Nature's Link Limited, Sun Agro Farms Limited, Sun Agro Food Limited, Lankem Technology Services Limited, Associated Farms (Private) Limited, and Lankem Agrochemicals Limited were non-operative during the year.

8.3 Revaluation Surplus on freehold land

As per section 6 and Chapter IV of the Inland Revenue Act No. 24 of 2017, freehold lands used for business or investment purpose would be liable to tax at the time of realization. Accordingly, deferred tax is recognised on the revaluation surplus of freehold lands which are treated as capital assets used in the business for tax purpose. In accordance with Sri Lanka Accounting Standards, the deferred tax impact has been charged to retained earnings as the related surplus has been previously added to retained earnings.

Freehold lands which are treated as investment assets for tax purposes would not be considered for deferred tax, since the Act requires deemed cost of the assets to be equal to market value as at 30th September 2017.

8.4 Tax loss Carried forward

As per the Gazette notification issued in relation to the transitional provisions, any unclaimed losses as at 31st March 2018, is deemed to be a loss incurred for the year of assessment commencing on or after 1st April, 2018 and shall be carried forward up to 6 years. The Group has evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognized accordingly.

Notes to the Financial Statements contd.

8.5 Disallowed Finance Cost

As per the Subsection (3) of Section 18 of the Inland Revenue Act No. 24 of 2017, finance cost for which a deduction is denied as a result of Subsection (1) of the same section, may be carried forward and treated as incurred during any of following six years of assessment, only to the extent of any unused limitation in Subsection (2) of the same section for the year. Accordingly, the Group has evaluated the recoverability of unclaimed finance costs and assets have been recognized.

8.6 Deferred Taxation

Deferred tax has been computed by using applicable tax rates liable for income tax for the Company and its subsidiaries for the year of assessment 2022/23.

8.7 Deferred Tax Assets/Liabilities

Deferred tax has been calculated by applying the Income Tax rates substantively in enacted as at 31st March 2023.

- (i) No Provision has been made for deferred tax in the Financial Statements of Imperial Hotels Limited, as no material temporary differences have arisen during the year which are expected to reverse in the future.
- (ii) No Deferred tax assets have been recognised in the Financial Statements of subsidiaries, namely, Agarapatana Plantations Limited, Colombo Fort Hotels Limited, Lankem Ceylon PLC, Lankem Exports (Private) Limited, Lankem Consumer Products Limited, Lankem Research Limited, Lankem Paints Limited, Lankem Chemicals Limited, Lankem Technology Services (Private) Limited, Associated Farms Limited, Kelani Valley Canneries Limited, SunAgro Foods Limited, SunAgro Farms Limited, Muller & Phipps (Ceylon) PLC, Lankem Developments PLC, Ceytra Limited and Ceymac Rubber Limited in respect of tax losses carried forward because it is not probable that future taxable profit will be available against which these companies can utilise the benefit there from. The tax losses carried forward are as follows;

Unrecognised Deferred Tax Assets	2023	2022
	Rs. Mn.	Rs. Mn.
Lankem Ceylon PLC	162.7	238.5
Lankem Developments PLC	-	34.9
ACME Printing and Packaging PLC	30.9	31.0
Lankem Exports (Private) Limited	9.5	7.5
Lankem Consumer Products Limited	57.9	46.3
Lankem Chemicals Limited	1.0	0.8
Lankem Paints Limited	25.8	23.1
Kelani Valley Canneries Limited	94.4	68.9
Muller & Phipps (Ceylon) PLC	10.7	14.1
SunAgro Foods Limited	-	36.5
SunAgro Farms Limited	18.0	14.4
Associated Farms Limited	6.2	5.2
Ceytra (Private) Limited	16.5	10.6
Kotagala Plantations PLC	572.3	262.8

9 BASIC EARNINGS / (DEFICIT) PER SHARE

Basic Earnings / (Loss) per share is based on the Profit / (Loss) for the year attributable to equity holders of the Company / Group divided by weighted average number of Ordinary Shares in Issue during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

For the year ended 31st March,	GROUP		COMPANY	
	2023	2022	2023	2022
Profit / (Loss) attributable to Equity Holders of the Company (Rs.'000)	2,346,178	(351,291)	196,461	261,571
Weighted Average Number of Ordinary Shares (No.'000)	240,000	237,845	240,000	237,845
Earnings / (Deficit) Per Share (Rs.)	9.78	(1.48)	0.82	1.10

Weighted Average Number of Ordinary Shares

Number of Shares in issue as at the beginning of the year (No.'000)	240,000	220,337	240,000	220,337
Number of Shares Issued due to Private Placement (No.'000)	-	17,508	-	17,508
Weighted Average Number of Ordinary Shares as at the end of the year	240,000	237,845	240,000	237,845

10 PROPERTY, PLANT & EQUIPMENT

10.1 GROUP

	Balance as at 31.03.2022	Revaluation of Land	Additions during the Year	Disposals/ Write-off/ Transfers during the Year	Transfer to/(from) Investment Property	Balance as at 31.03.2023
Cost / Valuation	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Land (Access Roads)	69,315					69,315
Freehold						
Land (Note 10.3)	10,805,493	76,157	-	-	-	10,881,650
Buildings	5,583,789	-	164,294	(62,384)	-	5,685,699
Mature/Immature Plantations (Note 10.4)	7,549,791	-	426,172	(119,796)	-	7,856,167
Plant & Machinery	6,340,708	-	1,387,746	(61,347)	-	7,667,107
Motor Vehicles	1,416,256	-	69,004	(37,583)	-	1,447,677
Office Equipments	1,028,543	-	227,842	(36,615)	-	1,219,770
Furniture and Fittings	1,081,770	-	319,716	(22,113)	-	1,379,373
	33,875,665	76,157	2,594,774	(339,838)	-	36,206,758
Leasehold						
Buildings	15,649	-	-	-	-	15,649
Plant & Machinery	-	-	-	-	-	-
Motor Vehicles	12,500	-	-	(12,500)	-	-
Office Equipments	-	-	-	-	-	-
Furniture and Fittings	-	-	-	-	-	-
	28,149	-	-	(12,500)	-	15,649
Capital WIP*	444,939	-	688,259	(203,298)	-	929,900
Total Cost/Valuation	34,348,753	76,157	3,270,533	(555,636)	-	37,152,307

Notes to the Financial Statements contd.

Accumulated Depreciation	Balance as at 31.03.2022	Charge for the Year	Disposals/ Write-off during the Year	Transfer to Investment Property	Balance as at 31.03.2023
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Land (Access Roads)	37,310	2,773	-	-	40,083
Freehold					
Buildings	1,879,279	328,361	(52,287)	-	2,155,353
Mature/Immature Plantations (Note 10.4)	2,132,225	243,120	-	-	2,375,345
Plant & Machinery	4,238,502	390,715	(61,249)	-	4,567,968
Motor Vehicles	1,249,186	75,779	(36,379)	-	1,288,586
Office Equipments	840,851	114,984	(29,564)	-	926,271
Furniture and Fittings	849,276	331,432	(22,158)	-	1,158,550
	11,226,629	1,487,164	(201,637)	-	12,512,156
Leasehold					
Buildings	8,083	974	-	-	9,057
Plant & Machinery	-	-	-	-	-
Motor Vehicles	6,675	1,986	(8,661)	-	-
Office Equipments	-	-	-	-	-
Furniture and Fittings	-	-	-	-	-
	14,758	2,960	(8,661)	-	9,057
Total Depreciation	11,241,387	1,490,124	(210,298)	-	12,521,213
Carrying Value	23,107,366				24,631,094
		Additions	Write-off		
Impairment ***	(8,427)	-	1,678		(6,749)
Total Carrying Value of Property, Plant & Equipment	23,098,939	-	-	-	24,624,345

Note: The cost of fully depreciated Property Plant and equipment of the group which are still in use as at 31st March 2023 is Rs. 3,625 million (2021/2022 - Rs. 3,172 million).

a) Capital Work in Progress

E. B. Creasy & Company PLC

Laxapana Batteries PLC, ventured into the business of investing in solar power and renewable energy projects to generate, supply and sell electricity to the national grid through the Ceylon Electricity Board. As at the reporting date, Laxapana batteries PLC had entered into agreements to lease roof-top space of the factory premises of Related Companies – E. B. Creasy & Co. PLC, Ceyflex Rubber (Private) Limited and Lanka Special Steels Limited and installed roof-top solar power plants at a cost of Rs. 146.54 Mn incurred and a sum of Rs.123.15 Mn is included under Capital Work-in-Progress which represents the cost of the power plants not commissioned as at the reporting date.

C. W. Mackie PLC

The capital work-in progress balance as at 31 March 2023 represent the cost incurred by C. W. Mackie PLC on the snack manufacturing plant to improve the production capacity of the factory.

The capital work-in progress balance as at 31 March 2022 represent the cost incurred by C. W. Mackie PLC on the glass water bottling plant to improve the production capacity of the factory. Accordingly, the Company has capitalised the improvements made to machinery, land and buildings in the design stage of the project as at the financial year end.

Kotagala Plantations PLC

Capital Work-in-Progress include the Work-in-Progress pertaining to Improvements to Land & Buildings, Water Projects & Sanitations and Plant & Machinery.

- b) Each company in the Group has evaluated both internal and external indications of impairment of long lived assets and has not identified presence of any of such indications at the end of the financial year.
- c) Property, Plant & Equipment pledged as securities in obtaining loans have been disclosed in Note 25.5 to these Financial Statements.

10.2 Company

	Balance as at 01.04.2022	Additions during the Year	Disposals during the Year	Transfers during the Year	Balance as at 31.03.2023
Cost / Valuation	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Freehold					
Plant & Machinery	2,698	-	-	-	2,698
Motor Vehicle	12,169	-	-	12,500	24,669
Office Equipment	12,745	-	-	-	12,745
Furniture and Fittings	10,480	241	-	-	10,721
	38,092	241	-	12,500	50,833

Leasehold

Motor Vehicle	12,500	-	-	(12,500)	-
	12,500	-	-	(12,500)	-
Total Cost	50,592	241	-	-	50,833

	Balance as at 01.04.2022	Charge for the Year	Disposals during the Year	Transfers during the Year	Balance as at 31.03.2023
Accumulated Depreciation	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000

Freehold

Plant & Machinery	857	359	-	-	1,216
Motor Vehicle	12,169	-	-	12,500	24,669
Office Equipment	11,695	413	-	-	12,108
Furniture and Fittings	9,916	117	-	-	10,033
	34,637	889	-	12,500	48,026

Leasehold

Motor Vehicle	10,514	1,986	-	(12,500)	-
	10,514	1,986	-	(12,500)	-
Total Accumulated Depreciation	45,151	2,875	-	-	48,026

Total Carrying Value of Property, Plant & Equipment	5,441				2,807
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Note: The cost of fully depreciated Property, Plant and equipment of the Company which are still in use as at 31st March 2023 was Rs. 44.79 million (2021/2022 - Rs. 30.91 million)

Notes to the Financial Statements contd.

10.3 Group

The portfolio of Lands in the Group consist of the following.

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Carrying amount of land under cost model Rs.'000	Market Value as at 31st March 2023 Rs.'000	Market Value as at 31st March 2022 Rs.'000
Marawila Resorts PLC								
Land	Marawila	4,347	72	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	880,948	1,289,010	1,289,010
Sigiriya Village Hotels PLC								
Land	Sigiriya	2,688	39	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2012	176,245	206,993	206,993
Galle Fort Hotel (Private) Limited								
Land	Galle Fort, Galle.	78	8	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	336,676	1,355,350	1,355,350
Beruwala Resorts PLC								
Land	Moragalla, Beruwala.	3	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	267	267	267
B.O.T. Hotel Services (Private) Limited								
Land	Kaparathota Road, Waligama.	491	6	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	361,805	551,775	551,775
Lankem Development PLC								
Land	Maguruwila Road, Gonawala.	86	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	6,950	22,400	22,400
Union Commodities (Private) Limited								
Land	No.79, Biyagama Road, Talwatta, Kelaniya	611	11	Prathap Chartered Valuation & Consultancy (Pvt.) Ltd.	31.03.2023	255,920	581,940	519,520
	No.120/9, Maya Mawatha, Kiribathgoda	11	-	Prathap Chartered Valuation & Consultancy (Pvt.) Ltd.	31.03.2023	1,000	5,000	5,000
Teacom (Private) Limited								
Land	Paddy Land- Ranawiru JA Chaminda Mawatha	1,016	-	Prathap Chartered Valuation & Consultancy (Pvt.) Ltd.	31.03.2023	3,000	12,700	12,700
Lankem Ceylon PLC								
Land	St. Anthony's Road, Ekala, Kuriduwatta.	476	12	Mr. P.P.T.Mohideen Chartered Valuer	31.03.2022	60,600	385,844	385,844
E B Creasy & Company PLC								
Land	No 98, Sri Sangaraja Mawatha, Colombo 10.	238	2	Mr. P.P.T.Mohideen Chartered Valuer	31.03.2022	453,000	3,217,500	3,217,500
Land	No.55, Maguruwila Road, Gonawala, Sapugaskanda	868	3	Mr. P.P.T.Mohideen Chartered Valuer	31.03.2022	524,135	524,135	524,135
Candy Delight Limited								
Land	No 26 , Agaradaguru Mawatha, Ekala, Ja-Ela.	160	-	Mr. P.P.T.Mohideen Chartered Valuer	31.03.2022	32,000	84,000	84,000
Laxapana Batteries PLC								
Land	No.398,Awissawella Road, Panagoda, Homagama	577	4	Mr. P.P.T.Mohideen Chartered Valuer	31.03.2023	103,256	521,902	508,165

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Carrying amount of land under cost model Rs.'000	Market Value as at 31st March 2023 Rs.'000	Market Value as at 31st March 2022 Rs.'000
C.W. Mackie PLC								
Land	Scan Bottling Plant Munagama, Horana.	485	4	Mr.K.T.D Tissera Chartered Valuer	31.03.2022	71,944	363,908	363,908
Ceymac Rubber Company Limited								
Land	Aramanagolla, Horana	800	11	Mr.K.T.D Tissera Chartered Valuer	31.03.2022	3,350	640,360	640,360
Land	Thebuwana, Narthupana	850	8	Mr.K.T.D Tissera Chartered Valuer	31.03.2022	469	137,250	137,250
Kelani Valley Canneries Limited								
Land	Kaluaggala, Hanwella	355	7	Mr.K.T.D Tissera Chartered Valuer	31.03.2022	39,000	137,250	137,250
CM Holdings PLC								
Colonial Motors (Ceylon) Limited								
Land	41/35, Nagahamulla Road, Thalagama, Battaramulla	133	6	Mr. N.B.S.A. Nanayakkara Chartered Valuer	25.03.2019	67,246	293,040	293,040
J.F. Packaging Limited								
Land	Minuwangoda Road, Kotugoda	350	4	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	42,199	304,500	304,500
Ceylon Tapes (Private) Limited								
Land	Samagi Mawatha, Ja-ela	45	2	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2022	11,250	14,625	14,625
ACME Printing and packaging PLC								
Total	345, Gonamadiththa Road, Piliyandala.	464	4	Mr. P. P. T. Mohideen Chartered Valuer	31.03.2022	231,900	231,900	231,900
							10,881,650	10,805,492

10.3.1 All above revaluations are based on market values and the valuations were carried out by independent chartered valuers.

10.3.2 Laxapana Batteries PLC

Land area of 27.63 perches belongs to Laxapana Batteries PLC has been gazetted to be acquired by the Government. The Company made a claim on 28.04.2016 for Rs.218.6 Million, which includes the compensation for 27.63 perches of land, 3,885 cubic feet of retaining wall and other miscellaneous items. No adjustment has been made in the financial statements, pending finalisation of the claim.

Notes to the Financial Statements contd.

10.4 Immature/Mature Plantations - Bearer Biological Assets

	31.03.2023	31.03.2022
	Rs.'000	Rs.'000
Agarapatana Plantations Limited (APL)	2,236,929	2,225,512
Kotagala Plantation PLC (KPPLC)	3,243,893	3,192,054
	5,480,822	5,417,566

10.4.1 Mature/Immature Plantations- Bearer Biological Assets

	Mature Plantations			Immature Plantations			Total	Total
	Tea	Rubber	Other	Tea	Rubber	Other	31.03.2023	31.03.2022
	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000	Rs'000
Cost								
At the beginning of the year	3,474,834	2,244,120	611,968	607,160	567,671	44,038	7,549,791	7,362,055
Additions/Transfer in	29,402	87,905	-	85,143	180,759	42,963	426,172	293,692
Transfer out	-	-	-	(29,402)	(87,905)	(2,489)	(119,796)	(105,956)
At the end of the year	3,504,236	2,332,025	611,968	662,901	660,525	84,512	7,856,167	7,549,791
Depreciation								
At the beginning of the year	935,596	1,042,542	154,087	-	-	-	2,132,225	1,891,412
Charge for the year	106,260	106,353	30,507	-	-	-	243,120	240,813
At the end of the year	1,041,856	1,148,895	184,594	-	-	-	2,375,345	2,132,225
Carrying Value as at 31.03.2023	2,462,380	1,183,130	427,374	662,901	660,525	84,512	5,480,822	
Carrying Value as at 31.03.2022	2,539,238	1,201,578	457,881	607,160	567,671	44,038		5,417,566

- a) These are investments in mature/immature plantations since the formation of the respective companies. The assets (including plantation assets) taken over by way of estate leases as given in the Note 11.1 and 11.2 to the Financial Statements. Further, investment in Immature Plantations taken over by way of leases are shown in the above Note. When such plantations become mature, the additional investments made since taking over to bring them to maturity are transferred from Immature to Mature under this Note. A corresponding movement, from Immature to Mature, in respect of the investment undertaken by JEDB/SLSPC on the same plantation prior to the leases are shown under Note 11.2 to the Financial Statements.

The Bearer Biological Assets are measured at cost less accumulated depreciations and accumulated impairment losses, if any, in terms of LKAS 16 - "Property Plant and Equipment.

- b) Borrowing costs of Kotagala Plantations PLC, a subsidiary, amounting Rs.6 million (2021/22 - 4.9 million) on Tea, and Rs.78.6 million (2021/22 - 45 million) on Rubber incurred on term loans and overdrafts utilised to finance replanting expenditure of tea and rubber have been capitalised. The average rate of interest for capitalisation was 22.78% (2021/22 - 11.98%) The capitalisation will cease when crops are ready for harvest.
- c) Borrowing costs of Agarapatana Plantations Limited, a subsidiary, amounting to Rs. 53,669,767/- (2022 Rs. 23,113,150/-) have been capitalised as part of the cost of the immature plantations. Capitalisation will cease when crops are ready for harvest.
- d) Other Immature Plantations include other crops such as Cinnamon, Coconut, etc. and carried at cost less impairment.

10.5 Fair Value gain on growing produce of bearer Biological Assets

	2023 Rs.'000	2022 Rs.'000
At the beginning of the year	18,692	15,381
Change in Fair value less cost to sell	24,586	3,311
At the end of the year	43,278	18,692

10.6 Consumable Biological Assets

	Balance as at 2023 Rs.'000	Balance as at 2022 Rs.'000
At the beginning of the year	3,133,550	2,949,827
Increased Due to Development	3,615	7,593
Transfer from Consumable Assets- Immature	2,489	-
Decreased due to harvesting	(13,475)	(14,025)
Gain arising from changes in fair value for the year	191,706	190,155
	3,317,885	3,133,550

Kotagala Plantations PLC and Agarapatana Plantations Limited has recognised managed trees as biological assets.

Kotagala Plantations PLC (KPPLC)

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees upto 5 years from planting are treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material. When such plantations become mature, the additional investments since taken over to bring them to maturity are transferred from immature to mature.

The fair value of managed trees was valued by Mr.Fathihu A A M (FIV), Incorporated Valuers by using following assumptions:

Key assumptions used in valuation are as follows,

Variable	Comment
Timber Content	Estimated based on the girth,height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department. Timber trees that have not come up to a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size.
Economic Useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department
Selling Price	Estimated based on prevailing Sri Lankan market prices factoring all the conditions to be fulfilled in bringing the trees in to saleable condition.(price range per cu ft is Rs. 386/- - 1,188/-)
Discount rate	Future cash flows are discounted at the rate of 21.5%, 22.5% & 23.5% (2021/22 - 18%, 19% & 20%)

The Board of Directors established that the fair value of consumable biological assets of the Company is comprised of only managed trees which fall under the purview of the forestry management plan of the company, since LKAS 41 is only applicable for managed agricultural activity in terms of the ruling issued by The Institute of Chartered Accountants of Sri Lanka.

The actual number of commercially cultivated managed timber trees available as per the physical verification is included No physical verifications within the fair value of timber (consumable biological assets) for the year ended 31st March 2023.

The Company is exposed to the following risks relating to its timber plantations.

Notes to the Financial Statements contd.

Regulatory and environmental risks

The Company is subject to laws and regulations in Sri Lanka. The Company has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Supply and demand risk

The Company is exposed to risks arising from fluctuations in the price and sales volume of timber. When possible, the Company manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analysis to ensure that the Company's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand.

Climate and other risks

The Company's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Company has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

Agarapatana Plantations Limited (APL)

Managed timber plantation was measured at fair value initially as at 31 March 2013 and subsequently. The corresponding gain/(loss) was recognized in the statement of profit or loss. However fair value surplus was recognized in the equity as a separate component which will be available for distribution only on realisation of consumable biological assets.

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees is treated as approximate fair value particularly on the ground of little biological transformation has taken place and impact of the biological transformation on price is not material.

The fair value of managed Trees was ascertained by the Incorporated Valuer Mr. A.A.M Fathihu, FIV, for the current year in accordance with LKAS 41 "Agriculture" using discounted cash flows (DCF) method.

10.6.1 Measurement of Fair Value

- The Future cash flows are determined by reference to current timber prices
- The fair value measurement for the consumable biological assets has been categorized as level 3 fair value based on inputs to the valuations used. Breakdown of the total gains recognized in respect of level 3 fair values of biological assets are given below.

As at 31st March,	Group	
	2023 Rs. `000	2022 Rs. `000
Change in fair value of consumable biological assets (Note 10.6)	191,706	190,155
Change in fair value of growing produce of bearer biological assets (Note 10.5)	24,586	3,311
	216,292	193,466

- Following table shows the valuation techniques in measuring level 3 fair value of consumable biological assets as well as significant unobservable inputs used.

Kotagala Plantations PLC (KPPLC)

Type	Valuation Technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber Mature timber older than 5 years	Discounted Cash Flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per tree basis. Expected cashflows are discounted using a high risk adjusted rates of ; 21.5% - Trees age to harvest 5 years or below 22.5% - Trees age to harvest 6 -14 years 23.5% - Trees age to harvest 15 years or above comprising a risk free rate of 18.5%	Determination of Timber content Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content. Determination of Price of Timber Price range per cu ft. is Rs.386 - 1,188 Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following variables, ▪ The estimated timber content ▪ The estimated timber prices per cubic meter ▪ The estimated selling related costs ▪ The estimated maturity age ▪ The risk adjusted discount rate

Agarapatana Plantations Limited (APL)

Type	Valuation Technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber	Discounted Cash Flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis Expected Cash flows are discounted using ; 21.5%- Trees age to harvest 5 years or below 22.5% - Trees age to harvest 6- 15 years 23.5% - Trees age to harvest 15 years or above	Optimum Rotation (Maturity)- 25 years Volume at Rotation - 19.4 - 88.5 cu.ft. Price per cu.ft. -Rs.390/- to Rs.1,231/-	Lower the rotation period, the higher the fair value The higher the volume, the higher the fair value Higher the price per cu.ft. higher the fair value. Higher the discount rate ,the lesser the fair value

The valuations, as presented in the external valuation models based on net present values, take into account the long term exploitation of the timber plantations. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in the LKAS 41 against his own assumptions.

The biological assets of the company are mainly cultivated in leased lands. When measuring the fair value of the biological assets it was assumed that these Concessions can and will be renewed at normal circumstances. Timber content expects to realise in future included in the calculation of the fair value takes into account the age of the timber plants and not the expiration date of the lease.

Notes to the Financial Statements contd.

10.6.2 Sensitivity Analysis

Sensitivity analysis on sales price and discounted Rate

The Future cash flows are determined by reference to current timber prices and the fair value measurement.

a) Sensitivity variation-sales price

Values as appearing in the Statement of Financial Position are very sensitive to price changes with regard to the average sales prices applied. Simulations made for timber show that a rise or decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

	10%	-10%
Sensitivity effect on the carrying value of Biological Assets Rs.(000)		
As at 31 March 2023	332,206	(332,206)
As at 31 March 2022	313,478	(313,478)

b) Sensitivity variation-discount rate

Values as appearing in the Statement of Financial Position are very sensitive to changes of the discount rate applied. Simulations made for timber trees show that a rise or decrease by 1% of the estimated future discount rate has the following effect on the net present value of biological assets:

	1%	-1%
Sensitivity effect on the net present value of Biological Assets Rs.(000)		
As at 31 March 2023	(68,996)	70,555
As at 31 March 2022	(84,698)	86,968

11 LEASEHOLD PROPERTY

	Balance as at 31.03.2022 Rs.'000	Additions During the Year Rs.'000	Balance as at 31.03.2023 Rs.'000
Cost			
Leasehold Right to Bare Land of JEDB/SLSPC Estates (Note 11.1)			
Kotagala Plantations PLC (Note 11.1.a)	852,408	51,560	903,968
Agarapatana Plantations Limited (Note 11.1.b)	341,588	-	341,588
	1,193,996	51,560	1,245,556
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land) (Note 11.2)			
Kotagala Plantations PLC (11.2.a)	448,322	-	448,322
Agarapatana Plantations Limited (11.2.b)	265,748	-	265,748
	714,070	-	714,070
Other Leasehold Assets			
SunAgro Farms Limited	2,555	-	2,555
	2,555	-	2,555
Total Cost	1,910,621	51,560	1,962,181

	Balance as at 31.03.2022 Rs.'000	Charge for the Year Rs.'000	Balance as at 31.03.2023 Rs.'000
Accumulated Depreciation			
Leasehold Right to Bare Land of JEDB/SLSPC Estates			
Kotagala Plantations PLC (Note 11.1.a)	243,541	28,408	271,949
Agarapatana Plantations Limited (Note 11.1.b)	192,010	6,504	198,514
	435,551	34,912	470,463
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)			
Kotagala Plantations PLC (11.2.a)	434,130	8,017	442,147
Agarapatana Plantations Limited (11.2.b)	247,301	6,048	253,349
	681,431	14,065	695,496
Other Leasehold Assets			
SunAgro Farms Limited	2,555	-	2,555
	2,555	-	2,555
Total Depreciations	1,119,537	48,977	1,168,514
Carrying Value	791,084	-	793,667

Following assets are classified as receivable from the Urban Development Authority of Sri Lanka.

Description	Rs. `000
Property Plant and equipment	10,334
Leasehold Right to Bare Land	5,713
Immovable leased assets	48
Bearer Biological assets	118,807
Total	134,902

11.1 Leasehold Right to Bare Land of Janatha Estate Development Board (JEDB)/Sri Lanka State Plantation Corporation (SLSPC) Estates.

a) Kotagala Plantations PLC

The leases of all the 23 estates have been executed and will be retroactive from 22nd June, 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June, 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issues Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka. For this purpose, the Board decided at its meeting held on 8th March, 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr.D.R.Wickramasinghe, just prior to the formation of the Company.

Millewa estate was acquired by the Urban development authority of Sri Lanka on the 26th of October 2017. During the financial year 2018/19 Leasehold right to bare land was written off since the company no longer has control of the said estate

The Group has applied SLFRS-16 from 1 April 2019 (Leases) for leasehold assets recorded in the financial statements.

Notes to the Financial Statements contd.

Cost/Valuation	Life of the Asset	As at 22.06.1992 Rs'000	Remeasurement During the Year Rs'000	Balance 31.03.2023 Rs'000	Balance 31.03.2022 Rs'000
Right to use the Land of JEDB/SLSPC Estates	53 years	358,928	51,560	903,968	852,408
Amortisation	Balance as at 01.04.2022 Rs'000	Charge for the Year Rs'000	Balance as at 31.03.2023 Rs'000	Carrying Value as at 31.03.2023 Rs'000	Carrying Value as at 31.03.2022 Rs'000
	243,541	28,408	271,949	632,019	608,867

b) Agarapatana Plantations Limited

"Right-of-use assets - Land" has accounted in accordance with SLFRS 16 - Leases with effect from 01 January 2019. "Right-of-use assets - Land" have been executed for all estates for a period of 53 years. The unexpired period of the lease as at the Statement of Financial Position date is 22 years.

This Right-of-use assets - Land is amortized over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non current assets.

Description	Cost / valuation as at 22.06.92 Rs'000	Accumulated Amortisation 31.03.2022 Rs'000	Amortisation During the Year Rs'000	Accumulated Amortisation 31.03.2023 Rs'000	Carrying Value as at 31.03.2023 Rs'000	Carrying Value as at 31.03.2022 Rs'000
Leasehold right to bare land of JEDB/SLSPC Estates	341,588	192,010	6,504	198,514	143,074	149,578

11.2 Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)

a) Kotagala Plantations PLC

The leases of all the 23 estates have been executed and will be retroactive from 22nd June 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issue Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka based on then existing accounting standards. For this purpose, the Board decided at its meeting held on 8th March 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr. D R Wickramasinghe, just prior to the formation of the Company. The value taken into 22nd June, 1992, statement of Financial Position and the amortisation of leasehold rights upto 31st March 2023 are as follows,

Millewa estate was acquired by the Urban development authority of Sri Lanka on the 26th of October 2017. During the financial year 2018/19 Leasehold right to Immovable Leased Assets was written off since the company no longer has control of the said estate.

Revaluation	Life of the Asset	As at 22.06.92 Rs.'000	Balance 31.03.2023 Rs.'000	Balance 31.03.2022 Rs.'000
Land Development Cost	30 years	6,712	6,360	6,360
Buildings other than Worker housing	25 years	26,519	25,174	25,174
Plant & Machinery	15 years	8,757	8,757	8,757
Water Projects and Sanitations	30 years	8,688	8,688	8,688
Mature Plantations				
- Tea	30 years	69,767	227,655	227,655
- Rubber	30 years	61,138	163,548	163,548
- Others	25 years	-	8,140	8,140
Immature Plantations				
- Tea		158,960	-	-
- Rubber		126,898	-	-
- Others		8,140	-	-
		475,579	448,322	448,322

Amortisation	Balance as at 01.04.2022 Rs.'000	Charge for the Year Rs.'000	Balance as at 31.03.2023 Rs.'000	Carrying Value As at 31.03.2023 Rs.'000	Carrying Value As at 31.03.2022 Rs.'000
Land Development Cost	6,318	42	6,360	-	42
Buildings other than Worker Housing	25,174	-	25,174	-	-
Plant & Machinery	8,757	-	8,757	-	-
Water Projects and Sanitations	8,623	65	8,688	-	65
Mature Plantations	-		-		
- Tea	214,872	7,587	222,459	5,196	12,783
- Rubber	163,548	-	163,548	-	-
- Others	6,838	323	7,161	979	1,302
	434,130	8,017	442,147	6,175	14,192

Investment in Immature Plantations at the time of handing over to the Company by way of estate leases are shown under Immature Plantations as at 22.06.1992.

Further investment in such plantations to bring them to maturity are shown under Note 10.4.

Notes to the Financial Statements contd.

b) Agarapatana Plantations Limited

At the time of privatisation of plantation estates, all immovable assets in these estates (Note 6.2.1 and Note 6.2.2) have been taken into the books of the Company retroactive to 22nd June 1992 under finance lease. However, SLFRS 16 - Leases was applicable with effect from 01 January 2019, and therefore, these assets have accounted in accordance with such standard with effect from 01 January 2019.

Description	Revaluation	Transfers/ Immature to	Value	Accumulated	Depreciation	Accumulated	Carrying	Carrying
	as at 22.06.92 Rs.'000	Mature (Adjustments) Rs.'000	as at 31.03.2022 Rs.'000	Depreciation 31.03.2022 Rs.'000	the Year Rs.'000	for Depreciation 31.03.2023 Rs.'000	Value As at 31.03.2023 Rs.'000	Value As at 31.03.2022 Rs.'000
Improvement to Land	5,406	-	5,406	5,364	42	5,406	-	42
Unimproved Land	998	-	998	-	-	-	998	998
Roads and Bridges	677	-	677	504	17	521	156	173
Buildings	62,634	-	62,634	62,634	-	62,634	-	-
Fences and Securities	49	-	49	49	-	49	-	-
Machinery	8,823	(621)	8,202	8,202	-	8,202	-	-
Water Supply	6,158	-	6,158	6,158	-	6,158	-	-
Power Augmentation	972	-	972	972	-	972	-	-
Coffee, Pepper, Cardamom	305	-	305	-	-	-	305	305
Mature Plantations	37,457	141,636	179,093	162,185	5,968	168,153	10,940	16,908
Vested Tea	1,223	-	1,223	1,202	21	1,223	-	21
Immature Plantations	141,636	(141,636)	-	-	-	-	-	-
Other Vested Assets	31	-	31	31	-	31	-	-
	266,369	(621)	265,748	247,301	6,048	253,349	12,399	18,447

Note : Investment in plantations assets which were immature at the time of handing over to the Company by way of estate leases are shown under immature plantations (revalued as at 22nd June, 1992).

However, since then all such investments in Immature Plantations attributable to JEDB/SLSPC period have been transferred to Mature Plantations. These mature tea were classified as bearer biological assets in terms of LKAS 16 – Property, Plant & Equipment. The carrying value of the bearer biological assets leased from JEDB/SLSPC is recognised at cost less amortisation. Further investments in such plantations to bring them to maturity are shown in. Note 10.4.

12 RIGHT-OF-USE ASSET

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Cost				
Balance as at Beginning of the Year	1,056,242	960,374	-	-
Acquisition of Subsidiary	114,374	23,591	-	-
De-Recognition of ROU due to Termination during the year	(14,422)	-	-	-
Adjusted balance at Beginning of the Year	1,156,194	983,965	-	-
Additions during the year	142,449	72,277	-	-
Balance as at end of the Year	1,298,643	1,056,242	-	-
Accumulated Depreciation				
Balance as at Beginning of the Year	358,627	234,090	-	-
Acquisition of Subsidiary	-	3,806	-	-
Transfer of right-of-use assets on initial application of SLFRS 16	-	-	-	-
De-Recognition of ROU due to Termination during the year	(11,441)	-	-	-
Adjusted balance at Beginning of the Year	347,186	237,896	-	-
Depreciation charge of the right-of-use assets for the year	137,445	120,731	-	-
Balance as at end of the Year	484,631	358,627	-	-
Total Carrying Value	814,012	697,615	-	-

(i) C W Mackie PLC

C W Mackie PLC has taken certain land and buildings on lease. In terms of the grant to the Company dated 22 September 1964 under the Crown Lands Ordinance, premises No.34 and 36, D. R. Wijewardena Mawatha, Colombo 10 has been leased for a period of 60 years, 8 months and 10 days (being the residue of the unexpired term under Indenture of Lease by the Crown dated 10 June 1925 granting the Company a 99-year lease of the premises from the said date). At the time of handing over the possession of the premises, the Company is not entitled to any compensation in respect of the land, buildings or improvements thereon.

(ii) Beruwala Resorts PLC

Beruwala Resorts PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 1st August, 2007. The lease period will expire on 31st July, 2037.

(iii) Sigiriya Village Hotels PLC

Sigiriya Village PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 2nd September, 2009. The lease period will expire on 1st September 2039.

(iv) Ceyflex Rubber Limited

Ceyflex Rubber Limited, a subsidiary of the Company, has entered into a Lease agreement with the Board of Investment of Sri Lanka to hold the land for a period of 50 years commencing from 12th May 2016 to 11th May 2066 for a sum of USD 40,000 of non refundable lease premium and an annual ground rent of USD 5,000 per annum. The carrying value of lease rentals paid in advance was transferred to right-of-use asset in accordance with provisions in SLFRS - 16.

Notes to the Financial Statements contd.

13 INVESTMENT PROPERTY

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Cost				
Balance as at Beginning of the Year	3,031,034	2,422,362	816,719	816,719
Additions during the year	13,567	-	2,489	-
Transfers from Property Plant and Equipment	-	608,672	-	-
Disposals during the year	(93,660)	-	-	-
Balance as at end of the Year	2,950,941	3,031,034	819,208	816,719
Accumulated Depreciation				
Balance as at Beginning of the Year	217,866	177,982	22,876	19,430
Charge for the Year	33,393	39,884	3,570	3,446
Disposals during the year	(3,902)	-	-	-
Balance as at end of the Year	247,357	217,866	26,446	22,876
Carrying Value	2,703,584	2,813,168	792,762	793,843
Capital Work in Progress	8,981	6,008	8,980	6,007
Total Carrying Value (Note 13.1)	2,712,565	2,819,176	801,742	799,850

13.1 Fair value of the investment property as at 31st March 2023 is as follows;

Company	Location	Extent	Carrying Value	Fair Value
			Rs.'000	
The Colombo Fort Land & Building PLC	York Arcade Building, Leyden Bastian Road, Colombo 01.	156,436 Sq ft	801,742	3359 Mn
C.W. Mackie PLC	No. 36, D R Wijewardena Mw, Colombo 10	57,158 Sq ft	4,783	270.8 Mn
Sunquick Lanka Properties (Private) Limited	Munagama , Horana	128,774 Sq ft	654,510	275 Mn
Union Commodities (Private) Limited	No.79 , Biyagama Road , Talwatta, Kelaniya.	38,287 Sq ft	9,240	136 Mn
C M Holdings PLC	297,Colvin R De Silva Mw, Colombo 02.	31,757 Sq ft	955,731	3372Mn
C M Holdings PLC	497/C Pannipitiya Road, Pelawatta	109.2P	102,207	355Mn
Imperial Hotels Limited	Halloluwa, Katugastota	6A,1R,36P	157,145	528 Mn
Sigiriya Village	Trincomalee	8A,1R, 2.3P	24,407	24 Mn
Laxapana Batteries PLC	Homagama Town centre, Panagoda, Godagama	7P	2,800	3.675 Mn
			2,712,565	

13.2 Rent Income is included in the Statement of Comprehensive Income as follows;

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Rent Income	347,975	339,679	108,833	106,320
Direct operating expenses arising from invetment property that generated rental income during the year	74,636	55,272	36,131	30,508

C.W. Mackie PLC

C.W. Mackie PLC has rented out a part of C.W. Mackie building complex and the value of land and buildings of that portion has been classified as investment property and accounted on "Cost Model" as required by LKAS 40 – Investment Property. The above investment property is situated at No. 36, D. R. Wijewardena Mawatha, Colombo 10. and the extent of the building is 57,158 square feet.

C M Holdings PLC

The Company and the Group has initially accounted for the investment property at cost, and subsequently accounted for it under the cost model in accordance with the policy adopted by its ultimate parent. The investment property is depreciated using a straight line method over its estimated useful life of 20 years.

The valuation was performed by Mr. P. P. T. Mohideen Chartered Valuation Surveyor who is an external independent property valuer, having appropriate recognised professional qualifications and recent experience in the location and the category of the property being valued.

Imperial Hotels Ltd

As a result of change in the company's business plan, Land recognised as Property, Plant and Equipment previously has been classified as Investment Property and accounted on "Cost Model" as required by LKAS 40 - Investment Property. The company intends to hold the land for capital appreciation. The above investment property is situated at Halloluwa, Katugastota and the extent of the land is 6 A, 1 R & 36 P. The carrying amount of Investment Property as at 31st March 2023, amounted to Rs. 157.1 Mn.

As per the valuation carried out by Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, fair value of investment property as at 31st March 2020 is Rs. 528 Mn.

Sigiriya Village Hotels PLC

During the year, as a result of a change in the Company's business plan, land previously recognised under property, plant and equipment has been classified as investment property and accounted under "Cost Model" as required by LKAS 40 – Investment Property. The Company intends to hold the land for capital appreciation. The above investment property is situated in Trincomalee and the extent of the land is 8 A, 1 R & 2.3 P.

Union Commodities (Private) Limited

The fair value of investment property was determined by the external, independent Chartered Valuation Surveyor, Prathap Chartered Valuation & Consultancy (Pvt.) Ltd. Fair value is determined by reference to market-based evidence. Valuations are based on open market prices adjusted for any difference in the nature, location or condition of the specific property. These valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximize the use of relevant observable inputs. The data of the most recent revaluation carried out was 31st March 2023.

COMPANY

Investment properties of the Company consists of land amounting to Rs.621.62 million (2022 - Rs.621.62) and building amounting to Rs.171.15 million (2022 - Rs.172.22 million) as at the reporting date. The Company has adopted the cost model to value the investment properties.

Location	Extent Perches	Carrying Value Rs.'000	Fair Value Rs.'000
Fort - Colombo	153	792,762	3,359,000

The properties of the Company were valued by an independent valuer, Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, B.Sc. (Hons) Estate Management & Valuation, Executive Diploma in Business Administration, FIV (Sri Lanka) and MRICS (England) and the fair value of the investment properties as at 31st March, 2022 was Rs.3.36 billion.

The Rental Income earned by the Company from the said properties amounted to Rs. 108.83 million (2022 - 106.32 million).

Direct Operating Expenses incurred by the Company amounted to Rs. 36.13 million (2022 - Rs. 30.51 million) and this consists of Rs. 5.56 million (2022 Rs. 5.34 million) relating to premises which are vacant.

Notes to the Financial Statements contd.

The Investment Property is depreciated using the straight line method over its estimated useful life of 99 years and 44 years for the premises situated at Sir Baron Jayatilake Mawatha and Leyden Bastian Road respectively.

As at the reporting date there were no contractual obligations to purchase, construct or develop the investment properties or for repairs, maintenance and enhancement.

The Company has executed a Tertiary Mortgage Bond for Rs.100.0 million, a Quaternary Mortgage Bond for Rs.87.5 million and a Fifth Mortgage Bond for Rs. 82.5 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company for the facilities granted to the Company.

14 INTANGIBLE ASSETS

As at 31st March,	GROUP	
	2023 Rs.'000	2022 Rs.'000
Goodwill on Acquisition (Note14.1)	669,701	669,701
Trade Mark (Note14.2)	1,957	5,035
Computer software (Note14.3)	24,639	27,514
	696,297	702,250

14.1 Goodwill

At the beginning of the Year	669,701	529,377
Acquisition of Subsidiary	-	140,324
At the end of the Year (Note 14.1.1)	669,701	669,701

14.1.1 Goodwill on Acquisition

This represents the excess of the cost of acquisition of the net assets of the following Companies. The aggregated carrying amount of goodwill allocated to each company is as follows:

	GROUP	
	2023 Rs.'000	2022 Rs.'000
C. W. Mackie PLC	92,778	92,778
Ceylon Tapes Limited	14,190	14,190
Lanka Special Steels Limited	21,696	21,696
J.F.Packaging Limited	263,442	263,442
Sherwood Holidays Limited	27,070	27,070
Kiffs (Private) Limited	85,202	85,202
Alliance Five (Private) Limited	24,999	24,999
Acme Printing and Packaging PLC	140,324	140,324
	669,701	669,701

For the purpose of impairment testing, goodwill acquired from business combinations have been allocated to cash generating units (CGU) that is expected to benefit from the synergies of the combination. CGUs to which goodwill has been allocated have been tested for impairment annually, and whenever there is an indication that the unit may be impaired by comparing the carrying amount of the unit including the goodwill, with the recoverable amount of the unit. If the carrying amount of the unit exceeds the recoverable amount of the unit and the goodwill allocated to that unit has been regarded as impaired. The impairment loss has been allocated to reduce the carrying amount of any goodwill allocated to the CGU and then to other assets of the unit.

In light of current operational and economic conditions, the Group reassessed the expected future business performance relating to cash generating units (CGUs) where the management has concluded that the recoverable values of CGUs exceed its carrying values.

Methods used in estimating recoverable amounts are given below;

- (i) Business Growth - Based on historical growth rate & business plan
- (ii) Inflation - Based on current inflation & the percentage of the total cost subjected to the inflation
- (iii) Discount Rate - Average market borrowing rate adjusted for risk premium
- (iv) Margin - Based on current margin & business plan

14.1.3 Recoverable values measured with reference to the value in use

Investee	Significant unobservable inputs	Value of the inputs
Ceylon Tapes (Pvt) Ltd.	Average Growth Rate Discount Rate (range) Term	30% 19% - 25% 3 years (terminal value thereafter)
JF Packaging Ltd.	Average Growth Rate Discount Rate (range) Term	25% 18% - 21% 3 years (terminal value thereafter)
Kiffs (Pvt) Ltd.	Average Growth Rate Discount Rate (range) Term	20% 19% - 22% 3 years (terminal value thereafter)
Alliance Five (Pvt) Ltd.	Average Growth Rate Discount Rate (range) Term	20% 20% - 27% 3 years (terminal value thereafter)
Sherwood Holidays Ltd.	Average Growth Rate Discount Rate (range) Term	15% 30% 5 years (terminal value thereafter)
Lanka Special Steels Limited	Average Growth Rate Discount Rate (range) Term	10% for the first 5 years and 3% terminal growth rate 24% 5 years (terminal value thereafter)
ACME Printing and Packaging PLC	Average Growth Rate Discount Rate (range) Term Recoverable value of this cash generating unit is calculated considering probability weighted outcomes of the cashflow forecasts. In arriving at the value following scenarios were considered: Scenario Best Base Worst	25% 17% - 20% 3 years (terminal value thereafter) Probability assigned 10% 50% 40%

Above assumption have been determined based on the historical performance of the comprehensive adjusted for market information related to discount rate.

14.1.4 Recoverable values measured with reference to the fair value less cost to sell

Investee	Significant unobservable inputs	Value of the inputs
C.W. Mackie PLC	Adjusted NAV	Rs.112 - Rs.130

Notes to the Financial Statements contd.

14.2 Trade Mark

As at 31st March,	GROUP	
	2023 Rs.'000	2022 Rs.'000
Cost		
As at the beginning of the Year	23,735	23,390
Additions/ disposal during the Year	(1,150)	345
As at the end of the Year	22,585	23,735
Amortisation		
As at the beginning of the Year	18,700	15,600
Amortised during the year	3,078	3,100
Disposal during the Year	(1,150)	-
At the end of the Year	20,628	18,700
Carrying Value	1,957	5,035

14.3 Computer Software

As at 31st March,	GROUP	
	2023 Rs.'000	2022 Rs.'000
Cost		
As at the beginning of the Year	229,191	215,238
Additions/ disposal during the Year	4,520	13,953
Disposal of Subsidiary	-	-
As at the end of the Year	233,711	229,191
Amortisation		
As at the beginning of the Year	201,677	186,486
Disposal of Subsidiary	-	-
Amortised during the year	7,395	15,191
At the end of the Year	209,072	201,677
Carrying Value	24,639	27,514

Trade Mark

Darley Butler & Company Limited

During the financial year 2015/2016, Darley Butler & Company Limited acquired the agency right of Intas Pharmaceuticals Limited for Rs.13 Million which was amortised over 03 Years.

During the financial year 2019/2020, E. B .Creasy & Co. PLC paid an amount of Rs.70 million to Lankem Ceylon PLC for acquisition of Lankem consumer brands which is being amortised over 03 Years.

During the financial year 2020/2021, an amount of Rs. 7,804,878/- was paid to Brown & Company PLC to acquire the agency right of Unosource Pharma Ltd by Darley Butler & Co. Ltd and same is amortised over 03 Years.

Computer Software

The details of the computer software are as follows;

Intangible Asset	Useful Life	Amortisation Method	Type
Software Licence	3 to 5 Years	Straight-Line	Acquired
Sales Force Automation System	5 Years	Straight-Line	Acquired
Human Resource Information System	5 Years	Straight-Line	Acquired
E mail Solution	5 Years	Straight-Line	Acquired
Enterprise Resource Planning	5 Years	Straight-Line	Acquired

15 INVESTMENTS IN SUBSIDIARIES

15.1 Company

As at 31st March,	Group Holding 2023 %	Company Holding 2023 %	No. of Shares 2023	Cost 2023 Rs.'000	Market Value 2023 Rs.'000	No. of Shares 2022	Cost 2022 Rs.'000	Market Value 2022 Rs.'000
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15.1.1 Quoted Investments

ACME Printing & Packaging PLC	50.10	0.08	80,000	403	504	20,000	133	220
Beruwala Resorts PLC	56.19	0.01	30,000	32	42	30,000	32	27
C M Holdings PLC	65.52	63.49	9,649,850	550,183	608,906	9,649,850	550,183	760,408
C.W.Mackie PLC	41.22	0.17	60,500	4,894	4,955	-	-	-
E.B. Creasy & Company PLC	59.89	52.98	134,319,915	35,228	2,699,830	134,319,915	35,228	2,270,007
Lankem Ceylon PLC	72.28	60.19	30,980,000	888,320	2,345,186	30,980,000	888,320	867,440
Marawila Resorts PLC	40.64	0.66	1,510,000	7,173	3,171	1,510,000	7,173	2,869
Muller & Phipps (Ceylon) PLC	30.72	0.02	60,030	91	72	60,030	91	60
York Arcade Holdings PLC	49.99	49.27	369,495	4,963	52,561	369,495	4,963	56,718
				1,491,287	5,715,227		1,486,123	3,957,749

15.1.2 Unquoted Investments

Agarapatana Plantations Limited	44.67	1.55	6,455,458	27,577	-	6,455,458	27,577	-
C.F. Travels Limited	100.00	100.00	1,500,000	15,000	-	1,500,000	15,000	-
Capital Leasing Company Limited	55.83	55.83	473,000	4,733	-	473,000	4,733	-
Colombo Fort Group Services (Pvt) Ltd	100.00	100.00	10,000	100	-	10,000	100	-
Colombo Fort Holdings Limited	100.00	100.00	3,500,000	35,000	-	3,500,000	35,000	-
Colombo Fort Hotels Limited	75.21	13.72	38,163,569	358,738	-	-	-	-
Colombo Fort Properties Limited	100.00	99.70	1,000	10	-	1,000	10	-
Consolidated Tea Plantations Ltd	86.82	52.44	21,500,000	240,500	-	21,500,000	240,500	-
Transways (Private) Limited	100.00	30.00	14,998	150	-	14,998	150	-
				681,808	-		323,070	-

Total Cost	2,173,095	1,809,193
Less: Provision for Impairment in Value of Investments (Note 15.2)	(262,956)	(262,956)
Carrying Value of Investment in Subsidiaries	1,910,139	1,546,237

Notes to the Financial Statements contd.

15.1.3 Preference Shares

	No. of Shares 2023	Cost 2023 Rs.'000	Market Value 2023 Rs.'000	No. of Shares 2022	Cost 2022 Rs.'000	Market Value 2022 Rs.'000
As at 31st March,						
Transways (Private) Limited	103,110	1,031	-	103,110	1,031	-
Voyages Ceylon (Private) Limited	1,500,000	15,000	-	1,500,000	15,000	-
York Hotel Management Services Limited	650,000	6,500	-	650,000	6,500	-
York Tours Limited	318,000	3,180	-	318,000	3,180	-
Total		25,711			25,711	
Less: Provision for impairment in Value of Investments		(25,711)			(25,711)	
		-			-	

15.2 Provision for Impairment in Value of Investments

	2023 Rs.'000	2022 Rs.'000
As at 31st March,		
Quoted Investments		
Muller & Phipps (Ceylon) PLC	55	55
Beruwala Resorts PLC	14	14
Marawila Resorts PLC	5,512	5,512
	5,581	5,581
Unquoted Investments		
C.F. Travels Limited	15,000	15,000
Capital Leasing Company Limited	1,615	1,615
Colombo Fort Properties Limited	10	10
Consolidated Tea Plantations Limited	240,500	240,500
Colombo Fort Group Services (Private) Limited	100	100
Transways (Private) Limited	150	150
	257,375	257,375
	262,956	262,956

* The companies in which the Group's effective holding is less than 50% have been consolidated as the group has the practical ability to direct the relevant activities of these entities.

15.3 Calculation of Recoverable Values

As explained above, the recoverable values of these subsidiaries were determined with reference to their net assets / Market Values as follows.

Subsidiary	Unobservable input
Beruwala Resorts PLC	Market Value per Share
C M Holdings PLC	Net Assets per Share
E.B. Creasy & Company PLC	Net Assets per Share
Lankem Ceylon PLC	Net Assets per Share
Marawila Resorts PLC	Market Value per Share
Muller & Phipps (Ceylon) PLC	Market Value per Share
York Arcade Holdings PLC	Net Assets per Share
Agarapatana Plantations Limited	Net Assets per Share
C.F. Travels Limited	Net Assets per Share
Capital Leasing Company Limited	Net Assets per Share
Colombo Fort Group Services (Pvt) Ltd	Net Assets per Share
Colombo Fort Holdings Limited	Net Assets per Share
Colombo Fort Hotels Limited	Net Assets per Share
Colombo Fort Properties Limited	Net Assets per Share
Consolidated Tea Plantations Ltd	Net Assets per Share
Transways (Private) Limited	Net Assets per Share

15.4 Group Companies Investment in Subsidiaries

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2023	2022	2023	2022
E. B. Creasy & Company PLC	Lankem Ceylon PLC	18.26%	18.89%	9,399,646	9,724,635
	Laxapana Batteries PLC	68.27%	68.27%	45,212,378	45,212,378
	Darley Butler & Co. Limited	100.00%	100.00%	10,000,000	10,000,000
	Candy Delights Limited	100.00%	100.00%	1,384,450	1,384,450
	Filmpak Limited	100.00%	100.00%	150,000	150,000
	Group Three Associates Limited	100.00%	100.00%	1,200	1,200
	E.B.Creasy Ceylon (Private) Limited	100.00%	100.00%	120,000	143,582
	Corporate Systems Limited	99.93%	100.00%	10,000	10,000
	E B creasy logistic Limited	99.99%	100.00%	49,994	50,000
	Imperial Hotels Limited	0.14%	0.14%	19,825	19,825
	Muller & Phipps (Ceylon) PLC	51.26%	51.26%	145,061,773	145,061,773
	Lanka Special Steels Limited	100.00%	100.00%	1,823,074	1,823,074
	Ceyflex Rubber Limited	100.00%	100.00%	7,993,183	7,993,183
	ACME Printing & Packaging PLC	53.04%	19.97%	50,386,811	8,220,000
	Agarapatana Plantations Limited	6.37%	0.00%	26,541,327	-
Darley Butler & Company Limited	Lankem Ceylon PLC	1.04%	1.04%	536,614	536,614
	Laxapana Batteries PLC	0.00%	0.00%	6	6
	Agarapatana Plantations Limited	3.46%	3.46%	14,411,270	14,411,270
	Marawila Resorts PLC	0.00%	0.00%	188	188
	York Arcade Holdings PLC	0.60%	0.60%	4,500	4,500
	Kotagala Plantations PLC	3.10%	7.39%	10,487,299	25,000,000
Candy Delights Limited	Lankem Ceylon PLC	0.05%	0.07%	23,337	23,337
	York Arcade Holdings PLC	0.33%	0.33%	2,500	2,500
E.B.Creasy Ceylon (Private) Limited	Consolidated Tea Plantations Limited	0.00%	0.00%	1	1
	Sigiriya Village Hotels PLC	0.69%	0.69%	61,762	61,762
	Marawila Resorts PLC	0.07%	0.07%	156,000	156,000
	Colombo Fort Hotels Limited	3.36%	6.91%	9,344,800	9,344,800
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	C M Holdings PLC	0.63%	0.63%	95,640	95,640
	Lankem Ceylon PLC	0.00%	0.00%	536	536
	York Arcade Holdings PLC	0.27%	0.27%	2,000	2,000
	Creasy Plantation Management Limited	41.00%	41.00%	122,993	122,993
Muller & Phipps (Ceylon) PLC	Pettah Pharmacy (Private) Limited	100.00%	100.00%	2,033,618	2,033,618
Pettah Pharmacy (Private) Limited	Colombo Fort Hotels Limited	0.46%	0.94%	1,275,200	1,275,200
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
Lankem Ceylon PLC	Lankem Development PLC	2.07%	2.07%	2,480,626	2,480,626
	Marawila Resorts PLC	7.23%	7.23%	16,478,829	16,478,829
	Colombo Fort Hotels Limited	65.47%	68.85%	182,166,913	93,173,043
	Consolidated Tea Plantations Limited	47.56%	47.56%	19,500,001	19,500,001
	Lankem Tea and Rubber Plantations (Private) Limited	1.00%	1.00%	8,342	8,342
	Lankem Plantation Services Limited	60.00%	60.00%	179,993	179,993
	Lankem Exports Limited	100.00%	100.00%	10,000	10,000
	Lankem Paints Limited	100.00%	100.00%	2,000,000	2,000,000
	Lankem Consumer Products Limited	100.00%	100.00%	2,000,000	2,000,000
	Lankem Chemicals Limited	100.00%	100.00%	2,000,000	2,000,000
	Lankem Research Limited	100.00%	100.00%	250,007	250,007
	SunAgro LifeScience Limited	100.00%	100.00%	625,993	625,993
	SunAgro Farms Limited	100.00%	100.00%	1,200,000	1,200,000
	Associated Farms Limited	99.99%	99.99%	55,398	55,398
	C.W. Mackie PLC	55.34%	55.36%	19,523,252	19,923,252

Notes to the Financial Statements contd.

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2023	2022	2023	2022
Lankem Ceylon PLC Contd.	Lankem Technology Services Limited	100.00%	100.00%	4,999,995	4,999,995
	C M Holdings PLC	2.18%	2.18%	331,547	331,547
	Waverly Power (Private) Limited	0.00%	43.59%	-	3,400,000
	J.F. Packaging Limited	100.00%	100.00%	673,151	673,151
	Natures Link (Private) Limited	100.00%	100.00%	5,000,000	5,000,000
	Agrapatana Plantation Limited	0.42%	0.42%	1,760,204	1,760,204
	ACME Printing & Packaging PLC	25.10%	57.93%	23,846,742	23,846,993
Consolidated Tea Plantations Limited	Lankem Tea and Rubber Plantations (Private) Limited	98.98%	98.98%	826,088	826,088
	Kotagala Plantations PLC	54.30%	54.30%	183,823,231	183,823,231
	Lankem Developments PLC	49.80%	49.80%	59,762,295	59,762,295
	Union Commodities (Private) Limited	70.00%	70.00%	5,600,000	5,600,000
Lankem Tea and Rubber Plantations (Private) Limited	Colombo Fort Hotels Limited	6.08%	8.58%	16,927,739	11,608,591
	Kotagala Plantations PLC	1.64%	1.64%	5,550,000	5,550,000
	Agrapatana Plantation Limited	1.75%	0.00%	7,295,345	-
Lankem Developments PLC	Agarapatana Plantations Limited	67.45%	67.45%	281,228,778	281,228,776
	Waverly Power (Private) Limited	0.00%	56.41%	-	4,400,000
Colombo Fort Hotels Limited	Beruwala Resorts PLC	65.58%	65.58%	393,497,345	393,497,345
	Imperial Hotels Limited	34.08%	34.08%	4,921,506	4,921,506
	Marawila Resorts PLC	41.06%	41.06%	93,624,955	93,624,955
	Sigiriya Village Hotels PLC	51.00%	41.16%	4,590,274	3,704,274
	Galle Fort Hotel (Private) Limited	100.00%	100.00%	11,186,373	10,384,214
	Lak Kraft (Private) Limited	99.11%	99.11%	222	222
	Sherwood Holidays Limited	100.00%	100.00%	7,791,920	7,791,920
	BOT Hotel Services Limited	31.32%	31.32%	18,008,162	18,008,162
Sigiriya Village Hotels PLC	Marawila Resorts PLC	7.46%	7.46%	17,000,000	17,000,000
	Beruwala Resorts PLC	14.23%	14.23%	85,384,000	85,384,000
	Colombo Fort Hotels Limited	0.01%	0.02%	24,000	24,000
	Imperial Hotels Limited	31.16%	31.16%	4,500,000	4,500,000
Marawila Resorts PLC	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Colombo Fort Hotels Limited	0.31%	0.64%	866,258	866,258
Beruwala Resorts PLC	B.O.T. Hotel Services (Private) Limited	68.68%	68.68%	39,491,798	39,491,798
York Hotel Management Services Limited	Colombo Fort Hotels Limited	0.01%	0.02%	24,000	24,000
Agarapatana Plantations Limited	Beruwala Resorts PLC	0.22%	0.22%	1,300,000	1,300,000
	Union Commodities (Private) Limited	15.00%	15.00%	1,200,000	1,200,000
	Waverly Power (Private) Limited	100.00%	0.00%	7,800,002	-
Kotagala Plantations PLC	Agarapatana Plantations Limited	4.98%	4.80%	20,756,712	20,000,000
	Imperial Hotels Limited	31.16%	31.16%	4,500,000	4,500,000
	Union Commodities (Private) Limited	15.00%	15.00%	1,199,999	1,199,999
	Rubber & Allied Products (Colombo) Limited	100.00%	100.00%	5,991	5,991
C.W. Mackie PLC	Ceymac Rubber Company Limited	98.72%	98.72%	3,148,551	3,148,551
	Ceytra (Private) Limited	62.82%	62.82%	1,884,600	1,884,600
	Sunquick Lanka Properties (Pvt) Ltd	51.00%	51.00%	3,070,000	3,070,000
	Kelani Valley Canneries Limited	88.23%	88.23%	30,351,222	30,351,222
C M Holdings PLC	Colonial Motors (Ceylon) Limited	100.00%	100.00%	16,499,998	16,499,998
	E. B. Creasy & Company PLC	3.94%	3.94%	10,000,000	10,000,000
	York Arcade Holdings PLC	0.00%	0.00%	28	28
	Union Investments (Private) Limited.	100.00%	100.00%	4,999,999	4,999,999
	Colombo Fort Hotels Limited	6.83%	14.05%	19,014,348	19,014,348
	Marawila Resorts PLC	0.44%	0.44%	1,000,000	1,000,000
	Lankem Ceylon PLC	0.31%	0.31%	160,000	160,000

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2023	2022	2023	2022
C M Holdings PLC Contd.	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Guardian Asset Management Limited	75.00%	75.00%	1,199,995	1,199,995
	Agarapatana Plantations Limited	0.93%	0.00%	3,888,888	-
Union Investments (Private) Limited	E. B. Creasy & Company PLC	6.61%	6.61%	16,770,000	16,770,000
	York Arcade Holdings PLC	0.00%	0.00%	35	35
	Guardian Asset Management Limited	18.75%	18.75%	300,000	300,000
	Lankem Ceylon PLC	0.43%	0.43%	222,800	222,800
	Lankem Developments PLC	2.00%	2.08%	2,400,000	2,500,000
	Agarapatana Plantations Limited	0.06%	0.06%	250,000	250,000
	C.W. Mackie PLC	2.81%	2.81%	1,010,000	1,010,000
	Marawila Resorts PLC	2.93%	2.93%	6,681,037	6,681,037
	Sigiriya Village Hotels PLC	13.27%	23.12%	1,194,518	2,080,518
	Colombo Fort Hotels Limited	2.16%	0.00%	6,004,591	-
Guardian Asset Management Limited	Guardian Trustees Limited	99.99%	99.99%	59,993	59,993
	Kotagala Plantation PLC	0.00%	0.00%	1,252	1,252
	Muller & Phipps (Ceylon) PLC	0.00%	0.00%	500	500
	Laxapana Batteries PLC	0.00%	0.00%	600	600
	E. B. Creasy & Company PLC	0.00%	0.00%	7,200	7,200
	Colombo Investment Trust PLC	0.00%	0.00%	148	143
	Colombo Fort Investments PLC	0.00%	0.00%	104	83
	Lankem Developments PLC	0.00%	0.00%	296	296
	Lankem Ceylon PLC	0.78%	0.78%	400,300	400,300
	C M Holdings PLC	0.00%	0.00%	185	185
	Marawila Resorts PLC	0.00%	0.00%	640	640
	C.W. Mackie PLC	0.00%	0.00%	100	100
York Arcade Holdings PLC	C M Holdings PLC	0.47%	0.47%	71,707	71,707
	Imperial Hotels Limited	3.46%	3.46%	500,000	500,000
C.F Travels Limited	York Tours Limited	100.00%	100.00%	51,200	51,200
	American Lloyd Travels Limited	96.54%	96.54%	1,013,706	1,013,706
	Union Travels Limited	85.99%	85.99%	42,993	42,993
	Voyages Ceylon (Private) Limited	74.43%	74.43%	454,930	454,930
Colombo Fort Holdings Limited	York Hotel Management Services Limited	100.00%	100.00%	60,000	60,000
	Union Group (Private) Limited	87.90%	87.90%	54,500	54,500
	Transways (Private) Limited	70.00%	70.00%	35,000	35,000
Union Group (Private) Limited	Lankem Ceylon PLC	0.01%	0.01%	7,000	7,000
J.F. Packaging Limited	JF Ventures Limited	100.00%	100.00%	139,800,000	139,800,000
JF Ventures Limited *	Ceylon Tapes (Private) Limited	100.00%	100.00%	980,000	980,000
	Kiffs (Pvt) Ltd	100.00%	100.00%	440,001	440,001
	Alliance Five (Pvt) Ltd	100.00%	100.00%	649,750	649,750
Wavely Power (Private) Limited	Agarapatana Plantations Limited	0.60%	0.60%	2,500,000	2,500,000
	Colombo Fort Hotels Limited	0.79%	0.00%	2,186,624	-
Colombo Fort Group Services (Private) Limited	Agarapatana Plantations Limited	0.38%	0.38%	1,582,452	1,582,452

Notes: *Sunagro Foods Limited has changed its name to JF Ventures Limited with effect from 28th September 2022.

Notes to the Financial Statements contd.

15.5 Subsidiary Companies of the Group

The details of Subsidiaries in which The Colombo Fort Land & Building PLC held an indirect interest, are set out below:

Indirect Subsidiaries	Effective Holdings (%)	
	2023	2022
ACME Printing and Packaging PLC	50.10	54.11
Agarapatana Plantations Limited	44.67	43.68
American Lloyd Travels Limited	96.54	96.54
Associated Farms Limited	72.27	72.66
B.O.T. Hotel Services (Private) Limited	61.71	59.00
C.W. Mackie PLC	41.22	42.07
Ceylon Tapes limited	72.28	72.66
Corporate Systems Limited	59.85	59.87
Candy Delights Limited	59.89	59.91
Creasy Plantation Management Limited	24.56	24.56
Darley Butler & Company Limited	59.89	59.91
E. B. Creasy Logistics Limited	59.89	59.91
Filmpack Limited	59.89	59.91
Group Three Associates (Private) Limited	59.89	59.91
Guardian Trustees Limited	61.41	61.57
E.B.Creasy Ceylon (Private) Limited	59.89	59.91
J.F.Packaging Limited	72.28	72.66
J F Ventures Limited	72.28	72.66
Kotagala Plantations PLC	48.56	48.66
Lanka Special Steels (Lanka) Limited	59.89	59.91
Lankem Agrochemicals Limited	72.28	72.66
Lankem Chemicals Limited	72.28	72.66
Lankem Consumer Products Limited	72.28	72.66
Lankem Developments PLC	46.04	46.20
Lankem Exports (Private) Limited	72.28	72.66
Lankem Paints Limited	72.28	72.66
Lankem Plantation Services Limited	43.37	43.60
Lankem Research Limited	72.28	72.66
Lankem Tea & Rubber Plantations (Private) Limited	86.65	86.84
Laxapana Batteries PLC	40.89	40.90
SunAgro Farms Limited	72.28	72.66
SunAgro LifeScience Limited	72.28	72.66
Union Group (Private) Limited	87.90	87.90
Union Travels Limited	85.99	85.99
Voyages Ceylon (Private) Limited	74.43	74.43
York Hotel Management Services Limited	99.99	99.99
Imperial Hotels Limited	55.63	53.59
York Tours Limited	99.99	99.99

16 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

16.1 Investments in Associates

	Holding %	No. of Shares	Balance as at 2023 Rs.'000	Market Value 2023 Rs.'000	Holding %	No. of Shares	Balance as at 2022 Rs.'000	Market Value 2022 Rs.'000
As at 31st March,	2023	2023			2022	2022		
GROUP								
Quoted Investments								
Colombo Fort Investments PLC (CFIL)	14.07	1,211,190	128,989	81,755	16.22	1,121,097	162,453	79,037
Colombo Investment Trust PLC (CITL)	11.45	802,761	89,801	95,127	11.57	791,542	105,586	86,872
			218,790	176,882			268,040	165,909
Unquoted Investments								
Capital Investments Limited (CIL)	46.67	3,499,930	151,411		46.67	3,499,930	152,413	
Unrealised profit on disposal of shares to equity accounted investee			(3,638)				(3,638)	
Balance as at 1st April			366,940				416,815	
Statement of Profit or Loss			18,185				11,663	
Other Comprehensive Income			273,115				(61,538)	
Share of Results of Equity Accounted Investees (Net of Tax) for the Year			291,300				(49,875)	
Dividend Paid during the Year			-				-	
Unrealised profit on disposal of shares to equity accounted investee								
Carrying Value of Investments in Equity								
Accounted Investees			658,240				366,940	

a. Market value of quoted investments as at 31st March, 2023 was Rs.171 million (Rs.165 million- 31st March, 2022) for the Group and Company. The Director's valuation of unquoted associate investment amounted to Rs.151 million as at 31st March, 2023 (Rs.152 million - 31st March, 2022) for the Group and Company as well.

b. Summarised Financial Information of Equity Accounted Investees

As at 31st March,	GROUP							
	CFIL	CITL	CIL	Total	CFIL	CITL	CIL	Total
	2023 (Rs.'000)				2022 (Rs.'000)			
Assets & Liabilities								
Total Assets	1,791,104	1,614,862	649,851	4,055,817	1,143,804	1,090,778	338,101	2,572,683
Total Liabilities	(782)	(2,549)	(13,138)	(16,469)	(20,434)	(19,124)	(13,123)	(52,681)
Net Assets	1,790,322	1,612,313	636,713	4,039,348	1,123,370	1,071,654	324,978	2,520,002

Notes to the Financial Statements contd.

Summary of the Statement of Profit or Loss

	CFIL	CITL	CIL	Total	CFIL	CITL	CIL	Total
For the year ended 31st March,	2023 (Rs.'000)				2022 (Rs.'000)			
Revenue	35,090	44,670	596	80,356	41,227	46,986	535	88,748
Cost of Investment Disposed	-	(6,125)	-	(6,125)	-	(9,787)	-	(9,787)
FV through Profit or Loss	48,942	22,540	-	71,482	17,956	8,833	-	26,789
Other Operating Income	7,945	1,806	-	9,751	1,024	62	-	1,086
	91,977	62,891	596	155,464	60,207	46,094	535	106,836
Administrative Expenses	(4,701)	(4,863)	(406)	(9,970)	(3,782)	(4,110)	(3,000)	(10,892)
Other Operating Expenses	(816)	-	-	(816)	(276)	-	-	(276)
Profit From Operations	86,460	58,028	190	144,678	56,149	41,984	(2,465)	95,668
Net Finance Cost	(1,426)	(1,448)	-	(2,874)	(1,618)	(1,893)	-	(3,511)
Profit Before Tax	85,034	56,580	190	141,804	54,531	40,091	(2,465)	92,157
Income Tax Expenses	(1,753)	(874)	-	(2,627)	(3,675)	(648)	-	(4,323)
Net Profit for the year	83,281	55,706	190	139,177	50,856	39,443	(2,465)	87,834
Other Comprehensive income								
for the period ,Net of Tax	513,356	484,953	311,545	1,309,854	(255,906)	(174,355)	319	(429,942)
Total Comprehensive income								
for the period	596,637	540,659	311,735	1,449,031	(205,050)	(134,912)	(2,146)	(342,108)
Share of Profit for the								
Parent Company	11,715	6,377	92	18,185	8,300	4,615	(1,252)	11,663

c. The Colombo Fort Land and Building PLC has neither contingent liabilities nor capital commitments in respect of its associates.

	Holding %	No. of Shares	Cost As at 2023 Rs.'000	Carrying Value As at 2023 Rs.'000	No. of Shares	Cost As at 2022 Rs.'000	Carrying Value As at 2022 Rs.'000
As at 31st March,	2023	2023			2022		

COMPANY

Quoted Investments

Colombo Fort Investments PLC	14.07	1,211,190	42,417	81,755	1,121,097	37,938	79,037
Colombo Investment Trust PLC	11.45	802,761	25,599	95,127	791,542	24,702	86,872
			68,016	176,882		62,640	165,909

Unquoted Investments

Capital Investments Limited	46.67	3,499,930	35,349	-	3,499,930	35,349	-
			35,349	-		35,349	-

Carrying Value of Investments in Equity

Accounted Investees			103,365			97,989	
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16.2 Investment in Joint Venture

As at	31.03.2023 Rs.'000	31.03.2022 Rs.'000
Sunquick Lanka (Private) Limited	-	163,547
	-	163,547

The Company has a 49% interest in Sunquick Lanka (Private) Limited, a joint venture formed for the purpose of manufacturing, processing and marketing Co-Ro A/S, Denmark products in the form of concentrates and ready-to-drink (RTD) products marketed under 'Sunquick' brand.

The Group's interest in Sunquick Lanka (Private) Limited is accounted for using the equity method in the Consolidated Financial Statements. Summarised financial information of the joint venture and reconciliation with the carrying amount of the investment in the Financial Statements are set out below:

Summary of the Statement of Financial Position

As at	31.03.2023	31.03.2022
	Rs.'000	Rs.'000

Summary of the Statement of Profit or Loss

Revenue	2,546,508	1,384,221
Operating Expenses	(2,543,744)	(1,333,248)
Other Operating income	31,832	6,086
Finance Income	53,599	-
Finance Cost	(466,036)	(294,796)
Income tax	(63,605)	(23,096)
Other Comprehensive	3,809	427
Total comprehensive income / (expense) for the year	(437,637)	(260,833)
Group's Share of Loss recognised for the year	(165,413)	(127,808)
Share loss recognised in other comprehensive income / (expense)	1,866	209

Summarised Statement of Financial Position

Non-Current Assets	934,423	976,534
Current Assets	1,803,092	1,145,130
Non-Current Liabilities	1,465,321	584,551
Current Liabilities	1,373,689	1,203,344
Equity	(101,495)	333,769
Carrying amount of the investments	-	163,547

Equity Reconciliation

Carrying Value as at 1st April	163,547	291,146
Investment made during the year	-	-
Share of profit / (loss)	(163,547)	(127,599)
Carrying Value as at 31st March	-	163,547

17 OTHER FINANCIAL ASSETS - NON CURRENT

	Notes	GROUP		Notes	COMPANY	
		Carrying Value	Carrying Value		Carrying Value	Carrying Value
		2023	2022		2023	2022
As at 31st March,		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Quoted Investments - Financial Assets at FVOCI	17.1.1	178,619	99,202	17.2.1	3,727	5,087
Unquoted Investments - Financial Assets at FVOCI	17.1.2	594,339	335,203		-	-
Unit Trusts	17.1.3	3,805	225,566		-	-
Investment in Treasury Bond	17.1.4	98,533	-		-	-
		875,296	659,971		3,727	5,087
Less : Provision for Impairment in Value of Investment *		(5,400)	(5,400)		-	-
		869,896	654,571		3,727	5,087

*Impairment relates to Dutch Dairy international (Private) limited, Far Eastern Exports Limited and Sri Lanka Institute of Nanotechnology (Private) limited.

Notes to the Financial Statements contd.

17.1 Group

17.1.1 Quoted Investments

As at 31st March,	GROUP					
	No. of Shares 2023	Cost 2023 Rs.'000	Carrying Value 2023 Rs.'000	No. of Shares 2022	Cost 2022 Rs.'000	Carrying Value 2022 Rs.'000
Automobiles & Components						
Kelani Tyres PLC	360	2	21	360	2	21
		2	21		2	21
Banks						
Commercial Bank of Ceylon PLC-Voting	333	16	21	321	15	20
DFCC Bank PLC	18,148	802	797	17,320	802	832
Hatton National Bank PLC-Voting	10	-	1	10	-	1
Housing Development Finance Corporation						
Bank of Sri Lanka	100	4	3	100	4	3
National Development Bank PLC	6,684	554	286	6,676	553	372
Nations Trust Bank PLC	13,875	336	835	13,487	314	609
Pan Asia Banking Corporation PLC	3,000	24	38	3,000	24	32
Sampath Bank PLC	915	25	48	915	25	42
Seylan Bank PLC-Non-Voting	232	6	5	213	6	5
Seylan Bank PLC-Voting	8	-	-	8	-	-
The Finance Company PLC	100	8	-	100	8	-
Union Bank of Colombo PLC	100	3	1	100	3	1
		1,778	2,035		1,754	1,917
Capital Goods						
ACL Cables PLC	1,152	2	95	1,152	2	66
Aitken Spence PLC	555	10	73	555	10	41
Colombo Dockyard PLC	15	-	1	15	-	1
Hayleys PLC	90	1	6	90	1	7
Hemas Holdings PLC	161,772	8,162	10,515	161,772	8,162	7,474
John Keells Holdings PLC	192	11	27	192	11	28
Lanka Ashok Leyland PLC	90	1	71	90	1	64
Lanka Tiles PLC	260	1	11	260	1	16
Lanka Walltiles PLC	165	4	8	165	4	12
Renuka Holdings PLC- Voting	1,222	18	16	1,180	17	13
Renuka Holdings PLC- Non Voting	170	2	2	164	1	2
Richard Peiris & Company PLC	3,705	2	77	3,705	2	49
Royal Ceramics Lanka PLC	10,950	114	3,008	10,950	114	4,434
Sierra Cables PLC	2,600	8	31	2,600	8	18
The Colombo Fort Land & Building PLC	5,800,333	14,174	151,389	5,800,333	14,174	76,564
Unisyst Engineering PLC	180	3	1	180	3	2
Brown & Company PLC	100	3	12	100	3	13
Lanka Ceramic PLC	7	1	1	7	1	1
		22,517	165,344		22,515	88,805
Commercial & Professional Services						
Gestetner of Ceylon PLC	754	16	50	754	16	50
Paragon Ceylon PLC	100	1	4	100	1	4
		17	54		17	54

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023 Rs.'000	2023 Rs.'000	2022	2022 Rs.'000	2022 Rs.'000
Consumer Durables & Apparel						
Abans Electrical PLC	240	10	38	240	10	39
Dankotuwa Porcelain PLC	166	3	3	166	3	2
Hayleys Fabric PLC	818	7	21	818	7	24
Hayleys Fibre PLC	315	2	16	315	2	17
Regnis (Lanka) PLC	60	1	3	60	1	3
Ambeon holdings PLC	1,002	2	35	1,002	2	39
Kelsey Developments PLC	337	4	7	337	4	10
Singer Industries (Ceylon) PLC	170	1	6	170	1	7
Blue Diamond Jewellery Worldwide PLC	22	-	-	22	-	-
		30	129		30	141
Consumer Services						
Aitken Spence Hotel Holdings PLC	140	2	8	140	2	5
Amaya Leisure PLC	554	2	13	554	2	9
Asian Hotels & Properties PLC	200	1	9	200	1	7
Browns Beach Hotels PLC	150	-	2	150	-	1
Ceylon Hotels Corporation PLC	534	2	12	534	2	5
Citrus Leisure PLC	53	1	-	53	1	-
Dolphin Hotels PLC	125	1	4	125	1	4
Eden Hotel Lanka PLC	200	2	4	200	2	3
Galadari Hotels (Lanka) PLC	100	-	1	100	-	1
Hotel Sigiriya PLC	14,000	65	-	14,000	65	-
Hunas Falls Hotels PLC	67,500	19	2,045	450	19	878
John Keells Hotels PLC	1,506	5	28	1,506	5	18
Mahaweli Reach Hotels PLC	100	1	1	100	1	1
Palm Garden Hotels PLC	56	3	3	56	3	2
Pegasus Hotels of Ceylon PLC	1,093	37	38	1,093	37	38
Renuka City Hotel PLC	600	148	219	600	148	176
Royal Palms Beach Hotels PLC	475	12	13	475	12	8
Trans Asia Hotels PLC	400	1	-	400	1	-
Tal Lanka Hotels PLC	100	-	2	100	-	1
The Kingsbury PLC	1,374	3	14	1,374	3	11
The Fortress Resorts PLC	500	5	11	500	5	6
The Lighthouse Hotel PLC	100	1	3	100	1	3
The Nuwara Eliya Hotels Company PLC	12	4	18	12	4	13
Touchwood Investments PLC	-	1	-	-	1	-
		316	2,448		316	1,190
Diversified Holdings						
Associated Motor Finance Company PLC	3,036	62	25	3,036	62	26
Asia Capital PLC	100	-	-	100	-	1
Central Finance Company PLC	10	-	1	10	-	1
Ceylon Guardian Investment Trust PLC	174	2	12	174	2	14
Ceylon Investment PLC	471	3	16	471	3	17
Colombo Fort Investments PLC	-	-	-	-	-	-
Colombo Investment Trust PLC	-	-	-	-	-	-

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023 Rs.'000	2023 Rs.'000	2022	2022 Rs.'000	2022 Rs.'000
First Capital Holdings PLC	14,400	11	458	3,600	11	112
Lanka Orix Leasing Company Holding PLC	800	1	300	800	1	478
Lanka Ventures PLC	100	1	4	100	1	5
LB Finance PLC	4,624	3	254	4,624	3	268
Merchant Bank of Sri Lanka & Finance PLC	67	1	-	67	1	-
Nation Lanka Finance PLC	625	5	-	625	5	-
People's Leasing & Finance PLC	12,921	210	102	10,000	180	97
People's Merchant Finance PLC	270	4	1	270	4	1
Selinsing PLC	36	9	25	36	9	22
SMB Leasing PLC	3,610	3	3	3,610	3	1
The Indo Malay PLC	5	1	7	5	1	7
		316	1,208		286	1,050
Energy						
Lanka IOC PLC	800	22	137	800	22	25
		22	137		22	25
Food & Staples Retailing						
CT Holdings PLC	223	7	40	223	7	34
Cargills (Ceylon) PLC	343	9	80	343	9	63
Ceylon & Foreign Traders PLC	10,000	5	-	10,000	5	-
Tess Agro PLC	2,053	2	2	2,053	2	3
		23	122		23	100
Food Beverage & Tobacco						
Agalawatte Plantations PLC	100	1	3	100	1	3
Bairaha Farms PLC	110	1	16	100	1	15
Balangoda Plantations PLC	310	5	27	310	5	6
Bogawantalawa Tea Estate PLC	46	-	2	46	-	-
Browns Investments PLC	6,000	19	36	6,000	19	45
Bukit Darah PLC	10	3	4	10	3	4
Carson Cumberbatch PLC	191	10	52	191	10	52
Ceylon Grain Elevators PLC	10	-	1	10	-	1
Ceylon Tobacco Company PLC	7	-	5	7	-	4
Convenience Foods (Lanka) PLC	90	1	109	90	1	106
Ceylon Beverage Holdings PLC	276	6	313	276	6	195
Ceylon Cold Stores PLC	640	1	26	640	1	25
Dilmah Ceylon Tea Company PLC	80	3	82	80	3	80
Distilleries Company of Sri Lanka PLC	118	1	2	118	1	2
Hapugastenne Plantations PLC	300	5	13	300	5	6
Hatton Plantation PLC	12,000	52	225	12,000	52	100
Horana Plantations PLC	120	2	6	120	2	2
Kahawatte Plantations PLC	531	9	10	531	9	12
Keells Food Products PLC	219	11	35	219	11	36

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023 Rs.'000	2023 Rs.'000	2022	2022 Rs.'000	2022 Rs.'000
Kegalle Plantations PLC	200	6	26	200	6	26
Kelani Valley Plantations PLC	400	7	28	400	7	24
Lanka Milk Foods (CWE) PLC	133	3	19	133	3	18
Madulsima Plantations PLC	200	5	2	200	5	2
Malwatte Valley Plantations PLC	2,000	2	128	2,000	2	40
Maskeliya Plantations PLC	2,300	42	84	2,300	42	22
Melstacorp PLC	400	1	22	400	1	16
Namunukula Plantations PLC	1,200	22	435	1,200	22	479
Nestle Lanka PLC	40	4	43	40	4	38
Renuka Foods PLC	20	-	-	20	-	-
Tea Smallholder Factories PLC	142	3	6	142	3	4
Talawakelle Tea Estates PLC	1,400	15	115	1,400	15	60
Three Acre Farms PLC	19	-	2	19	-	4
Udapussellawa Plantations PLC	200	4	16	200	4	6
Watawala Plantations PLC	10,284	45	766	10,284	45	959
		289	2,659		289	2,392
Health Care Equipment & Services						
Asiri Hospital Holdings PLC	2,660	6	66	2,660	6	100
Asiri Surgical Hospital PLC	1,499	4	19	1,499	4	22
Durdans Hospitals PLC-Non-Voting	130	2	12	130	2	11
Durdans Hospitals PLC - Voting	130	8	17	130	8	14
E - Channelling PLC	1,162	2	18	1,162	2	9
Nawaloka Hospitals PLC	26,666	20	152	26,666	20	173
PC House PLC	-	-	-	-	-	-
Singhe Hospital PLC	1,000	3	3	1,000	3	2
The Lanka Hospital Corporation PLC	100	2	11	100	2	5
		47	298		47	336
Insurance						
Amana Takaful PLC	402	9	5	402	9	4
Ceylinco Insurance PLC	22	-	48	22	-	51
HNB Assurance PLC	600	3	30	600	3	26
Janashakthi Insurance Company PLC	1,800	56	48	1,800	56	41
Softlogic Life Insurance PLC	1,000	1	84	1,000	1	43
		69	215		69	165
Materials						
ACL Plastics PLC	100	3	39	100	3	36
Bogala Graphite Lanka PLC	200	1	13	200	1	9
Chemmanex PLC	177	2	14	177	2	13
Chevron Lubrications Lanka PLC	12,400	452	1,136	12,400	180	1,080
CIC Holdings PLC	16,956	29	1,208	16,956	29	645
Dipped Products PLC	860	2	24	860	2	28
Haycarb PLC	270	1	15	270	1	14

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023 Rs.'000	2023 Rs.'000	2022	2022 Rs.'000	2022 Rs.'000
Lanka Aluminium Industries PLC	50	-	1	50	-	1
Lanka Cement PLC	100	-	-	100	-	-
Piramal Glass Ceylon PLC	3,428	6	66	3,428	6	39
Richard Peiris Exports PLC	92	3	51	92	3	56
Samson International PLC	50	1	13	50	1	9
Swisstek (Ceylon) PLC	500	-	7	500	-	11
Tokyo Cement Company (Lanka) PLC-Voting	19,740	30,000	987	19,740	30,000	669
		30,501	3,588		30,229	2,628
Real Estate						
C.T. Land Development PLC	167	1	5	167	1	4
Colombo Land & Development Company PLC	1,400	2	28	1,400	2	35
Commercial Development PLC	600	6	60	600	6	61
East West Properties PLC	1,200	6	10	1,200	6	9
Equity Two PLC	100	1	4	100	1	4
On'ally Holdings PLC	155	-	4	155	-	4
Overseas Realty (Ceylon) PLC	300	2	5	300	2	5
Serendib Land PLC	33	7	44	33	7	40
Seylan Developments PLC	204	1	3	204	1	3
Standard Capital PLC	400	17	17	400	17	24
		43	180		43	189
Retailing						
Diesel & Motors Engineering PLC	6	-	3	6	-	3
Hunters & Company PLC	24	1	17	24	1	12
John Keells PLC	336	2	23	336	2	23
Odel PLC	100	2	2	100	2	2
Singer Sri Lanka PLC	270	3	4	270	3	4
RIL Properties PLC	6,666	53	37	6,666	53	47
Sathosa Motors PLC	66	2	10	66	2	12
The Autodrome PLC	100	2	10	100	2	12
		65	106		65	115
Telecommunication Services						
Dialog Axiata PLC	100	2	1	100	2	1
Sri Lanka Telecom PLC	200	3	19	200	3	7
		5	20		5	8
Utilities						
Panasian Power PLC	1,000	3	3	1,000	3	4
Resus Energy PLC	1,475	24	20	1,353	21	26
Vallibel Power Erathna PLC	3,000	8	20	3,000	8	22
Vidullanka PLC	2,042	2	12	2,042	2	14
		37	55		34	66
Total Quoted Investments		56,077	178,619		55,746	99,202

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023	2023	2022	2022	2022
		Rs.'000	Rs.'000		Rs.'000	Rs.'000

17.1.2 Unquoted Investments

Asia Pacific Golf Courses Limited	-	-	-	2,500	250	250
Ceylon Biscuits Limited	5,041,680	30	588,809	5,041,680	30	329,423
Dacreel Ceylon Limited	1	-	-	1	-	-
Dutch Dairy International Limited	125,000	5,400	5,400	125,000	5,400	5,400
Far Eastern Exports Limited	10,500	105	72	10,500	105	72
Fortland Finance Limited	31,500	318	-	31,500	318	-
International Manufacturers Company Limited	3,300	23	23	3,300	23	23
Srilanka Institue of Nanotechnology (Private) limited	3,814,182	50,040	-	3,814,182	50,040	-
York Conventions (Private) Limited	1	10	10	1	10	10
Ingrin Institute of Printing & Graphics	-	-	25	-	-	25
Total		55,926	594,339		56,176	335,203

17.1.3 Unit Trusts

Ceybank Unit Trust	-	-	-	13,580,829	138,708	221,586
Pyramid Unit Trust	87,321	2,447	3,805	87,321	2,447	3,980
Total		2,447	3,805		141,155	225,566

17.1.4 Other Investments

Investment in Treasury Bond	-	98,533	-	-
Total	-	98,533		

Pettah Pharmacy (Pvt) Limited, a subsidiary of the Group, was issued a treasury bond carrying a maturity date of 15.09. 2027 in lieu of settlement of trade receivables due from State Pharmaceutical Corporation. This treasury bond was subsequently sold by Pettah Pharmacy (Pvt) Limited at the then prevailing market price after the reporting date.

The Group designated the Investments shown above as Equity Securities at FVOCI because these Equity Securities represent investments that the Group intended to held for the lonf term for strategic purposes.

*Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

17.2 Company

17.2.1 Quoted Investments

As at 31st March,	COMPANY					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023	2023	2022	2022	2022
		Rs.'000	Rs.'000		Rs.'000	Rs.'000

Banks, Finance & Insurance

People's Leasing & Finance PLC	12,921	210	102	11,943	205	96
The Finance Company PLC	100	8	-	100	8	-
Total		218	102		213	96

Beverages, Food & Tobacco

Ceylon Beverage Holdings PLC	226	1	256	226	1	160
Namunukula Plantations PLC	1,000	15	363	1,000	15	399
Total		16	619		16	559

Manufacturing

Royal Ceramic Lanka PLC	108,900	114	3,006	108,900	114	4,432
Total		114	3,006		114	4,432
Total		348	3,727		343	5,087

Notes to the Financial Statements contd.

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

The Company and the Group have valued their Equity Securities at the price on the last day of trading for the year ended 31st March, 2023.

17.3 Other Financial Assets -Current

	Notes	GROUP	COMPANY		
		Carrying Value 2023 Rs.'000	Carrying Value 2022 Rs.'000	Carrying Value 2023 Rs.'000	Carrying Value 2022 Rs.'000
As at 31st March,					
Quoted Investments - Financial Assets at FVTPL	17.3.1	858,610	908,487	2,363	2,245
Unit Trusts - Financial Assets at FVTPL	17.3.2	13,896	10,191	-	-
		872,506	918,678	2,363	2,245

The movement of the financial assets at fair value through profit or loss is as follows;

	GROUP	
	Carrying Value	
As at 31st March,	2023 Rs.'000	2022 Rs.'000
Investment in Unit Trust	10,191	9,121
Equity Investments	908,487	810,023
	918,678	819,144
Additions		
Investment in Unit Trust	133	1,045
Equity Investments	7,621	41,971
	7,754	43,016
Disposals		
Equity Investments	(62,216)	(5,218)
	(62,216)	(5,218)
Market Fair value changes		
Investment in Unit Trust	3,572	25
Equity Investments	4,718	61,711
	8,290	61,736
At the end of the year		
Investment in Unit Trust	13,896	10,191
Equity Investments	858,610	908,487
	872,506	918,678

17.3 Group

17.3.1 Quoted Investments

	GROUP					
	No. of Shares 2023	Cost 2023 Rs:'000	Carrying Value 2023 Rs:'000	No. of Shares 2022	Cost 2022 Rs:'000	Carrying Value 2022 Rs:'000
As at 31st March,						
Automobiles & Components						
Kelani Tyres PLC	160	1	10	160	1	9
		1	10		1	9
Banks						
Commercial Bank of Ceylon PLC-Non-Voting	135,220	5,471	7,315	130,000	5,081	7,917
Commercial Bank of Ceylon PLC-Voting	1,228,372	48,450	78,124	1,183,378	44,900	74,198
Hatton National Bank PLC- Non-Voting	61,745	2,653	5,446	60,554	2,502	6,358
Hatton National Bank PLC-Voting	349,202	19,112	45,222	343,023	18,254	37,475
Development Finance Corporation of Ceylon PLC	123,229	7,841	5,410	117,159	7,812	5,624
National Development Bank PLC	35,894	1,958	1,612	33,726	1,807	1,879
Nations Trust Bank PLC	182,651	5,339	11,690	169,276	4,702	7,766
Pan Asia Banking Corporation PLC	209,000	2,107	2,613	209,000	2,107	2,257
Sampath Bank PLC	409,260	14,097	21,486	409,260	14,097	18,744
Seylan Bank PLC-Non-Voting	456,817	9,417	10,278	417,885	8,164	10,642
Union Bank of Colombo PLC	55,000	3	495	55,000	3	413
		116,449	189,690		109,429	173,273
Capital Goods						
ACL Cables PLC	144,000	1,485	11,851	144,000	1,485	8,208
Browns & Company PLC	28,900	2,745	3,454	28,900	2,745	3,858
Colombo Dockyard PLC	14,880	842	952	14,880	842	1,091
Dunamis Capital PLC	-	-	-	-	-	-
Hayleys PLC	1,000,160	2,373	72,012	1,000,160	2,373	76,912
Hemas Holdings PLC	21,653	432	1,407	21,653	432	1,000
John Keells Holdings PLC	69,137	5,686	9,679	69,137	5,686	10,025
Kelani Cables PLC	400	7	108	400	7	116
Lanka Tiles PLC	125,000	630	5,388	125,000	630	7,463
Lanka Walltiles PLC	500,000	3,947	24,050	500,000	3,947	34,850
MTD Walkers PLC	-	-	-	-	-	-
Renuka Holdings PLC-Voting	-	-	-	-	-	-
Richard Peiris & Company PLC	4,740	11	98	4,740	11	63
Sierra Cables PLC	824,000	1,515	9,888	824,000	1,515	5,603
Vallibel One PLC	109,012	2,600	3,990	109,012	2,600	4,382
		22,272	142,876		22,272	153,572
Consumer Durables & Apparel						
Dankotuwa Porcelain PLC	42,500	349	871	42,500	349	421
Hayleys Fabric PLC	17,180	194	433	17,180	194	500
Hayleys Fibre PLC	1,467	21	73	1,467	21	81
Regnis (Lanka) PLC	275,706	2,464	12,682	275,706	2,464	15,026
Singer Industries (Ceylon) PLC	165,360	844	6,085	165,360	844	6,333
Teejay Lanka PLC	10,000	150	320	10,000	150	398
Hela Apperal PLC	6,000	90	48	6,000	90	77
		4,112	20,513		4,112	22,836

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023	2023	2022	2022	2022
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Consumer Services						
Aitken Spence Hotel Holdings PLC	100,625	1,856	6,027	100,625	1,856	3,572
Amaya Leisure PLC	134,886	2,335	3,237	134,886	2,335	2,185
Asian Hotels & Properties PLC	72,000	989	3,168	72,000	989	2,664
Ceylon Hotels Corporation PLC	10,478	254	236	10,478	254	95
Dolphin Hotels PLC	20,000	275	640	20,000	275	602
Eden Hotel Lanka PLC	350,000	7,006	6,160	350,000	7,006	4,585
Galadari Hotels PLC	7,000	60	102	7,000	60	102
Hikkaduwa Beach Resort PLC	33,742	675	172	33,742	675	192
John Keells Hotels PLC	530,416	8,907	10,025	530,416	8,907	6,206
Palm Garden Hotels PLC	15,164	711	834	15,164	711	623
Pegasus Hotels of Ceylon PLC	22,666	499	777	22,666	499	771
Renuka City Hotel PLC	12,740	897	4,666	12,740	897	3,746
Royal Palms Beach Hotels PLC	15,700	629	413	15,700	629	256
Serendib Hotels PLC-Non-Voting	125,000	296	838	31,250	296	294
Tal Lanka Hotels PLC	19,500	182	296	19,500	182	257
Tangerine Beach Hotels PLC	11,400	348	627	11,400	348	503
The Fortress Resorts PLC	50	1	1	50	1	1
The Lighthouse Hotel PLC	114,800	1,948	3,134	114,800	1,948	3,157
		27,868	41,353		27,868	29,810
Diversified Financials						
Alliance Finance Company PLC	80,000	353	5,344	80,000	353	5,632
Central Finance PLC	40,318	821	2,919	40,318	821	2,746
Ceylon Guardian Investments PLC	152,189	1,574	10,297	152,189	1,574	11,947
Ceylon Investment PLC	607,159	2,852	20,340	607,159	2,944	22,526
Galle Face Capital Partners PLC	113,000	8,253	1,932	113,000	8,253	2,769
Lanka ORIX Finance PLC	99,250	620	596	99,250	620	1,409
Lanka ORIX Leasing Company PLC	399,000	3,283	149,625	399,000	3,283	238,403
Lanka Ventures PLC	339,700	11,405	12,909	339,700	11,405	15,287
LOLC General Insurance PLC	2,300	18	17	-	-	-
Merchant Bank of Sri Lanka & Finance PLC	124,879	8,170	425	124,879	8,170	637
People's Merchant Bank PLC	1,500	27	8	1,500	27	8
Total		37,375	204,410		37,449	301,362
Energy						
Lanka IOC PLC	174,600	5,418	29,944	174,600	5,418	5,378
		5,418	29,944		5,418	5,378
Food & Staples Retailing						
Cargills (Ceylon) PLC	146,057	4,386	34,031	146,057	4,386	26,655
		4,386	34,031		4,386	26,655

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023	2023	2022	2022	2022
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Food Beverage & Tobacco						
Browns Investments PLC	706,000	1,933	4,236	706,000	1,933	5,295
Bukit Darah PLC	896	250	384	896	250	324
Carson Cumberbatch PLC	664	81	180	664	81	179
Ceylon Cold Stores PLC	93,200	178	3,728	93,200	178	3,625
Ceylon Grain Elevators PLC	30,000	302	2,517	30,000	302	1,830
Dilmah Ceylon Tea Company PLC	1,428	86	1,457	1,428	86	1,428
Ceylon Tobacco Company PLC	3,500	140	2,383	3,500	140	2,017
Hatton Plantations PLC	432,000	-	8,078	432,000	-	3,626
Keells Food Products PLC	3,570	174	571	3,570	174	594
Lanka Milk Foods (CWE) PLC	133	4	19	133	4	18
Melstacorp PLC	10,000	652	549	10,000	652	411
Nestle Lanka PLC	4,700	404	5,024	4,700	404	4,412
Renuka Agri Foods PLC	31,560	106	164	31,560	106	114
Renuka Foods PLC -Voting	25,000	317	535	25,000	317	335
Sunshine Holdings PLC	2,136	24	96	2,136	24	78
Three Acre Farms PLC	25,000	216	3,269	25,000	216	4,713
Watawala Plantations PLC	364,201	495	27,133	364,201	495	33,980
		5,362	60,323		5,362	62,979
Health Care Equipment & Services						
Asiri Hospital Holdings PLC	353,000	895	8,790	353,000	895	13,238
Asiri Surgical Hospital PLC	112,500	277	1,406	112,500	277	1,688
Ceylon Hospitals PLC (Durdans)-Voting	13,330	300	1,272	13,330	300	1,096
The Lanka Hospital Corporation PLC	33,000	489	3,729	33,000	489	1,657
		1,961	15,197		1,961	17,677
Insurance						
Amana Takaful PLC	75,000	753	900	75,000	753	750
HNB Assurance PLC	300,000	1,308	14,970	300,000	1,308	12,990
Softlogic Life Insurance PLC	100,000	284	8,440	100,000	284	4,340
		2,345	24,310		2,345	18,080
Materials						
ACME Printing and Packaging PLC	-	-	-	-	-	-
Bogala Graphite Lanka PLC	11,200	37	728	11,200	37	505
Chemane PLC	17,700	1,558	1,372	17,700	1,558	1,324
Chevron Lubrications Lanka PLC	47,460	3,482	4,347	47,460	3,482	4,134
Dipped Products PLC	350,240	1,562	9,702	350,240	1,562	11,383
Haycarb PLC	3,450	10	194	3,450	10	173
Lanka Cement PLC	5,000	39	-	5,000	39	13
Richard Peiris Exports PLC	39,600	692	22,077	39,600	692	24,116
Tokyo Cement Company (Lanka) PLC-Voting	141,153	19,807	7,058	141,153	19,807	4,785
Tokyo Cement Company (Lanka) PLC-Non-Voting	455,500	3,379	20,725	455,500	3,379	11,980
Union Chemicals Lanka PLC	100	1	70	100	1	78
		30,567	66,273		30,567	58,490

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023	2023	2022	2022	2022
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Real Estate						
C.T. Land Development PLC	3,333	14	90	3,333	14	86
Colombo Land & Development Company PLC	522,460	4,783	10,501	522,460	4,783	13,009
East West Properties PLC	48,000	338	403	48,000	338	350
Equity Two PLC	25,200	217	958	25,200	217	958
Property Development PLC	-	-	-	8,000	133	1,060
Touchwood Investments PLC	600,000	10,602	-	-	-	-
Total		15,954	11,952		5,484	15,463
Retailing						
John Keells PLC	20,000	383	1,376	20,000	383	1,370
Singer Sri Lanka PLC	6,000	3	90	6,000	3	84
United Motors Lanka PLC	34,881	334	2,089	34,881	334	1,922
Odel PLC	1,500	23	25	1,500	23	29
		743	3,580		743	3,405
Telecommunications Services						
Dialog Axiata PLC	15,000	224	156	15,000	224	150
		224	156		224	150
Transportation						
Expolanka Holdings PLC	55,000	13,310	7,590	55,000	13,310	11,426
		13,310	7,590		13,310	11,426
Utilities						
Panasian Power PLC	29,200	88	99	29,200	88	108
Resus Energy PLC	162,367	3,178	2,192	148,887	2,813	2,903
Vallibel Power Erathna PLC	39,017	86	261	39,017	86	281
Vidullanka PLC	652,053	1,030	3,847	652,053	1,030	4,630
Total		4,382	6,399		4,017	7,922
Total Financial Assets at FVTPL		292,727	858,610		274,948	908,487

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023	2023	2022	2022	2022
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
17.3.2 Unit Trusts						
Bartleet Transcapital (Pvt) Ltd	10,000	200	200	10,000	200	200
Ceybank Unit Trust	318,639	5,037	10,697	318,639	5,037	7,300
National Equity Fund	12,000	120	423	12,000	120	420
NDB Wealth Growth & Income Fund	16	291	695	15,826	291	725
NDB Wealth Money Plus Fund	69,126	1,633	1,881	21,044	1,500	1,545
Total Unit Trusts		7,281	13,896		7,148	10,190

As at 31st March,	COMPANY					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2023	2023 Rs.'000	2023 Rs.'000	2022	2022 Rs.'000	2022 Rs.'000

17.3.3 Quoted Investments

Banks

Commercial Bank of Ceylon PLC-Voting	37,159	2,352	2,363	35,798	2,790	2,245
Total		2,352	2,363		2,790	2,245

17.4 Financial Assets and Liabilities by Fair Value Hierarchy - Group

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: Other techniques for which all inputs with significant effect on the recorded fair values are observable, either directly or indirectly, i.e. as prices or indirectly – i.e. derived from prices. This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3: Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

The Group held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2023	2022	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Quoted Investments - Financial Assets at FVOCI	178,619	99,202	-	-	-	-
Quoted Investments - Financial Assets at FVTPL	858,610	908,487	-	-	-	-
Unquoted Investments - Financial Assets at FVOCI	-	-	-	-	594,339	335,203
Unit Trusts - Financial Assets at FVOCI	3,805	225,566	-	-	-	-
Unit Trusts - Financial Assets at FVTPL	13,896	10,191	-	-	-	-
Share Warrants	-	-	-	-	-	-

Level	Type	Valuation technique	Significant unobservable inputs	Inter-relation between significant unobservable inputs and fair value measurements
Level 3	Equity securities	Market comparison technique: The valuation model is based on market multiples derived from quoted prices of companies comparable to the investee and the expected revenue and EBITDA of the investee. The estimate is adjusted for the effect of the non-marketability of the equity securities.	Forecast EBITDA margin 15-20% (2022:15%-20%)	The estimated fair value would increase (decrease), if the EBITDA margin was higher (lower). Generally, a change in the annual revenue growth rate is accompanied by a directionally similar change in EBITDA margin.

Notes to the Financial Statements contd.

17.5 Financial Assets and Liabilities by Fair Value Hierarchy - Company

The Company uses the fair value hierarchy given above for determining and disclosing the fair value of financial instruments.

The Company held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2023	2022	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Quoted Investments - Financial Assets at FVOCI	3,727	5,087	-	-	-	-
Quoted Investments - Financial Assets at FVTPL	2,363	2,245	-	-	-	-

18 DEFERRED TAX ASSETS

As at 31st March,	GROUP		COMPANY	
	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the Year	557,554	690,732	-	-
Prior Year Adjustment	161,967	7,448	-	-
Adjusted balance at the beginning of the year	719,521	698,180	-	-
Disposal of Subsidiary	-	-	-	-
Origination of Temporary Differences	-	-	-	-
Recognised in Profit/Loss	179,411	(87,712)	-	-
Amount recognised due to increase in tax rate - Profit/Loss	10,692	-	-	-
Recognised in Other Comprehensive Income	(254,285)	(52,914)	-	-
Amount recognised due to increase in tax rate - OCI	(484)	-	-	-
Balance at the end of the Year	654,855	557,554	-	-

18.1 Deferred Tax Composition - Group

Property Plant and Equipment	(377,300)	(304,360)	-	-
Lease Liability	39,695	9,062	-	-
Right of use Assets	(37,419)	(102,257)	-	-
Investment in Equity Securities	(199,522)	-	-	-
Defined Benefit Obligations	137,881	149,480	-	-
Impairment of Debtors	299,661	159,594	-	-
Impairment of Inventory	21,840	8,003	-	-
Tax loss carried forward	770,019	638,032	-	-
Deferred Tax Assets	654,855	557,554	-	-

19 INVENTORIES

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Raw Materials	5,499,481	3,279,517	-	-
Growing Crop-Nurseries	14,169	12,646	-	-
Consumable Stock	34,704	21,004	-	-
Work- in -Progress	304,801	251,715	-	-
Finished Goods	6,797,295	4,861,727	-	-
Right to recover finish goods	353,615	287,346	-	-
Goods-in-Transit	1,177,522	910,415	-	-
	14,181,587	9,624,370	-	-
Less: Net provision for Obsolete Inventories	(547,339)	(478,363)	-	-
	13,634,248	9,146,007	-	-

20 TRADE AND OTHER RECEIVABLES

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Trade Debtors	10,158,085	8,213,255	30,184	23,975
Less: Impairment Loss on Trade Receivable	(912,017)	(748,765)	-	-
	9,246,068	7,464,490	30,184	23,975
Other Receivables	939,318	1,162,841	17,649	10,524
Deposits & Prepayments	1,063,821	583,062	3,126	2,029
Staff Loan	168,623	129,080	-	-
Other Tax Recoverable (Note 20.1)	320,605	194,670	-	-
	2,492,367	2,069,653	20,775	12,553
	11,738,435	9,534,143	50,959	36,528

* Trade Receivables with the contractual amount of Rs.9.26 Mn written off during 2023 are still subject to enforcement activity.

20.1 Other Tax Recoverable

WHT Recoverable	7,070	775	-	-
NBT Recoverable	-	9,837	-	-
VAT Recoverable	280,392	164,822	-	-
ESC Recoverable	-	714	-	-
Other Tax Recoverable	33,143	18,522	-	-
	320,605	194,670	-	-

Notes to the Financial Statements contd.

21 CASH AND CASH EQUIVALENTS

As at 31st March,	GROUP		COMPANY	
	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Favourable Balance				
Fixed Deposits	246,021	601,907	20,397	25,338
Other Cash & Cash Equivalents				
Cash at Bank	1,662,635	2,296,259	9,083	8,545
Cash in Hand	32,300	26,287	12	12
	1,940,956	2,924,453	29,492	33,895
Bank Overdraft	(2,625,682)	(2,931,915)	-	-
Cash & Cash Equivalents as per the Statement of Cash Flows	(684,726)	(7,462)	29,492	33,895

21.1 Security Details Over Bank Overdraft Facilities

GROUP

E.B.Creasy & Company PLC

Group's bank overdraft facilities are secured against mortgages over property, shares and stock and book debts.

Agarapatana Plantations Limited

Bank overdraft facilities of Agarapatana Plantations Limited, a subsidiary of the Company are secured by pledging the following:

- Primary mortgage over leasehold rights to bare land and building of Glenanore and Haputale Estates including machinery fixed at each of these estates (facility amount Rs. 200 million) from Bank of Ceylon .
- Deposit of original title deeds and plan relating to Dambetenne Estate (facility amount Rs.20 million) from Commercial Bank of Ceylon PLC.

Kotagala Plantations PLC

Bank overdraft facilities obtained from Seylan Bank PLC (facility amount Rs.50 million) and Standard Chartered Bank (facility amount Rs.250 Million) of Kotagala Plantations PLC, a subsidiary of the Company, are secured by pledging the following,

- Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Yulliefield and Chrystlers Farm Estates.

Primary mortgages over leasehold rights of the estate lands and buildings of Sorana Estates.

- Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Hedigalle and Eduragala Estates.

22 ASSETS HELD FOR SALE

As at 31st March,	GROUP	
	2023	2022
	Rs.'000	Rs.'000
Leased land held-for-sale (Note 22.1)	-	30,000
	-	30,000

22.1 Lankem Ceylon PLC

Lankem Ceylon PLC, a subsidiary, has classified its lease rights at Nawam Mawatha as Held for Sale since the Board of Directors has decided to proceed with selling the asset as at 31st March 2022, and disposed the asset during the financial year ended 31st March 2023.

23 STATED CAPITAL

As at 31st March,	2023		2022	
	Number of Shares	Value of Shares Rs.'000	Number of Shares	Value of Shares Rs.'000
Fully-Paid Ordinary Shares				
At the beginning of the Year	240,000,000	927,000	220,336,805	730,368
Number Shares Issued due to Private Placement	-	-	19,663,195	196,632
At the end of the Year	240,000,000	927,000	240,000,000	927,000

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at meetings of the shareholders or one vote per share in the case of a poll.

24 CAPITAL RESERVES

	Property Development Reserve Rs.'000	Capital Redemption Reserve Fund Rs.'000	Total Rs.'000
GROUP			
Balance as at 31.03.2022	15,190	4,868	20,058
Balance as at 31.03.2023	15,190	4,868	20,058
COMPANY			
Balance as at 31.03.2022	10,000	-	10,000
Balance as at 31.03.2023	10,000	-	10,000

24.1 Nature and the Purpose of Reserves

24.1.1 Property Development Reserve

Represent of the amount set aside for future development of properties.

24.1.2 Capital Redemption Reserve Fund

The amount set aside out of retained earnings for redemption of preference shares.

24.1.3 Financial Assets at FVOCI

The amount set aside out of retained profits for the changes in the fair value of investments classified as FVOCI.

24.1.4 Foreign Currency Translation Reserve

The Foreign Currency Translation Reserve represents the differences between translated values of assets and liabilities of foreign operations at the exchange rate as at reporting date and historical rate

24.1.5 Revaluation Reserve

The Revaluation reserve relates to freehold lands which have been revalued by the Group

24.1.6 General Reserve

General reserve is the reserve set aside for general purposes.

Notes to the Financial Statements contd.

25 LOANS & BORROWINGS

As at 31st March,	GROUP		COMPANY	
	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Payable after one year				
Lease Obligation - JEDB/SLSPC (Note 25.1)	721,075	672,816	-	-
Lease Obligation- Others (Note 25.2)	814,677	689,545	-	-
Loans - Others (Note 25.3)	10,562,015	8,579,795	164,063	195,312
Debentures (Note 25.4)	203,502	275,738	-	-
	12,301,269	10,217,894	164,063	195,312

Payable within one year

Lease Obligation - JEDB/SLSPC (Note 25.1)	4,880	4,164	-	-
Lease Obligation - Others (Note 25.2)	159,586	139,628	-	-
Loans - Others (Note 25.3)	3,620,844	3,879,190	39,063	41,250
Debentures (Note 25.4)	73,997	73,996	-	-
Trust receipt Loans (Note 25.6)	3,559,987	2,605,889	-	-
Other Short Term Loans	7,654,750	8,771,347	-	-
	15,114,044	15,474,214	39,063	41,250
	27,415,313	25,692,108	203,126	236,562

25.1 Lease Obligation - JEDB/SLSPC

At The beginning of the year	676,980	658,226	-	-
Interest Charge for the year	102,358	95,429	-	-
Payments made during the Year	(53,383)	(76,675)	-	-
Less: Finance cost applicable for future Period	-	-	-	-
Net Lease Obligations (Note 25.1.1)	725,955	676,980	-	-

25.1.1 Leasehold rights can be analysed as follows

Payable within one year	4,880	4,164	-	-
Payable within two to five years	20,745	16,270	-	-
Payable after five years	700,330	656,546	-	-
	725,955	676,980	-	-

Net lease obligations payable after one year	721,075	672,816	-	-
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25.1.2 Amounts Recognised in Profit and Loss

Interest charged during the year	102,358	95,429	-	-
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25.1.3 Amounts Recognised in Cash Flow

Payments made during the year	(53,383)	(76,675)	-	-
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25.1.4 Kotagala Plantations PLC

Net obligation to lessor represents amounts payable to JEDB/SLSPC in relation to the estates leased by Kotagala Plantations PLC and Agarapatana Plantations PLC.

25.1.5 Kotagala Plantations PLC

In terms of the amendment of leases, Rs.22.2 million is payable each year as lease rental, commencing from 22.06.1996 till the end of the lease on 21.06.2045. This amount is to be inflated annually by the Gross Domestic Product (GDP) deflator in the form of contingent rent.

25.2 Lease Creditors - Others

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Balance at the beginning	829,173	823,192	-	1,808
Acquisition of Subsidiaries	-	13,700	-	-
Modification to lease liability	114,374	4,939	-	-
Adjusted Balance at the beginning of the year	943,547	841,831	-	1,808
Leases acquired during the Year	129,354	80,337	-	-
Payments made during the Year	(98,638)	(92,930)	-	(1,808)
	974,263	829,238	-	-
Less: Interest in Suspense	-	(65)	-	-
Balance at the end	974,263	829,173	-	-

25.2.1 Analysis of Lease Obligations by Year of Repayment

Lease Obligations Repayable within One Year from Year End

Gross Liability	159,586	147,427	-	-
Less : Interest in Suspense	-	(7,799)	-	-
Net Lease Obligations Repayable within One Year from Year End	159,586	139,628	-	-

Lease Obligations Repayable after one year

Gross Liability	814,677	695,938	-	-
Less : Interest in Suspense	-	(6,393)	-	-
Net Lease Obligations Repayable within Two to Five Years	814,677	689,545	-	-

25.2.2 Amounts Recognised in Profit and Loss

Interest charged during the year	119,164	94,583	-	110
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25.2.3 Amounts Recognised in Cash Flow

Payments made during the year	(98,638)	(96,436)	-	(1,808)
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25.3 Term Loans

Balance at the beginning	12,458,985	11,190,435	236,562	44,000
Acquisition of Subsidiaries	-	50,548	-	-
Loans obtained during the Year	6,786,602	5,000,681	-	250,000
Re-Schedule During the year	-	25,672	-	-
Effect of Exchange Fluctuations	119,446	313,099	-	-
Payments made during the Year	(5,182,174)	(4,121,450)	(33,436)	(57,438)
Balance at the end	14,182,859	12,458,985	203,126	236,562
Payable within one Year	(3,620,844)	(3,879,190)	(39,063)	(41,250)
Payable after one Year	10,562,015	8,579,795	164,063	195,312

Notes to the Financial Statements contd.

25.4 Kotagala Plantations PLC a Subsidiary has issued Rs.500 Mn rated secured redeemable listed Debentures. The details are as follows;

25.4.1 Rated Secured Redeemable Listed Debentures - after the restructure

Debenture Type	Year of Issue	Original Year of Redemption	Restructured Period (Capital Repayment)	Colombo Stock Exchange Listing	Issued Value	Interest Payable Frequency	Interest Rate %	Outstanding Balance as at	
								31/03/2023	31/03/2022
								Rs`000	Rs`000
C	2014	2020	From 2020 to 2025	Unlisted	Rs.250Mn	Monthly	7.50	166,400	198,762
D1 - D6	2014	2021	From 2021 to 2026	Listed	Rs.250Mn	Annually	7.50	166,729	208,365
								333,129	407,127
Debentures held by related Companies of the Group								(55,630)	(57,395)
Debentures Non related								277,499	349,732

25.4.2 Trading at Colombo Stock Exchange

Debenture Type	Highest Value (Rs.)	Lowest Value (Rs.)	Last Traded Value (Rs.)
C	Not traded	Not traded	Not traded
D1 - D6	Not traded	Not traded	Not traded

Comparable interest rate on Government Securities	
1 Year	24.31%
2 Years	29.99%

25.5 Assets Pledged as Security Against Interest Bearing Borrowings

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
The Colombo Fort Land & Building PLC	Commercial Bank of Ceylon PLC Term Loan I	-	10.00	AWPLR + 3%	Twenty equal quarterly instalments of Rs.5 million each.	Leeway of Rs.62.50 million available in existing Tertiary Mortgage Bond No.371 dated 12.03.2015 for Rs.100 million and Quaternary Mortgage Bond for Rs.87.50 million over the property at No.53- 1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 01 belonging to the Company.
	Commercial Bank of Ceylon PLC Term Loan II	203.13	226.56	AWPLR + 2.5%	Thirty two equal quarterly instalments of Rs.7.8 million each.	Tertiary Mortgage Bond No.371 dated 12.03.2015 for Rs.100 million, Quaternary Mortgage Bond for Rs.87.50 million and Fifth Mortgage Bond for Rs. 82.5 million, over the property at No.53- 1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 01 belonging to the Company.
		203.13	236.56			

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
E.B. Creasy & Company PLC	Sampath Bank PLC Term Loan I	29.60	53.85	AWPLR + 3%	Each sub loans to be paid in 60 monthly installments along with interest.	Loan agreement for respective sub loan amounts and mortgage over respective machinery to be imported and installed at the factory premises at Millewa estate Millewa.
	Sampath Bank PLC Term Loan II	1.24	2.75	6% p.a	In 71 equal monthly installments of Rs.117,000/- and a final instalment Rs.186,000/-.	Term loan Agreement for Rs.8,493,000/- promissory Note for Rs.8,493,000/-.
	Commercial Bank of Ceylon PLC Term Loan I	-	6.05	AWPLR + 3%	In 44 equal monthly installments of Rs.2,350,000/- each and a final installment Rs.1,350,000/-.	Primary Mortgage Bond to be executed for Rs.140 million over machinery.
	Commercial Bank of Ceylon PLC Term Loan II	319.00	371.41	AWPLR + 2.5%	In 83 equal monthly installments of Rs.4,765,000/- each and a final installment Rs.4,505,000/-.	Primary Mortgage Bond executed for Rs. 400 million over land called 'Alubogahawatta' and 'Batadombagahawatta', Gonawala.
	Nations Trust Bank PLC Term Loan I	-	1.23	AWPLR + 3%	46 equal monthly instalments of Rs.702,000/- and final instalment of Rs.708,000/-.	Term loan agreement for Rs. 33 million.
	Bank of Ceylon PLC Loan I	855.21	955.21	AWPLR + 2%	In Monthly Installment 1-36 months - Rs.10,million + Interest 37-72 months - Rs. 15 million + Interest 73-84 months - Rs. 20,800,000/- + Interest	Primary Mortgage over property located at No.98, Sri Sanagaraja Mawatha, Colombo 10 owned by E. B. Creasy & Co. PLC.
	Bank of Ceylon PLC Loan II	158.93	-	15.5% p.a	36 equal monthly installments of Rs.5,241,594/-.	Primary Mortgage over property located at No.98, Sri Sanagaraja Mawatha, Colombo 10 owned by E. B. Creasy & Co. PLC.
	Cargills Bank Limited	78.31	96.67	AWPLR + 2.75%	59 equal monthly installments of Rs.1,666,667/- and a final instalment of Rs.1,666,647/-.	Primary Mortgage executed over machineries at "Ninja" mosquito coil production facility at Gonawala for Rs.100 million.
		1,442.29	1,487.17			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Candy Delights Limited	Hatton National Bank PLC Term Loan I	6.38	22.93	AWPLR+2%	48 equal monthly installments of Rs.1.25 Million each.	Primary Floating Mortgage Bond for Rs.60 Million over movable machinery and equipment imported at a cost of Rs.82 Million and installed at Candy Delights Ltd., Unit 3, Industrial Estate, Ekala.
	Hatton National Bank PLC Term Loan II	9.39	33.81	AWPLR+2%	48 equal monthly installments of Rs.1.875 Million each.	Registered Primary Floating Mortgage Bond for Rs.120 Million over land, immovable machinery situated at No. 26, Agaradaguru Mawatha, Ekala and everything standing thereon (including the existing buildings and/or the buildings which are to be constructed in the future together with any further developments, modifications thereto) with all fixtures, fittings, services and such other rights attached.
		15.77	56.74			
Lanka Special Steels Limited	Commercial Bank of Ceylon PLC Term Loan I	21.40	39.77	AWPLR + 1.5%	59 equal monthly installments of Rs.1,530,000/- and a final installment of Rs.1,519,145/-.	Primary mortgage bond for Rs.91.8 Million over wire drawing plant with accessories.
	Commercial Bank of Ceylon PLC Term Loan II	319.00	55.06	9.5% p.a	60 equal monthly installments of Rs.7,250,000/- each.	Floating primary mortgage bond to be executed for Rs.435 Million over new wire galvanizing plant and Floating primary mortgage bond to be executed for Rs.27 Million over leasehold rights of the LINDEL estate. (Lot No: 5,6,7).
	Commercial Bank of Ceylon PLC Term Loan III	104.47	-	AWPLR + 2.5%	60 equal monthly installments of Rs.2,000,000/- each.	Floating primary mortgage bond to be executed for Rs.435 Million over new wire galvanizing plant.
	DFCC Bank PLC	150.00	-	AWPLR + 2.5%	60 equal capital instalments after a grace period of 12 months from the disbursement date.	Primary mortgage bond for Rs.25 Million over movable machinery, Mortgage bond for Rs.300 Million over stocks and Mortgage bond for Rs.275 Million over stock and book debts.
		594.87	94.83			

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Ceyflex Rubber Limited	Nations Trust Bank PLC	-	2.91	AWPLR + 3%	47 equal monthly installments of Rs.2,700,000/- each and a final installment of Rs.3,100,000/- after a grace period of 6 months.	Primary mortgage bond for Rs.150 Million over Rights under the Board of Investments Agreement No.28 dated 12/05/2016, Buildings and Machinery on the project property at Horana Export Processing Zone. Lodgment of 100,000 Nos (unquoted) shares of Ceyflex Rubber Limited owned by E. B. Creasy & Company PLC.
		-	2.91			
Laxpana Batteries PLC	Commercial Bank PLC	47.95	56.40	9% p.a.	In 59 equal monthly instalment of Rs.3.33 million. (6 years including 1 year of grace)	Primary mortgage bond of Rs.56.4 million to be executed over the solar panels and related machinery and equipment installed.
	Sampath Bank PLC	21.44	-	AWPLR + 1.25%	Loan to be settled within 120 days from the date grant.	Existing primary mortgage bond of Rs.95.9 million over the property situated in Panagoda, Homagama.
	DFCC Bank	19.03	-	AWPLR + 1%	Loan to be settled within 120 days from the date grant.	Mortgage for Rs.110 million over stocks kept at Company premises at Panagoda, Homagama and warehouse at Sapugaskanda.
		88.42	56.40			
Lankem Ceylon PLC	Sampath Bank PLC Term Loan I	50.24	57.61		In 60 monthly instalments in following manner after a grace period of 24 months. 1-12 months - Rs.0.25 million, 13-24 months - Rs.0.625 million, 25- 36 months - Rs.0.750 million, 37-48 months - Rs.0.875 million, 49-59 months - Rs.2.71 million 60th month Rs.0.302 million per month, interest to be serviced separately on monthly basis.	(a) Term Loan Agreement of Rs.60.11 million. (b) Term Loan Agreement of Rs.189,888 million. (c) Hypothecation bond over stocks and book debts of Pannala Rs.450 million. (d) Corporate guarantee of E.B. Creasy & Company PLC Rs. 250 million.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC Cont.	Sampath Bank PLC Term Loan II	160.26	180.39		In 60 monthly installments in following manner after a grace period of 24 months. 1-12 months - Rs.0.75 million, 13-24 months - Rs.1.875 million, 25-36 months - Rs.2.250 million, 37-48 months - Rs.2.625 million, 49-59 months - Rs.8.130 million 60th month Rs.10.458million per month, interest to beserviced separately on monthly basis.	
	Commercial Bank of Ceylon PLC Term Loan I	9.45	21.06		In December 2017 Existing loan was convert to new reschedulement facility. Repayable in 55 equal monthly of Rs.0.96 million and a final instalment of Rs. 0.76 million together with interest.	(a) Primary Mortgage for Rs. 200 million over land at Ja-ela & Gonawala. (b) Secondary Mortgage Bond No. 528 dated 07-04-1998 for Rs.50 million executed over above property. (c) Tertiary Mortgage Bond for Rs. 307 million over above property. (d) Additional Mortgage Bond for Rs. 400 million over stocks and assignment of book debts to be executed by the Company. (e) Corporate guarantee of E.B. Creasy & Company PLC Rs. 382 Million
	Commercial Bank of Ceylon PLC Term Loan II	16.00	27.09		In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.5 million Yr -2 equal instalments of Rs. 2 million Yr- 3 equal instalments of Rs. 3 million Yr- 4 equal instalments of Rs. 5 million Yr -5 equal instalments of Rs. 6 million for 11 months and a final instalment of Rs. 8 million together with interest payable monthly on reducing balance of capital.	

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC Cont.	Commercial Bank of Ceylon PLC Term Loan III	43.10	66.29		In 60 monthly instalments of Yr - 1 equal instalments of Rs. 0.1 million Yr - 2 equal instalments of Rs. 0.4 million Yr - 3 equal instalments of Rs. 0.6 million Yr - 4 equal instalments of Rs. 1 million Yr - 5 equal instalments of Rs. 1.2 million for 11 months and a final instalment of Rs. 1.6 million together with interest payable monthly on reducing balance of capital.	
	Peoples' Bank PLC I	510.00	515.00		In September existing loan Rs. 515 million was convert to new reschedulement facility payable over 96 installments inclusive of 12 months capital grace period.	Mortgage over stocks and Book debts and a Corporate Gurantee from SunAgro LifeScience Ltd for Rs.515 million.
	Peoples' Bank PLC II	216.47	-		Payable over 10 quarterly installments.	Stock in Trade & Book debts, Company Indemnity.
	Peoples' Bank PLC III	90.00	-		Payable over 96 monthly installments.	
	Peoples' Bank PLC IV	52.00	-		Payable over 96 monthly installments.	
	Peoples' Bank PLC V	35.00	-		Payable over 60 monthly installments.	
	Peoples' Bank PLC VI	14.10	-		Payable over 60 monthly installments.	
	National Development Bank	146.46	166.47		In September 2021 existing loan convert to new reschedulment facility payable over 40 installments inclusive of 4 months grace period.	Mortgage over stocks and Book debts.
	Bank of Ceylon	79.23	184.20		In 60 monthly installments inclusive of 12 Months Grace Period.	Assignment over public quoted shares 16,000,000 of C.W.Mackie PLC.
	Central Finance Co. PLC	8.15	12.35		In March 2022, existing loan was convert to new reschedulment facility. Payable over 24 installments excluding grace period of 5 months.	Mortgage and special power of Attorney of 05 No.of Double cab vehicle Promissory note.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC Cont.	Union Bank Term Loan I	10.51	57.74		In 60 monthly instalments of Yr - 1 to Yr - 3 Rs. 0.6 million Yr - 4 Rs. 2.45 million Yr - 5 Rs. 2.45 million for 11 months and a final instalment of Rs. 2.05 million. together with interest payable monthly on reducing balance of capital.	Pledge over trading shares for Rs.121 million held in slash Account. Shares given below; C.W.Mackie 2137,526 No. of Shares Marawilla resorts PLC 11,023,676 No. of Shares, Lankem Development PLC 2480,626 No. of Shares.
	Nations Trust Bank	252.38	250.60		In August 2021 existing loan was converted to new reschedulement facility. Payable over 72 installments inclusive of 6 months grace period.	Mortgage over stocks and book debts of Rs. 300 Million, Corporate guarantee from SunAgro Lifescience Ltd. For Rs.300 million. Letter of awareness comfort from Colombo Fort Land & Building PLC.
	Peoples Leasing & Finance PLC I	64.35	68.07		In February 2023 existing loan convert to new reschedulement facility payable over 36 installments.	Corporate guarantee from SunAgro Lifescience Limited for Rs. 65.53 million.
	Peoples Leasing & Finance PLC II	178.29	-		Payable over 36 monthly installments from the date of disbursement.	Corporate guarantee from SunAgro Lifescience Limited For Rs.65.53million.
	Pan Asia Banking Corporation PLC	84.57	139.38		Repayable over 60 monthly installments from the date of disbursement.	Corporate guarantee from SunAgro Lifescience Limited for Rs.185.11 million.
	Siyapatha Finance PLC I	13.87	12.90		Payable over 48 Monthly installments.	Corporate Guarantee from J.F.Packaging Ltd for Rs. 14.5 million.
	Siyapatha Finance PLC II	157.40	156.85		Payable over 96 Monthly installments.	Corporate Guarantee from J.F.Packaging Ltd for Rs. 157.59 million.
		2,191.83	1,916.00			
C.W. Mackie PLC	Commercial Bank of Ceylon PLC	158.24	192.53	AWPLR + 1.75% & 6.75 p.a		Mortgage bond over the machinery valued Rs.1.89 million and Rs.1.7 million and motor vehicle valued Rs.1.33 million at Kaluaggala, Hanwellla. Floating primary mortgage bond over property situated at Mungama, Horana.
	Hatton National Bank	83.21	113.23	9.25% p.a		Primary and secondary concurrent mortgage over stocks and book debts.
		241.45	305.76			

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Beruwala Resorts PLC	Cargills Bank PLC Term Loan USD I	270.41	245.92	LIBOR + 3.5%		Primary mortgage over land and buildings of BOT Hotel Services Limited situated at Weligama.
	Cargills Bank PLC Term Loan USD II	12.83	-	LIBOR + 3.5%		Primary mortgage over land and buildings of BOT Hotel Services Limited situated at Weligama.
	Cargills Bank PLC Term Loan SLR	147.45	125.44	AWPLR + 2%		Mortgage executed over brand new high capacity Laundry machinery manufactured in the USA worth of Rs.20 million for the Term Loan from Cargills Bank Ltd.
		430.69	371.36			
Sigiriya Village Hotels PLC	Sampath Bank PLC	202.98	174.31		Repayable over 35 monthly installments.	Mortgage over leasehold rights of the land in Sigiriya.
		202.98	174.31			
Marawila Resorts PLC	Commercial Bank of Ceylon PLC Term Loan I - III	154.17	126.22	AWPLR + 1.5%	Rs.18.4 million in May 2023, Rs.48.5 million in December 2022 and Rs.26.66 million in August 2024.	Floating mortgage Bond No: CTY/MBO/17/06/03 dateds 10/08/2017 for Rs.25 million obtained over assignment of book debts.
	Commercial Bank of Ceylon PLC Term Loan IV	469.05	389.12	3 Months USD SOFR + 4.15%	To be repaid in December 2024.	Floating Primary Mortgage Bond No.5484 dated 26.03.2019 for Rs. 120 million to be obtained over the property situated at "Club Palm Bay". Thalwilawella, Marawila morefully depicted as Lots 03 to 09 in Plan No. 5656 dated 16.10.2016 drawn by Mr. W S S A Fernando (L/S) in extent of A 24: R:0 P 2.7 owned by Marawila Resorts PLC.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Marawila Resorts PLC Cont.	Saubagya Loan	3.54	15.03	4% p.a.	Repayble within 4 equal installment of Rs. 883,838/- plus interest.	Lien over the Savings Account No. 7000012576 for Rs. 18,061,657/- in the name of Marawila Resorts PLC. Floating Moratge Bond No . CTY /MBD/17/06/03 dated 10/08/2017 for 25 million obtaiend over assignments of book debts. Floating Primary Mortgage Bond No 5484 dated 26/03/2019 for 120 million obtained over the property situated in Marawila. Insurance Policy No FFC2016 - 4155 from Alliance Insurance Limited for Rs 1.4 Billion obtained in the joint name of the owner of the property and the bank coveriing the risk of fire, SRCC, Malcious dameges and natural perils.
		626.76	530.37			
Galle Fort Hotel (Private) Limited	Cargills Bank PLC Term Loan I	12.73	14.32	AWPLR + 1.95%	Repayable over 39 equal monthly instalments of Rs.0.53 million together with interest.	Primary mortgage bond over property for Rs.35 million and 0.775 million USD, mentioned as Lot X in the plan no 130 situaded at Fort Village in the gramasewa division of Fort 96D in the district of Galle.
	Cargills Bank PLC Term Loan II	59.49	61.15	LIBRO + 4.4%	Repayable over 39 equal monthly insatlments of USD 7,574 and a final instalment of USD 7,578.69 together with monthly interest.	
	Cargills Bank PLC Term Loan III	39.02	39.76	LIBRO + 4%	Repayable over 24 equal monthly installements.	
	Cargills Bank PLC Term Loan IV	11.45	14.58	LIBRO + 4.4%	Repayable over 23 equal monthly instalments of Rs.1.04 milllion and a final instalment of Rs. 1.03 milllion together with interest.	
	Cargills Bank PLC Term Loan V	11.45	14.58	LIBRO + 4.4%	Repayable over 23 equal monthly instalments of Rs.1.04 million and a final instalment of Rs.1.03 million together with interest.	

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Galle Fort Hotel (Private) Limited Cont.	Cargills Bank PLC Term Loan VI	46.06	36.70	TB + 1%	Repayable over 24 equal monthly installements.	
	Cargills Bank PLC Term Loan VII	77.05	58.07		Repayable over 40 equal monthly installments of US \$ 4,584 and a final installment of US \$ 4,613 together with interest.	
	Cargills Bank PLC Term Loan VIII	8.50	-	LIBRO + 4.4%	Repayable over 24 equal monthly installements.	
	Cargills Bank PLC Term Loan IX	8.34	-	LIBRO + 4.4%		
		274.09	239.15			
York Hotel Management Services Limited	Commercial Bank of Ceylon PLC	-	3.08	PLR + 3% p.a		Corporate guarantee from The Colombo Fort Land & Building PLC for Rs.20 million.
		-	3.08			
Kotagala Plantations PLC	National Development Bank PLC Term Loan I	11.09	19.42	AWPLR+5%	Payable in 63 equal monthly instalments of Rs. 2,030,000/- with a first instalment of Rs. 2,110,000/-.	Primary Mortgage over the lease hold right, building & machinery of estates already mortgaged to NDB namely Stonycliff, Vogan, Gikiyanakande & Dalkieth.
	National Development Bank PLC Term Loan II	15.32	19.42	AWPLR+8%		
	National Development Bank PLC Term Loan III	23.59	26.15			
	National Development Bank PLC Term Loan IV	37.25	33.15	LIBOR + 8% if delayed LIBOR+ 11%	Payable in 56 equal monthly installments of \$8,000 with a first installments of \$7,000.	Primary Mortgage over the lease hold right, building & machinery of estates already mortgaged to NDB namely Stonycliff, Vogan, Gikiyanakande & Dalkieth.
	National Development Bank PLC Term Loan V	37.25	33.15			
	National Development Bank PLC Term Loan VI	37.25	33.15	LIBOR + 8% if delayed LIBOR+ 11%	Payable in 56 equal monthly instalments of \$7,306 with a first instalment of \$7,318.98.	

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC Cont.	Sampath Bank PLC Term Loan	180.30	334.12	AWPLR+3.5%	Payable in 71 equal monthly instalments of Rs.6,950,000 and final instalment of Rs.6,550,000 with a capital grace period of 12 months.	Primary Mortgage Bond for Rs.500 million over leasehold rights of Drayton and Kelliewatte Estates in Nuwara Eliya together with factory building therein.
	People's Bank Term Loan I	172.16	177.00	8.50%	Repayable within 120 instalments. 2nd -3rd Year - Rs.625,000 per month 4th Year - Rs. 835,000 per month 5th Year - Rs.1,875,000 per month 6th Year - Rs.2,083,335 per month 7th Year - Rs.2,958,000 per month Last payment - Rs.2,957,980.	Primary Mortgage Bonds over Leasehold rights of all those estate plantation and premises of Mayfield Estate situated in the village of dimbula and Ukutile in the Nuwara Eliya Pattu in Kotmale Korale in the district of Nuwara Eliya, Central province.
	People's Bank Term Loan II	71.59	73.00	8.50%		
	People's Bank Term Loan III	-	6.14	TB + 1%	Payable within 1 year	
	Standard Chartered Bank	676.75	-	SLIBOR+3.5%	Payable within 60 instalments.	Primary Mortgage Bond over leasehold rights of Hedigalle and Eduragala Estates together with factory building therein.
	Standard Chartered Bank Packing credit loan	31.34	71.34			
Kotagala Plantations PLC Cont.	Cey Bank Asset Management Limited Commercial Paper	-	230.63	16.50%	Repayable as per the Commercial Paper maturity date.	
	Forbes & Walker Limited	26.52	4.20	19.00	Repayable within 30 monthly instalments of Rs.5,000,000/- each.	The realised and unrealised values of the stock of the teas catalogued and to be catalogued with broker.
	John Keels	-	6.00	19.00	Repayable within 30 monthly instalments of Rs.5,000,000/- each.	The realized and unrealized values of the stock of the teas catalogued and to be catalogued with broker.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
	Seylan BankTerm Loan	44.50	68.50	16%	Repayable within 72 months with following installements 12 installement of Rs.400,000 + Interest 12 installement of Rs.600,000 + Interest 12 installement of Rs.1,000,000 + Interest 12 installement of Rs.2,250,000 + Interest 11 installement of Rs.2,500,000 + Interest and final installement of Rs. 3,500,000	Primary mortgage over leasehold rights of the estate lands and buildings, fixed and floating assets of Yuilliefield Estate.
	Seylan Bank Moratorium Loan I	-	2.88			Primary mortgage over leasehold rights of the estate lands and buildings Sorana Estates.
	Seylan Bank Moratorium Loan II	1.69	3.00			
	Seylan Bank Moratorium Loan III	-	5.50			
	AEN Oil Palm	15.00	3.33		Within 10 months	
		1,381.60	1,150.07			
Agarapatana Plantations Limited	Sampath Bank PLC Term Loan I	215.05	305.40	AWPLR + 3.5%	71 instalments of Rs. 6,950,000/- and a final instalment of Rs.6,550,000/- commencing from 26.04.2019.	Mortgage over leasehold rights over the estate land & factory building of Diyagama West Estate.
	Sampath Bank PLC Term Loan II	-	30.87	6.93%	6 monthly instalments commencing from 26.07.2022.	
	Sampath Bank PLC Term Loan III	-	27.41	5.80%	24 monthly instalments commencing from 09.04.2021.	
	Sampath Bank PLC Term Loan IV	-	0.13	6.18%	6 monthly instalments commencing from 07.11.2021.	
	Sampath Bank PLC Term Loan V	-	0.51	6.18%	6 monthly instalments commencing from 18.11.2021.	

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited Cont.	Seylan Bank PLC Term Loan I	34.65	40.70	16%	84 equal instalments commencing from 30.11.2018.	Mortgage over leasehold rights over the estate land & building, fixed & floating assets of Diyagama East Estate.
	Seylan Bank PLC Term Loan II	0.17	2.35	TB Rate + 1%	20 weekly installments of Rs.1 million commencing from 25/11/2021.	
	Seylan Bank PLC Term Loan III	0.68	2.45	TB Rate + 1%	50 weekly installments of Rs.1 million commencing from 07/07/2021.	
	Seylan Bank PLC Term Loan IV	-	4.47	TB Rate + 1%	25 weekly installments of Rs. 2,640,000/- commencing from 24/11/2021.	
	Seylan Bank PLC Term Loan V	58.90	63.63	16%	24 weekly installments of Rs. 312,500/- commencing from 24/11/2021.	
	Bank of Ceylon Term Loan II	33.33	83.33	AWPLR + 2%	48 monthly instalments commencing from 12.06.2019.	Tri partite agreement with borrower, bank and the tea broker - John Keels PLC and Corporate Guarantee from Lankem Ceylon PLC.
	Bank of Ceylon Term Loan III	147.23	197.97	AWPLR + 3.5%	72 monthly instalments commencing from 03.05.2020 including six months of grace period for the capital	An additional mortgage over lease hold rights of Glenanore and Haputhale Estates including machinery fixed each of these estates.
	Bank of Ceylon Term Loan IV	29.55	39.39	AWPLR + 3%	72 monthly instalments commencing from 03.05.2020 including six months of grace period for the capital.	A primary mortgage over leasehold rights of Glenanore and Haputale Estates including machinery fixed each of these estate.
	Bank of Ceylon Term Loan V	1.50	20.92		10 weekly installments of Rs. 1,000,000 commencing from 26.02.2020.	
	Bank of Ceylon Term Loan VI	34.02	72.30	6.93%	36 monthly installments commencing from 30/04/2023.	
	Bank of Ceylon Term Loan VII	51.58	68.77	6.93%	36 monthly instalments commencing from 13.04.2020.	
	Bank of Ceylon Term Loan VIII	10.11	13.48	6.93%	24 monthly installments commencing from 09/04/2021.	

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited Cont	Bank of Ceylon Term Loan IX	0.59	5.86	6.93%	6 monthly installments commencing from 07/11/2021.	
	Bank of Ceylon Term Loan X	50.47	7.94	AWPLR + 3%	36 monthly instalments commencing from 30.04.2023.	
	Commercial Bank of Ceylon PLC Term Loan	136.90	155.66	AWPLR + 3%	48 monthly instalments commencing from 21.01.2022.	Duly accepted Letter of Offer supported by Board Resolution. General Terms and conditions relating to Term Loans. Deposit of original title deeds and plan relating of the Dambetten Estate.
	People's Leasing & Finance PLC Term Loan I	-	3.87	13.17%	60 monthly instalments commencing from 10.11.2018.	Original Certificates of Registration of the vehicles and Fixed Deposit No. 82218547.
	People's Leasing & Finance PLC Term Loan II	-	2.93	20%	36 monthly installments commencing from 20.11.2019.	
	People's Leasing & Finance PLC Term Loan III	-	5.85	20%	36 monthly installments commencing from 20.11.2019.	
	People's Leasing & Finance PLC Term Loan IV	-	2.24	20%	36 monthly installments commencing from 20.11.2019.	
	People's Leasing & Finance PLC Term Loan V	-	2.36	20%	36 monthly installments commencing from 20.11.2019.	
	Sri Lanka Tea Board Term Loan I	-	2.24	5%	36 monthly instalments commencing from August 2017.	
	Sri Lanka Tea Board Term Loan II	100.41	-	8%	12 weekly installments of Rs.8,367,320/- commencing from 12.04.2023.	
	Walkers Tea Brokers (Pvt) Ltd	62.49	-	28%	16 weekly installments of Rs.12,500,000/- commenting from 18.01.2023.	
	Seylan Merchant Bank PLC	51.99	-	18%	60 monthly installments commencing from 31.07.2022.	
		1,019.62	1,163.00			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Tea & Rubber Plantations (Private) Limited	National Development Bank PLC Term Loan	15.43	24.91		84 monthly instalments commencing from 01.04.2014.	6,900,787 Shares held by Lankem Tea & Rubber Plantations (Pvt) Limited in Kotagala Plantations PLC and 4,537,500 Shares held by Consolidated Tea Plantations Ltd in Kotagala Plantations PLC.
	People's Leasing & Finance PLC	2.99	0.97			Promissory Notes worth Rs.25 million have been pledged.
	Union Bank PLC	-	40.86			
		18.42	66.74			
Waverley Power (Private) Limited	Sampath Bank PLC I	12.02	15.80	AWPLR + 2%	96 monthly installements.	a) Loan agreement for Rs.25 million. b) Primary mortgage bond for Rs.25 million over the entirety of shares issued by the company, supported by an irrevocable Power of Attorney.
	Sampath Bank PLC II	60.80	76.50	AWPLR + 2%	96 monthly installments commencing one month after the date of first disbursement.	Loan agreement for Rs. 100 Million.
	Sampath Bank PLC III	12.02	15.80	AWPLR + 2%	12 monthly installments commencing from date of grant.	Loan agreement for Rs. 25 Million.
	Sampath Bank PLC IV	-	2.80	5.8%	10 monthly installments commencing from date of grant.	Short Term Loan for Rs.4.2 million.
	Sampath Bank PLC V	8.46	-	AWPLR + 2%	18 monthly installments after a capital grace period of 6 months from the date of disbursement.	Loan agreement for Rs. 13.28 million.
	Sampath Bank PLC VI	11.60	-	12.5%	18 monthly installments after a capital grace period of 6 months from the date of disbursement.	Loan agreement for Rs.16 million.
	Sampath Bank PLC VII	2.00	-	AWPLR	18 monthly installments.	Loan agreement for Rs.6 million.
		106.89	110.90			
Consolidated Tea Plantations Limited	National Development Bank PLC	-	4.64	AWPLR + 8%	84 monthly instalments..	7,475,940 Ordinary Shares of Kotagala Plantations PLC (2,223,980 Shares held by Consolidated Tea Plantations Ltd and 5,251,960 shares held by Lankem Tea & Rubber Plantations (Pvt) Ltd).
		-	4.64			

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Union Commodities (Private) Limited	Commercial Bank of Ceylon PLC	978.79	819.19	AWPLR + 1.5%	Each loan to be repaid within a maximum period of 90 days or at the time of receipt of Export proceeds whichever is earlier.	Primary concurrent Mortgage bond over book debts of the Company and the stocks. The sales contract for each order to be submitted within one week from the disbursement of the Pre- shipment loan.
	DFCC Bank PLC	557.80	266.19	LIBOR + 4.5%	Each loan to be settled within a period of 90 days from the date of disbursement of or at the time of negotiation /purchase of relative export documents, whichever is earlier.	Primary concurrent Mortgage bond for Rs.100 million and book debts of the Company with an insurance policy over stocks assigned in favour of the bank and existing demand Promissory note from Union Commodities (Private) Limited to the value of Rs.195 million.
	Hatton National Bank PLC Term Loan I	-	19.11	6%	To be repaid over a period of 03 years in 35 equal monthly installments of USD 3,120- each and a final installment of USD 3,035/-.	Existing Mortgage bond to be retained until all facilities are retained in full.
	Hatton National Bank PLC Term Loan II	2,058.42	1,911.30	LIBOR + 5%	To be paid in 119 months ending November 2029.	Registered Primary Floating Mortgage Bond for USD 6.7 million over commercial property including immovable property at Biyagama Road Thalwatte, Kelaniya. Including Buildings and every thing standing thereon.
	Hatton National Bank PLC Term Loan III	339.84	317.40	LIBOR + 5%	To be paid in 119 months ending November 2029.	Registered Primary Floating Mortgage Bond for USD 1.2 million over movable machinery at Biyagama Road Thalwatte Kelaniya.
	National Development Bank PLC I	154.68	123.00	6.50%	Maximum 90 days from which date make it consistent with other disclosures.	Primary Concurrent pari pasu mortgage bond over stock and book debts in favour of the Hangkong and Shanghai Bankers Corporation.
	National Development Bank PLC II	30.66	109.42	6.50%	Capital shall be repaid in 23 equal monthly instalments of USD.31,226/-, followed by 01 instalment of USD.31,221/57	Primary Concurrent pari pasu mortgage bond over stock and book debts.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Union Commodities (Private) Limited Cont	Bank of Ceylon PLC	242.59	291.82	LIBOR + 4%	Each loan to be repaid within 4 months.	Hypothecation over stocks lying at Biyagama Road, Talwatte, Kelaniya and book debts.
	Amana Bank PLC	526.35	513.43	Term Investment Rate + 1.75%	Each loan to be repaid within 6 Months	Lien over third part term investment account of Darly Butler & Company Limited for Rs.556 Mn together with a third party set off letter & Board Resolution.
		4,889.12	4,370.85			
JF Packaging Limited	Sampath Bank PLC Term Loan I	77.00	109.12		Repayable over 5 years in 60 monthly installments 1 year Rs.322,500/- 2 year Rs.1,000,000/- 3 year Rs.1,750,000/- 4 year Rs.2,250,000/- 5 year Rs.3,000,000/-.	Corporate guarantee of Lankem Ceylon PLC for Rs.98,870,000/- & mortgage over shares of Alliance Five (Pvt) Ltd.
	Sampath Bank PLC Term Loan II	19.89	27.64		Repayable over 5 years in 60 monthly installments 1 year Rs.125,000/- 2 year Rs.250,000/- 3 year Rs.450,000/- 4 year Rs.575,000/- 5 year Rs.738,800/-.	Mortgage over Dry laminating machine and related equipment.
	Sampath Bank PLC Term Loan III	1.57	2.75		Repayable over 5 years in 60 monthly installments of Rs.47,500/-.	
	Sampath Bank PLC Term Loan IV	15.09	26.61		Repayable over 2 years in 24 monthly installments 1 year Rs.125,000/- 2 year Rs.1,958,400/- and a final installment of Rs.1,100,000/-.	
	Sampath Bank PLC Term Loan V	-	3.67		Repayable over 2 years in 23 equal monthly installments of Rs.196,700/- and a final installment of Rs.195,900/-.	
	Bank of Ceylon Term Loan I	107.58	125.95		Repayable over 4 years in 48 equal monthly installments of Rs.3,125,000/-.	Primary mortgage of land, building and machinery situated at No. 306, Minuwangoda Road, Kotugoda.
JF Packaging Limited Cont.	Bank of Ceylon Term Loan II	58.62	72.31		Repayable over 6 years in 72 equal monthly installments of Rs.2,083,333/-.	
	Bank of Ceylon Term Loan III	87.84	104.13		Repayable over 5 years in 60 equal monthly installments of Rs.2,333,333/-.	

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
	Bank of Ceylon Term Loan IV	271.04	295.68		Repayable in 1-12 months Rs.12,500,000/- & 13-24 months Rs.16,179,000/-.	Mortgage over stocks and book debts held at factory premises at No.306, Minuwangoda Road, Kotugoda.
	Bank of Ceylon Term Loan V	-	34.81		Repayable over 2 years in 24 equal monthly installments of Rs 1,870,000/-.	
	Bank of Ceylon Term Loan VI	233.22	253.98		Repayable over 6 years in 72 monthly installments, 1 year Rs.500,000/- 2 year Rs.1,000,000 /- 3 year Rs.3,283,000/- 4 year Rs.4,283,000/- 5 year Rs.5,033,000/- 6 year Rs.5,599,000/-.	
	Nations Trust Bank PLC	107.69	110.57		Repayable over 48 monthly installments.	Mortgage over stocks and book debts held at factory premises at No.306, Minuwangoda Road, Kotugoda.
	Siyapatha Finance PLC	64.53	75.77		Repayable in 1-36 months Rs. 2,000,000/- & Final installments Rs. 58,825,202/-.	Corporate guarantee from Ceylon Tapes (Pvt) Ltd and a loan agreement for Rs.100,000,000/-.
		1,044.08	1,242.98			
Candy Delights Limited	Hatton National Bank PLC Term Loan I	6.38	22.93	AWPLR + 2%	To be repaid in 48 equal monthly installments of Rs.1.25 million.	Primary Floating Mortgage Bond for Rs.60 million over the new movable machinery and equipment imported at a cost of Rs.82 million and Lying at Candy Delights Limited; Unit 3, Industrial Estate, Ekala.
	Hatton National Bank PLC Term Loan II	9.39	33.81	AWPLR + 2%	To be repaid in 48 equal monthly installments of Rs. 1.875 million.	Registered Primary Floating Mortgage Bond for Rs.120 Million over land, immovable machinery situated at No. 26, Agaradaguru Mawatha, Ekala and everything standing thereon (including the existing buildings and/ or the buildings which are to be constructed in the future together with any further developments, modifications thereto) with all fixtures, fittings, services and such other rights attached.
		15.77	56.74			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Sunagro Lifescience Limited	Commercial Bank of Ceylon PLC	103.70	25.56		In 12 installements of Rs.0.4 million , 12 installements of Rs.1 million, 12 installements of Rs.2.5 million, 12 installements of Rs. 4.5 million, 12 installements of Rs. 5.5 ,illion and final payment Rs.667,014.	Corporate guarantee from Lankem Ceylon PLC amounting to Rs.100 million.
	People's Leasing & Finance PLC Term Loan	-	13.44		In 12 instalements of Rs. 0.5 million, 12 installments of Rs. 1 million and balance equal installments within next 24 months.	Security Cheques (roll over) for Rs.53.86 million and Promissory Note of Rs.53.86 million.
	Peoples Leasing & Finance PLC - Short Term Loan	162.72	176.35		Monthly Repayment Rs. 150,000.	Security cheque to be lodged with People's Leasing Finance PLC for Rs. 154,972,027 Promissory Note of Rs. 154,972,027 & Corporate guarantee of Lankem Ceylon PLC to the value of Rs. 154,972,027.
	Siyapatha Finance PLC	18.05	32.60		Monthly payments as per the schedule given by the Siyapatha Finance.	Lankem Ceylon PLC for Rs. 50 million corporate guarantee.
Sunagro Lifescience Limited Cont.	Hatton National Bank PLC I	338.89	375.00		To be repaid over a period of five years follows together with interest after an initial grace period of 12 months.0-12 months - Grace Period, 13-36 months 6.25 million per month 27-48 months 7.8 million per month and 48-60 months 10.94 million per month.	Corporate Guarantee from Lankem Ceylon PLC amounting to Rs.375 million.
		623.36	622.95			
Kiffs (Private) Limited	National Development Bank PLC Loan I	0.31	2.19		Repayable over 4 years in equal monthly capital of Rs.156,250/-.	Primary Mortgage over equipment located at No.179/6, Ragama Road, Kadawatha.
	National Development Bank PLC Loan II	6.68	23.36		Repayable over 18 months in equal monthly capital of Rs.1,388,889/-.	Corporate Guarantee of J.F.Packaging Limited.
		6.99	25.55			
Alliance Five (Private) Limited	Bank of Ceylon	-	14.85		Repayable over 18 months in equal capital of Rs.1,640,555/-.	Corporate guarantee from J.F.Packaging Limited.
		-	14.85			

	Company/ Lender	Balance as at 31.03.2023 Rs. million	Balance as at 31.03.2022 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Acme Printing and Packaging PLC	Seylan Bank PLC	3.29	7.30	AWPLR + 2.5%	Repayable in 60 equal monthly installments commencing from December 2019.	Facility Agreement Monthly transfer of Rs. 0.15 million to Savings Account.
	NDB Bank PLC I	62.10	-	AWPLR + 2%		
	NDB Bank PLC II	50.00	-	AWPLR + 2%		
	NDB Bank PLC III	28.00	-	AWPLR + 2%		
	Softlogic	36.90	-	AWPLR + 2%		
		180.29	7.30			
Acme Packaging Solutions (Private) Limited	Sampath Bank PLC I	36.25	36.25	AWPLR + 2.5%	Repayable in equal monthly installments commencing from December 2018.	Mortgage of Rs. 90 million over Machinery owned by Acme Packaging Solution.
	Sampath Bank PLC II	7.00	7.00	AWPLR + 2.5%		
	NDB Bank PLC I	32.70	-	AWPLR + 2%		
	NDB Bank PLC II	14.30	-	AWPLR + 2%		
	Softlogic	120.78	-	AWPLR + 2%		
		211.03	43.25			

25.6 Trust Receipt Loans

Group

The Group has obtained following Trust Receipt Loans.

As at 31st March,	GROUP	
	2023 Rs.'000	2022 Rs.'000
E. B. Creasy & Company PLC	1,083,895	659,559
Lankem Ceylon PLC	1,328,644	877,056
Darley Butler & Company Limited	346,479	537,778
Sun Agro Life Science Limited	103,699	-
J F Packageing Limited	393,004	396,280
Laxapana Batteries PLC	40,472	-
Pettah Pharmacy (Private) Limited	303,794	135,216
	3,559,987	2,605,889

E.B. Creasy & Company PLC

The Company's trust receipt loans are secured by existing mortgage bonds to banks over the property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10 and stocks in trade and assignment of book debts.

Notes to the Financial Statements contd.

Darley Butler & Company Limited

Trust receipt loans are secured by existing mortgage bonds to banks over the property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10 which is owned by E. B. Creasy & Co. PLC and Company's stocks in trade and assignment of its book debts.

Pettah Pharmacy (Pvt) Limited

Trust receipt loans are secured by existing mortgage bonds to banks over pharmaceutical stocks in trade and assignment of book debts.

Laxapana Batteries PLC

Trust receipt loans are secured by existing mortgage bonds to banks over the property situated at Panagoda, Homagama and stocks in trade and assignment of book debts.

Pettah Pharmacy (Private) Limited

Company/ Lender	Facility	Interest	Balances as at 31.3.2023 Rs.'000	Balances as at 31.3.2022 Rs.'000	Terms of Repayment	Security Pledged
Hatton National Bank PLC	Revolving Trust Receipt Loan of Rs.300 Mn	AWPLR + 1%	190,939	35,619	Each loan should be repaid in a maximum period of 180 days.	Primary Floating Mortgage bond for Rs.450 Mn over stock of pharmaceuticals and an assignment of book debts.
National Development Bank PLC	Revolving Trust Receipt Loan of Rs.100 Mn	10.75% p.a	45,000	21,900	Each loan should be repaid in a maximum period of 120 days.	Primary Floating Mortgage bond for Rs.160 Mn over stock and an assignment of book debts.
Union Bank of Colombo PLC	Revolving Trust Receipt Loan of Rs.50 Mn	AWPLR + 2.50% p.a with a floor rate 12%	67,855	77,697	Out of own cashflows.	Primary Floating Mortgage Bond for Rs.50 Mn over stocks and assignment over book debts.
			303,794	135,216		

* The portion of the loan-term loan repayable within one year from the reporting date is shown as Current Liabilities.

26 DEFERRED INCOME - CAPITAL GRANTS

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Balance at the beginning of the Year	525,750	526,525	-	-
Additions during the Year	2,755	24,063	-	-
Amortised during the Year	(24,365)	(24,838)	-	-
Balance at the end of the Year (Note 26.1)	504,140	525,750	-	-

26.1 Balance at the end of the Year

Kotagala Plantations PLC	316,081	328,132	-	-
Agarapatana Plantations Limited	183,606	192,566	-	-
C.W. Mackie PLC	705	1,044	-	-
E B Creasy & Company PLC	3,748	4,008	-	-
	504,140	525,750	-	-

26.a The Group's utilisation of funds received is as below:

Kotagala Plantations PLC

i) Asian Development Bank - Plantation Reform Project (ADB-PRP)

The funds received are utilised for construction of Staff Quarters, Water Projects, Latrines, Farm Roads and purchase of Forestry Equipment.

ii) Plantation Development Support Program (PDSP)

The funds received are utilised for construction of Dispensaries, Staff Quarters, Water Projects and upgrading Crèches.

iii) Plantation Human Development Trust (PHDT)

The funds received are utilised for construction of Worker Housing, Water Projects and purchase of an Ambulance.

iv) Others

a) Ministry of Livestock Development and Estate Infrastructure

The funds received are utilised for construction of Community Centres, Agency Post Offices and upgrading Farm Roads and Creches.

b) Sri Lanka Tea Board

Funds received are utilised for the construction of the CTC Tea Factory at Mount Vernon Estate.

c) Rubber Development Department

Funds received are utilised for replanting.

The amounts spent are capitalised under the relevant classification of Property, Plant & Equipment and the corresponding grant component is reflected under deferred grants and subsidies and amortised over useful life span of the asset.

Agarapatana Plantations Limited

The Company has received funding from the Plantation Housing and Social Welfare Trust, Asian Development Bank and Plantation Reform Project for the development of worker welfare facilities such as re-roofing of line rooms, latrines, water supply and sanitation etc. The funds received from Sri Lanka Tea Board are utilized for Tea replanting. The amounts spent are included under the relevant classification of Property, Plant and Equipment and Bearer Biological Assets and the grant component is reflected under Deferred Grants and Subsidies.

Kelani Valley Canneries Limited

Kelani Valley Canneries Limited (KVC) has been awarded a government grant in December 2016 from Industrial Development Board of Ceylon, amounted to Rs.500,000 for the acquisition of fully automated jam cup filling machine at a total cost of Rs.1.3 million. During the year 2019/20, the Company has acquired an Automated Filling Machine at a total cost of Rs.2.2 million under a government grant scheme which was aimed at facilitating Micro Small and Medium Enterprises (MSME) engaged in food based products by supporting them with funds needed to acquire new technology or purchase modern machinery to enhance the quality or productivity of their production. Out of the approved grant, the Company has received Rs.1,054,000/- during previous years. The government grant is recognised as deferred income and is being amortised over the useful life of the machinery.

The Company shall not sell, assign, pledge, mortgage, gift, let or rent the machinery for a period of five years from the date of purchase of the machinery.

E B Creasy and Company PLC

E. B. Creasy & Co, PLC received a grant of Rs.5.2 Million during the year ended 31st March 2018 in relation to setting up of a roof top solar power project on net metering basis under ADB funded clean energy and network efficiency improvement projects which is amortised over 20 years.

Notes to the Financial Statements contd.

27 DEFERRED TAX LIABILITIES

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Balance at the beginning of the Year	2,086,266	1,755,729	162,519	179,109
Prior Year Adjustment	161,967	-	-	-
Origination/(Reversal) of Temporary Differences Recognised in Profit / (Loss) for the Year	1,064,828	(65,209)	11,568	(16,590)
Amount recognised due to increase in tax rate - P/L	180,587			
Origination/(Reversal) of Temporary Differences Recognised in the Statement of Equity	537,844	395,746	37,028	-
Amount recognised due to increase in tax rate - OCI	681,592			
Transfer to Equity	71,043	-	-	-
Balance at the end	4,784,127	2,086,266	211,115	162,519

27.1 Deferred Tax Composition - Group

Property Plant and Equipment	4,994,000	2,003,166	540	31,296
Revaluation Surplus on Land	1,786,629	851,044	225,346	149,190
Right to use Assets	109,420	60,846	-	-
Lease Liability	(46,935)	(63,089)	-	-
Defined Benefit Obligations	(736,510)	(278,279)	-	-
Impairment of Inventory	(12,421)	(2,235)	-	-
Impairment of Debtors	46,222	(12,321)	(9,456)	(17,967)
Impairment of Financial Assets	15,808	34,675	-	-
Tax loss carried forward	(1,372,086)	(507,541)	(5,315)	-
Deferred Tax Assets	4,784,127	2,086,266	211,115	162,519

28 EMPLOYEE BENEFITS

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Fair Value of Plan Assets (Note 28.1)	100,863	84,560	-	-
Present Value of the Funded Obligations (Note 28.2)	295,550	240,696	-	-
Present Value of the Unfunded Obligations (Note 28.4)	2,981,425	2,765,018	-	-
Total Present Value of Retirement Benefit Obligations	3,276,975	3,005,714	-	-

28.1 Fair Value of Plan Assets

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Movements in Fair Value of Plan Assets				
Balance at the beginning of the Year	84,560	67,997	-	-
Acquisition of subsidiaries	-	10,107	-	-
Contribution Paid to the Plan Assets	16,804	12,886	-	-
Expected Return on Plan Assets	10,687	5,169	-	-
Benefits Paid by the Plan	(5,618)	(8,665)	-	-
Actuarial Gains/(Losses)	(5,570)	(2,934)	-	-
Fair Value of Plan Assets at the end of the year	100,863	84,560	-	-

28.1.1 Plan Assets Consist of the following:

As at 31st March,	GROUP	
	2023 Rs.'000	2022 Rs.'000
Treasury bills	48,263	40,819
Balance with Group Companies	15,490	12,886
Cash	17,855	14,960
NDB Wealth Management Fund	9,077	8,676
Aviva Insurance Lanka PLC	1,575	6,058
Other Investments	8,603	1,161
	100,863	84,560
Expected return on plan assets	7.26%	2.70%

The plan assets are invested entirely in short term Treasury Bills issued by the Government of Sri Lanka in order to mitigate any potential financial risks.

28.2 Present Value of the Funded Obligations

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Movement in Present Value of Funded Obligations				
Present value of Defined Benefit Obligations at the beginning of the Year	240,696	314,698	-	-
Acquisition of Subsidiary	-	22,932	-	-
Provision for the Year (Note 28.2.1)	57,181	46,823	-	-
	297,877	384,453	-	-
Benefits paid by the Plan	(26,109)	(26,595)	-	-
Actuarial (Gains)/Losses (Note 28.2.1)	23,782	(117,162)	-	-
Present Value of Defined Benefit Obligations at the end of the Year	295,550	240,696	-	-

Notes to the Financial Statements contd.

28.2.1 Expenses Recognised in the Statement of Comprehensive Income

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Current Service Cost	27,617	22,829	-	-
Interest Cost	29,564	23,994	-	-
Provision for the Year	57,181	46,823	-	-
Net Actuarial (Gains)/Losses	23,782	(117,162)	-	-
	80,963	(70,339)		

28.3 Present Value of Net Obligations

Fair Value of Plan Assets	100,863	84,560	-	-
Present Value of Funded Obligations	(295,550)	(240,696)	-	-
Present Value of Net Funded Obligations	(194,687)	(156,136)	-	-

28.4 Present Value of the Unfunded Obligation

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Movement in Present Value of Unfunded Obligation				
Present value of Defined Benefit Obligations at the beginning of the year	2,765,018	3,594,838	-	-
Provision for the year	576,853	467,724	-	-
	3,341,871	4,062,562	-	-
Benefits paid by the Plan	(498,690)	(126,690)	-	-
Actuarial (Gains)/Losses	138,244	(1,170,854)	-	-
Present value of Defined Benefit Obligations at the end of the year	2,981,425	2,765,018	-	-

28.4.1 Expenses Recognised in the Statement of Comprehensive Income

Current Service Cost	186,595	244,879	-	-
Interest Cost	390,258	222,845	-	-
Provision for the Year	576,853	467,724	-	-
Net Actuarial (Gains)/Losses	138,244	(1,170,854)	-	-
	715,097	(703,130)	-	-

i) Agarapatana Plantations Limited

According to the valuation done based on the full actuarial valuation carried out by a professionally qualified actuary firm M/s. Actuarial and Management Consultants (Pvt) Ltd as at 31st March 2023, the liability is Rs.1,198 million. If the Company had provided for gratuity for all employees on the basis of 14 days wages for workers and a half month salary for staff for each completed year of service for the year ended 31st March 2023, the liability would have been Rs. 2,131 million (2021 - Rs. 1,901 million) Hence, there is a contingent liability of Rs.933 million which would crystallise only if the Company ceases to be a going concern

ii) Kotagala Plantations PLC

The actuarial valuation had been carried out by M/S Actuarial & Management Consultants (Pvt) Ltd. According to the valuation the gratuity liability on employees of the Company as at 31st March 2023 is Rs.598 million.

iii) Marawila Resorts PLC

The actuarial valuations have been carried out by professionally qualified actuaries Messers Piyal S Goonetilleke and Associates for retiring gratuity of staff as at 31st March 2023.. The actuarial present value of the accrued benefits as at 31st March 2023 is Rs. 7.78 million (2022 - Rs.9.20 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

iv) Sigiriya Village Hotels PLC

Actuarial Valuation has been carried out as at 31st March, 2023 by Mr. Piya Goonatilaka, Fellow of the Society of actuaries (USA). The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2023 is Rs.6.14 million (2022 - Rs.11.20 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

v) Beruwala Resorts PLC

Actuarial Valuation has been carried out as at 31st March, 2023 by Mr. Piya Goonatilaka, Fellow of the Society of actuaries (USA). The actuarial present value of the accrued benefits as at 31st March 2023 is Rs.8.71 million (2022 - Rs.16.39 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

vi) C.W. Mackie PLC

The contributions of the Company and its subsidiaries (Ceymac Rubber Company Limited and Ceytra (Private) Limited) to the defined benefit plan are determined by a formula stated in the Indenture establishing the CWM Group Staff Non-Contributory Gratuity Fund. As required by the Sri Lanka Accounting Standard 19 (LKAS 19), "Employee Benefits" the Fund was actuarially valued by Mr. Piya S. Goonetilleke, Fellow of the Society of Actuaries (USA), Member of American Academy of Actuaries, Consulting Actuary of Messrs. Piya S. Goonetilleke and Associates, as at 31 March 2023 and the appropriate adjustments have been effected in the Financial Statements.

The liability as at 31st March, 2023 of the C.W. Mackie group was Rs.119.97 million (2022 - Rs.107.18 million).

vii) J.F. Packaging Limited

The retirement benefit obligations as at 31st March 2023 is based on actuarial valuation carried out by Messrs. Actuarial and Management Consultants (Private) Limited. As per which liability as at 31st March 2023 was Rs.12.03 million (2022 - Rs.15.71 million).

viii) Lankem Ceylon PLC

An actuarial valuation has been carried out as at 31st March 2023 by Messrs. Actuarial and Management Consultants (Private) Limited. as required by the Sri Lanka Accounting Standard 19 'Employee Benefits'.

Plan Assets of the Company are held by an approved external gratuity fund where it invests in insurance scheme amounting to Rs.5.8 Million as at the date of Statement of Financial Position.

The valuation method used by the actuary is the 'Project Unit Credit Method', the method recommended by Sri Lanka Accounting Standard 19 'Employee Benefits'.

ix) C M Holdings PLC - Group

Defined Benefit Obligation of Colonial Motors (Ceylon) Limited is determined through an actuarial valuation carried out internally for the year ended 31 March 2023.

x) E.B. Creasy & Company PLC

An actuarial valuation has been carried out as at 31st March 2023 by Messrs. Piya S. Goonathilake & Associates (Actuarial Valuer) as required by the Sri Lanka Accounting Standard LKAS 19 - 'Employee Benefits'.

The actuarial present value of the accrued benefit as at 31st March, 2023 is Rs. 758.18 million (2022 - Rs.594.09 million). This item is grouped under retirement benefit obligation in the Statement of Financial Position. The liability is not externally funded.

xi) Darley Butler & Company Limited

An actuarial valuation has been carried out by Mr. Piya S. Goonetilleke, a professional actuary, as at 31st March 2023. The Projected Unit Credit method has been used in determining the valuation. As per which liability as at 31st March 2023 was Rs.232.01 million (2022 - Rs.178.81 million).

Notes to the Financial Statements contd.

xii) Present Value of the Unfunded Obligations

LKAS 19 - 'Employee Benefits' requires to apply Projected Unit Credit Method to make a reliable estimate of the obligation in order to determine the present value of the retirement benefit obligation. The key assumptions made in arriving at the retirement benefit obligation as at 31st March 2032 in respect of following companies are stated below:

Company Name	Expected Salary Increment Rate	Discount Rate	Retirement Age Years	Liability as at 31.03.2023 Rs. million
Marawila Resorts PLC	7.5%	19.5%	55	7.80
Sigiriya Village Hotels PLC	7.5%	20.5%	60	6.14
Laxapana Batteries PLC	15%	18%	60	5.77
Lankem Ceylon PLC	10%	20%	55	144.30
Ceylon Tapes (Private) Limited	10%	18.0%	55	7.00
JF Packaging Limited	10%	18.0%	55	12.04
E.B. Creasy & Company PLC	15%	20%	60	758.18
E.B. Creasy Logistics Limited	15%	18%	60	2.78
Pattah Pharmacy (Private) limited	15%	18%	60	10.38
Beruwala Resorts PLC	8%	20.5%	60	8.71
Galle Fort Hotel (Private) Limited	7.5%	20.5%	60	7.35
Darley Butler & Company Limited	15%	18%	60	232.01
Candy Delights Limited	15%	18%	60	13.08
SunAgro Life Science Limited	7.5%	10%	55	2.82
Lankem Paints Limited	7.5%	7.2%	55	11.26
Lanka Special Steels Limited	15%	18%	60	24.17
Sherwood Holidays Limited	7.5%	20.5%	55	1.29
Alliance Five (Private) Limited	10%	18.0%	60	5.03
Kiffs (Private) Limited	10%	18.0%	55	3.39
ACME Printing and Packagaing PLC	10%	19.5%	55	15.50
C M Holdings PLC - Group / Colonial Motors (Ceylon) Limited	8%	16%	55	14.56
C.W. Mackie PLC - Group	10%	15%	Management & Allied staff - 60, other staff - 55	119.97
Kotagala Plantations PLC - Group	Workers - 10% increase p.a and other categories of staff - 25% + 5% once in three years	18.5%	60	598.54
Agarapatana Plantations Limited	Workers - 10% increase p.a and other categories of staff - 25% + 5% once in three years	18.5%	60	1,198.67
Ceyflex Rubber Limited	15%	20%	60	0.28

As per the guidelines issued by the Institute of Chartered Accountants of Sri Lanka, the discount rates have been adjusted to convert the coupon bearing yield to a zerocoupon yield to match the characteristics of the gratuity payment liability and the resulting yield to maturity for the purpose of valuing Employee benefit obligations as per LKAS 19.

xiii) No provision has been made for Retiring Gratuity in the accounts of The Colombo Fort Land & Building PLC, York Arcade Holdings PLC, Colombo Fort Holdings Limited, Capital Leasing Company Limited, Transways (Private) Limited, Union Group (Private) Limited and C.F. Travels (Private) Limited as these companies do not employ any staff. All operational services such as accountancy, secretarial and personnel are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

28.5 Sensitivity of Assumptions Employed in Actuarial Valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the Total Comprehensive Income and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on to total Comprehensive Income and employment benefit obligation for the year.

As at 31st March, Group	2023		2022	
	Increase	Decrease	Increase	Decrease
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Movement by 1%				
Discount Rate	(734,062)	806,930	(798,376)	898,737
Future salary scale	829,460	(731,595)	915,895	(800,121)

28.6 The Expected Benefits Payout

As at 31st March,	GROUP	
	2023 Rs.'000	2022 Rs.'000
Within Next 12 Months	331,405	261,249
Between 2-5 years	830,892	611,000
Beyond 5 years	2,114,678	2,133,465
	3,276,975	3,005,714

29 RENT RECEIVED IN ADVANCE

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Balance at the beginning of the Year	8,765	8,323	8,765	8,323
Received during the Year	34,673	31,708	34,673	31,708
Amount Recognised as Income during the Year	(33,896)	(31,266)	(33,896)	(31,266)
Balance at the end of the Year	9,542	8,765	9,542	8,765
Amount falling due within one Year	(9,542)	(8,765)	(9,542)	(8,765)
Amount falling due after one Year	-	-	-	-

30 TRADE & OTHER PAYABLES

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Trade Payables	4,103,955	3,895,783	-	-
Other Payables	4,927,840	5,429,229	12,102	12,920
Accrued Expenses	1,872,360	1,136,712	17,685	13,638
Bills Payables	143,006	798,797	-	-
Advance Received	370,833	455,176	-	-
Security Deposit	272,630	154,283	7,737	6,589
Unclaimed Dividend	47,301	25,879	761	2,493
	11,737,925	11,895,651	38,285	35,640

Notes to the Financial Statements contd.

31 RELATED PARTY TRANSACTIONS

31.1 Amounts due from Related Parties

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Subsidiaries				
Agarapatana Plantations Limited	-	-	75	1,890
American Lloyd Travels Limited	-	-	400	400
Beruwala Resorts PLC	-	-	5,835	3,692
C.F.Travels Ltd	-	-	249	187
Colombo Fort Hotels Limited	-	-	4,000	245,747
E.B. Creasy & Co PLC	-	-	20,000	38,159
Transways (Pvt) Ltd	-	-	29,797	30,916
Kotagala Plantations PLC	-	-	2,082	4,257
Lankem Ceylon PLC	-	-	7,109	5,876
Consolidated Tea Plantations Limited	-	-	174,501	158,728
Lankem Developments PLC	-	-	120,889	104,187
Sigiriya Village Hotels PLC	-	-	6,400	4,258
Union Commodities (Private) Limited	-	-	83,056	67,708
Colombo Fort Group Services (Private) Limited	-	-	9,603	7,527
York Hotel Management Services Limited	-	-	5,383	2,910
	-	-	469,379	676,442
Less: Transferred to Loan given to Related Parties				
Colombo Fort Hotels Limited	-	-	-	(137,600)
Consolidated Tea Plantations Limited	-	-	(105,070)	(105,070)
Transways (Pvt) Ltd	-	-	(28,000)	(29,000)
Lankem Developments PLC	-	-	(66,930)	(66,930)
Union Commodities (Pvt) Ltd	-	-	(65,000)	(65,000)
	-	-	(265,000)	(403,600)
Less: Provision for impairment Related Parties (Note 31.1.1)	-	-	(31,521)	(74,862)
	-	-	172,858	197,980
Other Related Parties				
Capital Finance Limited	-	346	-	-
CWM Hotel Holdings Ltd	81,939	81,939	-	-
Corporate Managers & Secretaries (Private) Limited	14,605	15,289	-	787
Financial Trust Limited	-	-	-	-
York Conventions (Private) Limited	5,612	5,600	3,501	3,489
Far Eastern Exports (Colombo) Limited	393	378	-	-
Property & Investment Holdings Limited	25,560	25,560	-	-
Others	240,854	510	-	-
	368,963	129,622	3,501	4,276
Less: Provision for impairment - Related Parties (Note 31.1.1)	(116,524)	(82,127)	(3,501)	(3,489)
	252,439	47,495	-	787
Total Amounts due from Related Parties	252,439	47,495	172,858	198,767

31.1.1 Provision for impairment - Related Parties

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Subsidiaries				
Colombo Fort Hotels Limited	-	-	-	14,381
Consolidated Tea Plantations Limited	-	-	17,713	40,085
Lankem Ceylon PLC	-	-	84	187
Agarapatana Plantations Ltd	-	-	-	64
Kotagala Plantations PLC	-	-	46	186
York Hotel Management Services (Pvt) Ltd.	-	-	2,337	2,694
Union Commodities (Pvt) Ltd	-	-	5,295	5,551
Colombo Fort Group Services (Pvt) Ltd	-	-	249	388
Sigiriya Village Hotels PLC	-	-	268	107
Beruwala Resorts PLC	-	-	1,851	295
Transways (Pvt) Ltd.	-	-	2,191	2,428
E.B.Creasy & Company PLC	-	-	191	569
Lankem Developments PLC	-	-	1,045	7,424
C.F.Travels Ltd	-	-	249	187
American Lloyd Travels Ltd.	-	-	2	316
	-	-	31,521	74,862
Other Related Parties				
CWM Hotel Holdings Ltd	81,939	81,939	-	-
Property & Investment Holdings Limited	-	-	-	-
York Conventions (Private) Limited	3,689	188	3,501	3,489
Others	30,896	-	-	-
	116,524	82,127	3,501	3,489
	116,524	82,127	35,022	78,351

31.2 Amounts due to Related Parties

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Subsidiaries				
C M Holdings PLC	-	-	193,476	201,798
Capital Leasing Co. Limited	-	-	1,887	2,388
Colombo Fort Holdings Limited	-	-	41,572	38,568
Creasy Platation Management Limited	-	-	4,583	4,583
Colombo Fort Properties (Private) Limited	-	-	180	-
Lankem Platations Services Limited	-	-	4,583	4,583
York Arcade Holdings PLC	-	-	87,177	77,770
Imperial Hotels Limited	-	-	129,703	107,457
	-	-	463,161	437,147
Associates				
Colombo Fort Investments PLC	1,000	1,500	1,000	1,500
Colombo Investment Trust PLC	-	4,200	-	4,200
	1,000	5,700	1,000	5,700

Notes to the Financial Statements contd.

31.2 Amounts due to Related Parties Contd.

As at 31st March,	GROUP		COMPANY	
	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Other Related Parties				
Corporate Holdings (Private) Limited	3,488	3,488	-	-
Corporate Managers & Secretaries (Private) Limited	37,274	22,700	12,354	-
Ceylon Tea Brokers PLC	63,945	58,698	-	-
York Conventions (Private) Limited	2,920	2,920	-	-
Financial Trust Limited	113,274	93,285	31,976	27,637
Sunquick Lanka (Private) Limited	537,634	382,633	-	-
Others	132	962	-	-
	758,667	564,686	44,330	27,637
Total Amounts due to Related Parties	759,667	570,386	508,491	470,484
Interest-bearing Borrowings (Note 31.2.1)	18,000	25,000	304,000	356,000
Non-interest-bearing Borrowings	741,667	545,386	204,491	114,484
	759,667	570,386	508,491	470,484

31.2.1 Interest-bearing Borrowings

As at 31st March,	GROUP		COMPANY	
	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Subsidiaries				
C M Holdings PLC	-	-	120,000	160,000
Colombo Fort Holdings Limited	-	-	18,000	19,000
Imperial Hotels Limited	-	-	102,000	104,000
York Arcade Holdings PLC	-	-	46,000	48,000
	-	-	286,000	331,000
Other Related Parties				
Financial Trust Limited	18,000	25,000	18,000	25,000
	18,000	25,000	18,000	25,000
	18,000	25,000	304,000	356,000

31.3 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - 'Related Party Disclosures', the details of which are reported below:

As at 31st March,	GROUP		COMPANY	
	2023	2022	2023	2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Subsidiaries				
(Receiving)/Rendering of Services	-	-	(5,927)	(6,358)
Loans (Taken)/Given	-	-	86,350	31,738
Interest (Expenses)/Income	-	-	8,593	(6,784)
Dividend (Paid)/Received	-	-	183,619	252,353
Rent (Taken)/Given	-	-	26,713	24,510
Guarantee Commission (Taken)/Given	-	-	622	600
(Received)/Payment of Outstanding Balances	-	-	(349,453)	138,737
Advance (Taken)/Given	-	-	63	(121,698)
Disposal (Acquisition) of Shares	-	-	(363,902)	328,068

31.3 Transactions with Related Parties Contd.

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Associates				
Loans (Taken)/Given	-	-	-	-
Interest (Expenses)/Income	-	-	-	-
Dividend (Paid)/Received	28,887	7,354	2,314	2,213
(Received)/Payment of Outstanding Balances	500	607	500	607
Transfer (Into) / Out of Current Account	-	-	-	-
Disposal (Acquisition) of Shares	(37,712)	(8,410)	(3,063)	-
Related Parties				
(Purchases)/Sales of Goods	1,200,491	975,461	-	-
(Received)/Payment of Rendering of Services	(1,163,298)	(909,377)	12	9
Dividend (Paid)/Received	-	-	-	-
Interest (Expenses)/Income	(6,230)	(2,136)	(6,230)	(2,136)
Loans (Taken)/Given	-	-	-	-
(Received)/Payment of Outstanding Balances	7,200	36,521	7,200	223,088
Rent (Taken) /Given	-	-	-	-
Advances (Taken)/Given	(5,754)	-	(5,754)	(8,000)

31.4 Terms and Conditions of Transactions with Related Parties

Transactions with related parties are carried out in the ordinary course of the business at commercial rates. Outstanding balances at year end are unsecured and no interest was charged during the year. Interest on balance transferred to interest-bearing liabilities are charged at market rate.

31.5 Recurrent and Non-Recurrent Related Party Transactions

During the year there were no Non-Recurrent transactions and Recurrent transactions for the Company, which exceeded the disclosure threshold mentioned in Section 9 of the Colombo Stock Exchange Rules, other than the Non-Recurrent Transactions mentioned below:

Name of the Related Party	Relationship	Value of the Related Party Transaction Rs.	Value of the Related Party Transaction as a % of Equity and as a % of Total Assets	Terms and Conditions	The rationale for entering into the transactions
Colombo Fort Hotels Limited	Subsidiary	358,737,548	9.2% of Equity and 0.7% of Total Assets (As at the date of transaction i.e., 15.03.2023, the aggregate value of the non-recurrent transactions with the same Related Party exceeded 10% of Equity)	Issue of 38,163,589 Ordinary Shares at Rs. 9.40 per share by Colombo Fort Hotels Limited by way of a Private Placement in settlement of debt amounting to Rs. 358,737,548.60 owed by Colombo Fort Hotels Limited to The Colombo Fort Land & Building PLC	Acceptance of shares in Colombo Fort Hotels Limited in settlement of debt.

31.6 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard LKAS 24 - 'Related Party Disclosures', Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, Key Management Personnel include the members of the Board of Directors (Including Executive and Non Executive Directors) of The Colombo Fort Land & Building PLC and its subsidiary companies.

(a) Loans to Key Management Personnel

No loans have been given to Key Management Personnel during the year.

(b) Key Management Personnel Compensation

Details of compensation for Executive and Non-Executive Directors are disclosed below:

	GROUP		COMPANY	
	2023 Rs:000	2022 Rs:000	2023 Rs:000	2022 Rs:000
As at 31st March,				
Short-Term Employee Benefits	604,327	457,443	11,100	11,400

(c) Key Management Personnel Shareholding of the Company

The shareholdings of the Directors are disclosed on page of this Annual Report.

(d) Transactions with Close Family Members

There were no transactions with close family members during the year.

31.7 The Directors of the Company are also Directors of the following companies:

Name of the Company		Relationship	Name of the Director								
			Mr. A. Rajaratnam (Decd. 26.08.2023)	Mr. S.D.R. Arudpragasam	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam (Decd. 19.01.2023)	Mr. Anushman Rajaratnam	Mr. C.P.R. Perera	Mr. P. M. A. Sirimane	Mr. S. Rajaratnam	Mr. A.R. Rasiah
The Colombo Fort Land & Building PLC	-		✓	✓	✓	✓	✓	✓	✓	✓	✓
ACME Printing & Packaging (Private) Limited	Subsidiary			✓		✓	✓		✓		
Agarapattana Plantations Limited	Subsidiary			✓	✓		✓	✓	✓		
American Lloyd Travels Limited	Subsidiary										
Beruwala Resorts PLC	Subsidiary			✓			✓	✓		✓	✓
CM Holdings PLC	Subsidiary		✓	✓	✓		✓			✓	
C. F. Travels Limited	Subsidiary									✓	
Capital Leasing Company Limited	Subsidiary			✓			✓		✓		
Colombo Fort Group Services (Private) Limited	Subsidiary			✓			✓		✓		
Colombo Fort Holdings Limited	Subsidiary		✓	✓						✓	
Colombo Fort Hotels Limited	Subsidiary			✓			✓			✓	
Colombo Fort Properties (Private) Limited	Subsidiary		✓				✓				
Consolidated Tea Plantations Limited	Subsidiary		✓	✓	✓		✓	✓	✓		
Creasy Plantation Management Limited	Subsidiary		✓	✓							
Darley Butler & Company Limited	Subsidiary			✓	✓		✓		✓	✓	✓
E. B. Creasy Milk Foods Limited	Subsidiary			✓						✓	
E.B. Creasy & Company PLC	Subsidiary		✓	✓	✓	✓			✓	✓	✓
Guardian Asset Management Limited	Subsidiary			✓						✓	
Kotagala Plantations PLC	Subsidiary			✓	✓			✓	✓		
Lankem Ceylon PLC	Subsidiary			✓		✓			✓		

Name of the Company	Relationship	Name of the Director								
		Mr. A. Rajaratnam (Decd. 26.08.2023)	Mr. S.D.R. Arudpragasam	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam (Decd. 19.01.2023)	Mr. Anushman Rajaratnam	Mr. C.P.R. Perera	Mr. P. M. A. Sirimane	Mr. S. Rajaratnam	Mr. A.R. Rasiah
Lankem Plantation Services Limited	Subsidiary	✓	✓							
Lankem Tea & Rubber Plantations (Private) Limited	Subsidiary	✓	✓	✓		✓	✓			
Marawila Resorts PLC	Subsidiary		✓			✓	✓		✓	✓
Muller & Phipps (Ceylon) PLC	Subsidiary		✓					✓	✓	✓
SunAgro LifeScience Limited	Subsidiary		✓			✓		✓		
Sigiriya Village Hotels PLC	Subsidiary		✓			✓	✓		✓	✓
Transways (Private) Limited	Subsidiary					✓			✓	
Union Commodities (Private) Limited	Subsidiary		✓	✓		✓		✓		
Union Investments (Private) Limited	Subsidiary	✓	✓	✓		✓			✓	
Voyages Ceylan (Private) Limited	Subsidiary					✓			✓	
York Arcade Holdings PLC	Subsidiary		✓	✓					✓	
York Hotel Management Services Limited	Subsidiary		✓						✓	
Imperial Hotels Limited	Subsidiary		✓			✓			✓	
York Tours Limited	Subsidiary					✓			✓	
Capital Investments Limited	Associate	✓	✓							
Colombo Fort Investments PLC	Associate	✓	✓	✓		✓		✓	✓	
Colombo Investment Trust PLC	Associate	✓	✓	✓		✓		✓	✓	
Capital Finance Limited	Related Company	✓								
Ceylon Tea Brokers PLC	Related Company						✓			
Consolidated Holdings (Private) Limited	Related Company	✓	✓			✓				
Corporate Holdings (Private) Limited	Related Company									
Far Eastern Exports (Colombo) Limited	Related Company		✓			✓				
Financial Trust Limited	Related Company	✓				✓			✓	
Property & Investment Holdings (Private) Limited	Related Company								✓	
York Conventions (Private) Limited	Related Company					✓			✓	

Mr. R. Seevaratnam, Director expired on 19.01.2023

Mr. A. Rajaratnam, Director expired on 26.08.2023.

Mr. A.R. Rasiah was appointed to the Board of The Colombo Fort Land & Building PLC w.e.f. 08.06.2023.

Mr. S.D.R. Arudpragasam was appointed to the Board of Colombo Fort Holdings Ltd w.e.f. 12.06.2023.

Mr. P.M.A. Sirimane was appointed to the Boards of Kotagala Plantations PLC and Agaratana Plantations Ltd w.e.f. 20.09.2022 and to the Board of SunAgro LifeScience Ltd w.e.f. 02.08.2023. He was also appointed to the Boards Colombo Fort Investments PLC and Colombo Investment Trust PLC w.e.f. 07.10.2022 and to the Boards of Consolidated Tea Plantations Ltd, Lankem Tea and Rubber Plantations (Pvt) Ltd, and Union Commodities (Pvt) Ltd w.e.f. 01.12.2022.

Mr. A.M. de S. Jayaratne was appointed to the Board of Agaratana Plantations Ltd on 18.11.2022 and to the Boards of Lankem Tea and Rubber Plantations (Pvt) Ltd and Union Commodities (Pvt) Ltd w.e.f. 08.12.2022.

Mr. Anushman Rajaratnam was appointed to the Boards York Arcade Holdings PLC, Colombo Fort Investments PLC and Colombo Investment Trust PLC w.e.f. 09.06.2022 and to the Board of Colombo Fort Properties (Pvt) Ltd w.e.f. 31.10.2022.

Mr. S. Rajaratnam was appointed to the Board of Guardian Asset Management Ltd w.e.f. 31.10.2022.

Mr. Anushman Rajaratnam and Mr. S. Rajaratnam were appointed to the Boards of Voyages Ceylan (Pvt) Ltd, York Tours Ltd, York Conventions (Pvt) Ltd and Transways (Pvt) Ltd w.e.f. 31.12.2022.

The above Note should be read in conjunction with Notes 14, 30, 35

Notes to the Financial Statements contd.

32 COMPARATIVE INFORMATION

To facilitate comparison and where relevant, balance pertaining to the previous year have been re-classified, as necessary. However, such reclassifications did not have any effect on the net profit or equity of the comparative year.

33 FINANCIAL INSTRUMENTS

Financial Risk Management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents qualitative and quantitative information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks.

Risk Management Framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and analyses the risk faced by the Group, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

33.1 Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligation, and arises principally from the Group's receivables from customers, investment and forward contracts. Group's credit exposure is closely monitored. Credit given is reviewed worth the predetermine approval procedures and contractual agreement made for every high value transaction.

33.1.1 Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows;

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Trade and Other Receivables	11,738,435	9,534,143	47,833	34,498
Amount due from Related Companies	252,439	47,495	472,880	680,718
Cash at bank	1,908,656	2,898,166	29,480	33,883
	13,899,530	12,479,804	550,193	749,099

The ageing of amount due from related companies as at the reporting date was as follows;

	GROUP				COMPANY			
	Gross	Impairment	Gross	Impairment	Gross	Impairment	Gross	Impairment
	31.03.2023	31.03.2023	31.03.2022	31.03.2022	31.03.2023	31.03.2023	31.03.2022	31.03.2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Past due 0-365 days	240,854	(30,896)	-	-	94,309	(6,074)	242,433	(17,875)
More than one year	128,109	(85,628)	129,622	(87,127)	378,571	(28,948)	438,285	(60,475)
	368,963	252,439	129,622	(87,127)	472,880	(35,022)	680,718	(78,350)

33.2 Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding of netting agreements.

As at 31st March,	GROUP							
	2023				2022			
	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Non- Derivative Financial Liabilities								
Loans and Borrowings	27,415,313	27,415,313	15,114,044	12,301,269	25,692,108	25,692,108	15,474,214	10,217,894
Other Liabilities	1,179,487	1,179,487	1,179,487	-	512,637	512,637	512,637	-
Trade & other payables	12,917,411	12,917,411	12,917,411	-	12,408,288	12,408,288	12,408,288	-
Amounts due to								
Related Party	759,667	759,667	759,667	-	570,386	570,386	570,386	-
Bank overdraft	2,625,682	2,625,682	2,625,682	-	2,931,915	2,931,915	2,931,915	-
Total	44,897,560	44,897,560	32,596,291	12,301,269	42,115,333	42,115,333	31,897,439	10,217,894

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

As at 31st March,	COMPANY							
	2023				2022			
	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Non- Derivative Financial Liabilities								
Loas and Borrowings	203,126	203,126	39,063	164,063	236,562	236,562	41,250	195,312
Other Liabilities	64,450	64,450	20,999	43,451	65,515	65,515	65,515	-
Trade & other payables	20,600	20,600	20,600	-	22,002	22,002	22,002	-
Amounts due to								
Related Party	508,491	508,491	508,491	-	470,484	470,484	470,484	-
Bank overdraft	-	-	-	-	-	-	-	-
Total	796,667	796,667	589,153	207,514	794,563	794,563	599,251	195,312

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

Notes to the Financial Statements contd.

33.3 Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates etc. will affect the Group's income or the value of its holdings of financial instruments. The objective of the market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the returns.

33.4 Currency Risk

The Group is exposed to currency risk on purchases and borrowings that are denominated in a currency other than the functional currency which is Sri Lankan Rupees.

Sensitivity Analysis

A strengthening or weakening of Sri Lankan Rupee, as indicated below, against the other currencies at 31st March 2023 would have increased/ (decreased) the equity and profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant.

Increase /(Decrease) in Exchange rate

As at 31 March	Effect on Profit before Tax	
	2023 Rs.'000	2022 Rs.'000
Dollar (USA) + 10%	(617,300)	(471,731)
Dollar (USA) - 10%	617,300	471,731
Dollar (USA) + 15%	(16,758)	(12,585)
Dollar (USA) - 15%	16,758	12,585
Euro +10%	(10,499)	(18,036)
Euro -10%	10,499	18,036
Great Britain Pound +10%	(298)	(465)
Great Britain Pound -10%	298	465
Yen (Japan) +10%	(1,134)	(394)
Yen (Japan) -10%	1,134	394

The following significant exchange rates were applicable during the year:

	Average Rate		Reporting Date Spot Rate	
	2023	2022	2023	2022
USD	357.65	205.22	336.10	299.00
Euro	373.11	238.26	357.27	334.03

33.5 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in the market interest rate relates primarily to Group's long term debt obligations and investments with floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks arising due to financial instruments. However, the company does not have material long term floating rate borrowings or deposits as at the reporting date which results a material interest rate risk.

The following table demonstrates the Group sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax.

As at 31 March	Effect on Profit before Tax	
	2023 Rs.'000	2022 Rs.'000
Variable rate instrument (1% decrease)	316,967	257,496
Variable rate instrument (1% Increase)	(316,967)	(257,496)

33.6 Capital Management

The Board's policy is to maintain a strong capital base so as to maintain shareholder, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and level of dividends paid out to ordinary shareholders.

Bank Overdrafts with variable interest rates are used to manage the working capital requirements of the Group. Major projects are financed by funds received from long term borrowings as well as reserves of the Group.

The Group's debt to equity ratio at the end of the reporting period was as follows:

As at 31st March,	GROUP		COMPANY	
	2023 Rs.'000	2022 Rs.'000	2023 Rs.'000	2022 Rs.'000
Total Liabilities	28,174,980	26,262,494	711,617	701,436
Less: Cash and Cash Equivalents	1,908,656	2,898,166	29,480	33,883
Net Debt	26,266,324	23,364,328	682,137	667,553
Total Equity	11,524,033	8,558,271	2,316,985	2,158,919
Net Debt to Equity Ratio	228%	273%	29%	31%

There were no changes in the Group's approach to capital management during the year and the Group is not subject to externally imposed capital requirements.

33.7 Fair Values

Fair Values Versus Carrying Amounts

The fair values of financial assets and liabilities, together with the carrying amounts in the Statement of Financial Position, are as follows:

Notes to the Financial Statements contd.

GROUP

31st March, 2023	Note	Investments Classified as Financial Assets FVTOCI Rs.'000	Investments Classified as Financial Assets FVTPL Rs.'000	Financial Assets at Amortised cost Rs.'000	Financial Liabilities at Amortised Cost Rs.'000	Total Carrying Value Rs.'000	Fair Value Rs.'000
Investment in Equity							
Securities	17.1	772,958	-	-	-	772,958	772,958
Unit trust	17.1	3,805	-	-	-	3,805	3,805
Trade & Other							
Receivables	20	-	-	11,738,435	-	11,738,435	11,738,435
Amounts due from							
Related Parties	31.1	-	-	252,439	-	252,439	252,439
Other financial assets	17.3	-	872,506	-	-	872,506	872,506
Cash & Cash Equivalents	21	-	-	1,940,956	-	1,940,956	1,940,956
		776,763	872,506	13,931,830	-	15,581,099	15,581,099
Trade & Other							
Payables	30	-	-	-	11,737,924	11,737,924	11,737,924
Amounts due to							
Related Parties	31.2	-	-	-	759,667	759,667	759,667
Loans and							
Borrowings	25	-	-	-	27,415,313	27,415,313	27,415,313
Bank Overdraft	21	-	-	-	2,625,682	2,625,682	2,625,682
Other liabilities		-	-	-	1,683,627	1,683,627	1,683,627
		-	-	-	44,222,213	44,222,213	44,222,213

COMPANY

31st March, 2023	Note	Investments Classified as Financial Assets FVTOCI Rs.'000	Investments Classified as Financial Assets FVTPL Rs.'000	Financial Assets at Amortised cost Rs.'000	Financial Liabilities at Amortised Cost Rs.'000	Total Carrying Value Rs.'000	Fair Value Rs.'000
Investment in Equity							
Securities	17.3.3	3,727	2,363	-	-	6,090	6,090
Loans Due from							
Related Parties	31	-	-	265,000	-	265,000	265,000
Trade & Other							
Receivables	20	-	-	47,833	-	47,833	47,833
Amounts due from							
Related Parties	31	-	-	172,858	-	172,858	172,858
Cash & Cash Equivalents	21	-	-	29,492	-	29,492	29,492
		3,727	2,363	515,183	-	521,273	521,273
Bank Loans	25	-	-	-	203,126	203,126	203,126
Bank Overdraft	21	-	-	-	-	-	-
Trade and Other							
Payables	30	-	-	-	20,600	20,600	20,600
Amounts due to							
Related Parties	31	-	-	-	508,491	508,491	508,491
		-	-	-	732,217	732,217	732,217

34 FAIR VALUE OF NONFINANCIAL ASSETS AND LIABILITIES CARRIED AT FAIR VALUE

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. Further, other borrowed funds with a variable interest rate are also considered to be carried at fair value.

Assets and liabilities (excluding financial assets and liabilities) measured at fair value - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Sensitivity of the input to the fair value	Level 1	Level 2	Level 3
Biological assets						
Gain arising from changes in fair value.	Discounted cash flows	Determination of timber content				
	The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis . Expected cash flows are discounted using a risk-adjusted discount rate of 16.3% comprising a risk premium of 3.8%. Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content. the estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content. Determination of price of timber Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content - the estimated timber prices per cubic meter - the estimated selling related costs. - the estimated maturity age - the risk-adjusted discount rate.			261,292 Mn

Assets and liabilities for which fair values are disclosed - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Property Plant and Equipment					
- Freehold land and buildings	Market comparable method				
	This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.	Price per perch /Per Square Feet	-	-	10,882 Mn

Notes to the Financial Statements contd.

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Investment property					
- Freehold land and buildings	Market comparable method / Income Method				
	Market comparable method: This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property. Income Method: The net income generated by the property is used in conjunction with certain factors is used to calculate its fair value.	Price per perch / Per Square Foot and Cash flows from Investment property discounted at an appropriate rate	-	-	8,323 Mn

35 CAPITAL AND FINANCIAL COMMITMENTS

35.1 Company

The Company had no material capital or financial commitments as at the date of the Statement of Financial Position.

35.2 Group

The Group had no significant capital or financial commitments as at the reporting date other than those disclosed below:

35.2.1 Agarapatana Plantations Limited

	31.03.2023 Rs.Million	31.03.2022 Rs.Million
a) Field Development	112.9	86.3
b) Machinery & Factory Development	214.4	151

36 CONTINGENT LIABILITIES / ASSETS

There are no material contingent liabilities / assets outstanding as at the date of the Statement of Financial Position, other than those disclosed below:

36.1 Company

The Company has issued Corporate Guarantees for the borrowings by the subsidiary companies as indicated below,

Financial Institutions/Companies	Name of the Company	31.03.2023 Rs.'000	31.03.2022 Rs.'000
Commercial Bank of Ceylon PLC	American Lloyd Travels Limited	10,000	10,000
Commercial Bank of Ceylon PLC	York Hotel Management Limited	20,000	20,000
		30,000	30,000

Comfort letters were provided for Lankem Developments PLC and Union Commodities (Pvt) Limited, by the Company.

36.2 Group

36.2.1 Contingent Liabilities

(i) E.B.Creasy & Company PLC

Contingent liabilities in relation to guarantees issued by E. B. Creasy & Company PLC to financial institutions on behalf of its Subsidiaries and other Group companies to obtain facilities from Financial Institutions, were as follows:

As at 31st March,	2023 Rs.'000	2022 Rs.'000
Darley Butler & Company Limited	970,000	770,000
Ceyflex Rubber Limited	-	64,353
Lankem Ceylon PLC	1,147,000	832,000
	2,117,000	1,666,353

(ii) Lanka Special Steels Limited

Lanka Special Steels Limited has given a guarantee of Rs. 15,500,000/- to Sri Lanka Custom and USD 10,000/- to Bureau of Indian Standards, which were outstanding as at 31st March 2023.

(iii) Lankem Ceylon PLC

Lankem Ceylon PLC has issued Corporate Guarantees for borrowings obtained by the related companies and letters of comfort as indicated below as at 31st March 2023.

As at 31st March,	2023 Rs.'000	2022 Rs.'000
Lankem Development PLC	62,080	62,080
SunAgro LifeScience Limited	814,641	779,972
Agarapatana Plantations Limited	200,000	200,000
J.F.Packaging Limited	217,230	217,230
Ceylon Tapes Limited	100,000	-
	1,393,951	1,259,282

Comfort letters are provided for SunAgro Farms Ltd., Lankem Consumer Products Ltd., Lankem Exports (Pvt) Ltd., Lankem Research Limited, Lankem Technology Services Ltd., Lankem Chemicals Ltd., Lankem Paints Ltd Marawila Resorts PLC . and Nature's Link Limited by Lankem Ceylon PLC.

(iv) C.W. Mackie PLC

The following contingent liabilities exist as at the reporting date on account of the letters of comfort and guarantees given by the Company:

As at 31st March,	2023 Rs. Million	2022 Rs. Million
Letters of Comfort and guarantees provided on behalf of the subsidiaries;		
Ceymac Rubber Company Limited	99	99
Ceytra (Private) Limited	8	8
Kelani Valley Canneries Limited	90	90
Sunquick Lanka Properties (Private) Limited	-	-
	197	197
Short term loan facilities;		
Ceymac Rubber Company Limited	36	76
Kelani Valley Canneries Limited	113	70
	149	146

Notes to the Financial Statements contd.

These corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon PLC on behalf of the subsidiary companies Ceymac Rubber Company Limited, Ceytra (Private) Limited, Kelani Valley Canneries Limited and Sunquick Lanka Properties (Private) Limited for short-term loan facilities/temporary bridging short term loan facility, where repayment terms are less than 12 months.

(v) Kotagala Plantations PLC

Gazette Notification on Cultivation of Oil Palm

The Government of Sri Lanka through its gazette notification 2222/13 dated 5th April 2021 has directed to systematically remove the Oil Palm cultivation and nurseries already launched and utilize about 10% of the land under Oil Palm cultivation yearly for rubber planting or any other cultivation conducive to conservation of water resources.

The Management is of the view that further direction and guidance are required from the respective authorities in order to comply with the requirement of the said gazette. Hence no adjustments have been incorporated to the financial statements for the year ended 31st March 2023 in this regard due to unavailability of further guidance issued by respective industry associations and authorities to comply with the instructions given by the gazette notification.

37 GOING CONCERN

Group

Directors of the below Subsidiary Companies are confident that the financial position of the following subsidiaries of the Group will significantly improve during the year 2023/24 as a result of expected better financial performance. Accordingly, the Directors of the Companies are of the view that the below Subsidiaries are able to continue as a going concern and the Financial Statements have been prepared on the assumption on the basis that the Companies are going concern.

(i) Lankem Developments PLC (LDPLC)

The Company's (LDPLC) current liabilities exceeds its current assets by Rs.598 million. Its accumulated losses as of 31st March 2023 was Rs. 14 million (2022: Rs. 780.9 million). This factor raised concerns over the appropriateness of the use of going concern assumption of the preparation of financial statements of the Company. However, the Board of Directors of the Company has determined that the use of going concern assumption in the preparation of financial statements of the Company for the year ended 31st March 2023 is appropriate based on the following factors.

As disclosed in Note 1.2 to the financial statements, the Company's principal operation is to manage its investments portfolio. Carrying amount of the investment in Agarapatana Plantations Limited ("APL") represents approximately 95% of the carrying value of the Company's investment in subsidiaries. The Company has recognized a reversal of Rs.688 million (2022: Rs 139.4 million) on the impairment of its investment in APL for the year ended 31st March 2023.

The management of APL has taken several steps to improve its profitability which comprises of investment initiatives on mechanization relating to plucking process to overcome the issue of worker shortage and proper application of agricultural inputs. Actions taken by the management of APL together with the positive market conditions have already resulted in a substantial improvement in the operational results of APL for the year ended 31st March 2023.

(ii) Kotagala Plantations PLC (KPPLC)

The Directors have made an assessment of the company's ability to continue as a going concern in the foreseeable future and they do not foresee a need for liquidation or cessation of trading.

In preparing these financial statements, the management has assessed the existing and anticipated effect of volatile and uncertain economic conditions and on the Company and appropriateness of the use of the going concern basis.

(iii) Consolidated Tea Plantations Limited

The financial statements of the Company have been prepared on the assumption that the Company is a going concern. However, the company's current liabilities exceeded its current assets by Rs.1,494 million (2022- Rs.1,229 million) and net assets are less than half of the stated capital of the company which is a serious loss of capital as per section 220 of the companies Act No 07 of 2007. Further, company revenue generation is mainly depending on dividend income from its subsidiaries. However, there were no dividend income received from its subsidiaries since 2017. The directors are of the opinion that the financial supporting from related parties will mitigate this situation.

(iv) Lankem Tea & Rubber Plantations (Private) Limited

The financial statements of the Company have been prepared on the assumption that the Company is a going concern. The Company's main revenue source of management fee is derived from Agarapatana Plantations Limited and Kotagala Plantations PLC. However, due to unfavorable market and industry conditions faced by the Plantation Companies, the Board of Directors of the Company has resolved to suspend the charging of management fee on a temporary basis. Accordingly, there were no revenue generation/ income received since 2016. Therefore, Company is mainly depending on the support from borrowings from the financial institutions and related parties.

(v) Union Commodities (Private) Limited

The Company and Group has incurred a loss of Rs. 717 million each during the year ended 31st March, 2023 (2022 Rs.954 million and Rs.957 million) and as of that date, the Company and the Group accumulated losses amounted to Rs. 2,842 million and Rs. 2,775 million (2022 Rs.2,129 million and 2,062 million). Further, the Company and the Group current liabilities exceeded its current assets by Rs.1,580 million and Rs. 1,515 million (2022 Rs.1,086 and Rs.1,020 million).

Management made an assessment of the Group's ability to continue as a going concern. The financial statements have been prepared on the going concern basis because the management have assessed the source of funding available and consolidation of core business and growth plans.

In assessing the appropriateness of the use of going concern basis of according in the preparation of financial statements the Board of Directors conducted a comprehensive review of the Group's affairs including, but not limited to:

- The cashflow forecast of the Group for the period upto next 12 months.
- The Group's ability of settling the outstanding bank loans, lease rental, statutory payables and other liabilities when they fall due.
- Revenue and profitability forecasts for the Group not limited to next financial year, but having an outlook beyond 31st March, 2024, and
- The continued support of the ultimate parent company.
- Impact of rapid change in macro economic factors.

Group's rigorous strategies aimed at increase in capacity and quality intend to decrease the losses and therefore the accumulated losses. The workflow of factories are re-invented to keep the minimum stock balance to improve the liquidity. Further, to improve the financial position of the Group the Management have taken several steps such as Restructure of short-term borrowings to long term borrowings and extending of current tenor period with the borrowing institutions etc.

As a consequence of the above, the Management firmly believe that the Group will be able to continue as a going concern in to the foreseeable future and, accordingly, the Financial Statements of the Group have been prepared on a going concern basis without making adjustments that may be required to the recorded assets and the classification of liabilities if the Group is unable to continue as a going concern.

(vi) York Arcade Holdings PLC

The Company suspended commercial operations on discontinuance of the lease with The Colombo Fort Land & Building PLC on 31st August 2017. The Board of Directors is currently evaluating the various business opportunities. Therefore, the consideration of going concern is appropriate as the Company will continue the business operations.

(vii) Sigiriya Village Hotels PLC

I. Increase in interest rates

LKR interest rates in the domestic market moderated during the period ended June 30, 2023 with the policy measures adopted by CBSL. However, the elevated market interest rates result in adverse implications on the Company's interest cost. The LKR interest rates are expected to decline further with the 5th July policy rate adjustment of 200BP announced by the Central Bank of Sri Lanka and this is expected to reduce further with the deceleration of inflation in the domestic economy, coupled with the resultant improvement of the country's economic condition with the engagement of the IMF program.

The following measures were taken to reduce the impact of increase in interest rates;

Keeping the borrowings to a minimal level and manage the working capital to improve liquidity of the Company to reduce the borrowing costs. Expediting the collections from the debtors to enhance Company liquidity

Notes to the Financial Statements contd.

II. Fluctuation of foreign currency and significant rupee depreciation

The LKR appreciated during the quarter ended June 30, 2023 from 318LKR/USD to 301 levels with the lack of demand for USD in the market as CBSL did not buy USD from the market due to non-payment of foreign loans and other corrective measures adopted by the policymakers. This sudden appreciation impacted the revenues. The economic shocks by the higher tax rates and heightened utility prices also reduced the purchasing power of the local clientele impacting the revenue adversely. However, the utility costs for the Hotels are expected to decrease with the proposed tariff reduction and the costs are also expected to go down with the decelerating inflation and the opening up of import restriction which will make the products to price more competitively.

The following measure was taken to reduce the volatility of exchange rate;

Pricing was amended with special attention to the forecasted exchange rate and expected business volumes.

III. Other Considerations

During the quarter under review, the hotel operated with Local and foreign travellers as tourism was recovering back to normalcy. The country was recovering from the severe financial downturn experienced last year and the hotel was focusing on its usual markets for business which was promising and showing positive signs.

(viii) Beruwala Resorts PLC

In determining the basis of preparing the financial statements for the year ended 31 March 2023, based on available information, the management has assessed the existing and anticipated effects of the uncertainty on the Group Companies and the appropriateness of the use of the going concern basis. In March 2023, the Group evaluated the resilience of its businesses considering a wide range of factors under multiple stress tested scenarios, relating to expected revenue streams, cost management, profitability, the ability to defer nonessential capital expenditure, debt repayment schedules, if any, cash reserves and potential sources of financing facilities, if required, and the ability to continue providing services to ensure businesses continue as least impacted as possible.

The Directors have made an assessment on the Company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. In determining the above significant management judgements, estimates and assumptions the impact of the Country's financial crisis has been considered as of reporting date and specific considerations have been disclosed under the relevant notes.

Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or cease operations of the Company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

(ix) Marawila Resorts PLC

The Company has incurred a loss of Rs.165 million (2022: Rs.196 million) during the year ended 31st March 2023 and as at that date the Company's accumulated loss was Rs.1,028 million (2022: Rs.744 million) and the current liabilities exceeded its current assets by Rs.284 million (2022: Rs.257 million).

The Board of Directors of the Company is of the opinion that the going concern assumption is appropriate in the preparation of financial statements as at 31st March 2023 due to future growth potential of the Company and continuous financial support from the parent entity Lankem Ceylon PLC and available financing arrangements.

38 EVENTS OCCURRING AFTER THE REPORTING DATE

COMPANY

38.1 Subsequent to the reporting period, no circumstances have arisen that would require adjustments to/or disclosure in the financial statements other than those disclosed below.

(i) The Directors of The Colombo Fort Land & Building PLC have recommended the payment of a First & Final Dividend of Rs.0.25 per ordinary share which will be declared at the Annual General Meeting to be held on 27th September 2023. In accordance with the Sri Lanka Accounting Standard (LKAS) 10 - "Events Occurring After the Reporting Date", this proposed dividend has not been recognised as a liability as at 31st March, 2023.

(ii) Subsequent to the Reporting date Guarantees issued by the Company on behalf of its Subsidiary amounts to Rs. 5 million .

38.2 Group

(i) E.B Creasy & Company PLC

Cross Corporate Guarantees were executed by both E. B. Creasy & Co. PLC and Darley Butler & Co. Limited in mutual favour with effect from 30.03.2023 for a value of Rs.1,000 Million for interchangeable banking facilities offered by Amana Bank PLC. As such, both E. B. Creasy & Co. PLC and Darley Butler & Co. Limited are eligible to use the said banking facilities for their respective working capital requirements interchangeably.

(ii) Lankem Ceylon PLC (LCPLC)

Restructure of Ownership - J.F. Packaging Limited

The Board of Directors of Lankem Ceylon PLC have resolved on 19 July 2023 the sale of the Company's 100% equity stake in J F Packaging Limited (JFP) to subsidiary company ACME Printing & Packaging PLC (ACME). The Boards of the two companies have agreed on a consideration of Rs.4,515,000,000/- for the proposed transaction and have also agreed for the settlement of the said consideration by a private placement to the Company of 430,000,000 ordinary shares of ACME, priced at Rs. 10.50 per share subject to the approval of the Securities and Exchange Commission being obtained by ACME for a waiver under Rule 5.4(b) of the Listing Rules. The private placement of shares would increase the aggregate holding of the Company in ACME to 86.45% and would synergize the ACME and JFP lines of business, whilst consolidating all the businesses in the packaging cluster of the group under one holding company to help the group maximize the synergies of operating as one cluster. The transaction constitutes a major transaction in terms of Section 185 of the Companies Act No.7 of 2007 and is subject to the Company obtaining approval of the Shareholders at General meeting.

The Directors of Lankem Ceylon PLC have recommended the payment of a first and a final dividend of Rs.10/- per ordinary share amounting to Rs. 514,707,570/- for the year ended 31st March 2023 for approval by the shareholders at the Annual General Meeting to be held on 25th September 2023. In accordance with the Sri Lanka Accounting Standard 10 (LKAS 10) "Events after the Reporting Period", this proposed dividend has not been recognised as a liability as at 31st March 2023.

(iii) C.W. Mackie PLC

The Directors of C. W. Mackie PLC recommended the payment of a first and final dividend of Rs.12/- per ordinary share amounting to Rs.431,862,672/- for the year ended 31 March 2023 which was approved by the shareholders at the Annual General Meeting held on 27 July 2023. In accordance with the Sri Lanka Accounting Standard 10 (LKAS 10) "Events after the Reporting Period", this proposed dividend has not been recognised as a liability as at 31 March 2023.

(iv) Beruwala Resorts PLC

Beruwala Resorts PLC, a subsidiary of the group on 25th July 2023 announced a Rights Issue of Three Hundred Million (300,000,000) ordinary shares at a price of Rs. 1.20 per share in the proportion of 01 new ordinary share for every 02 existing issued ordinary shares held, subject to approval by the shareholders.

(v) Agarapatana Plantations Limited (APL)

The Initial Public Offering of Agarapatana Plantations Ltd.(APL) for 83,070,111 Ordinary Voting Shares at Rs. 9/- per share opened on 10th August, 2023 and the Issue having been oversubscribed closed on the same day. As per Colombo Stock Exchange (CSE) Circular dated 29.08.2023, 500,000,000 issued ordinary voting shares of Agarapatana Plantations Limited are to be listed effective 04.09.2023 on the Diri Savi Board of the CSE and will be classified under "3020 - Food, Beverage & Tobacco" sector.

(vi) Marawila Resorts PLC

Marawila Resorts PLC has made a Rights Issue of 152,000,000 Ordinary Shares at a price of Rs. 2.00 per share to the holders of the issued ordinary shares of the Company as at the end of trading on 24th March 2023, in the proportion of Two (02) new Ordinary Shares for every Three (03) existing issued ordinary shares held in the capital of the Company. The issue closed on 25th April 2023. The total number of shares subscribed for on the Rights Issue was 123,923,389 and the total consideration received was Rs. 247,846,778.00. The purpose of the Rights Issue was to raise funds for the settlement of an intercompany borrowing, partial settlement of bank borrowings and for working capital requirements.

Notes to the Financial Statements contd.

39 ECONOMIC CONSIDERATIONS

During the first half of 2022 all key sectors contracted, amid shortages of inputs and supply chain disruptions with the economic crisis. The core inflation (National Consumer Price Index) accelerated sharply from mid-2022 and reached 57% by the end of 2022. This reflects the impact of rising commodity prices, monetization of the fiscal deficit and currency depreciation. From January 2023 onwards the year on year core inflation rate started to drop slightly whereas in March 2023 the year on year inflation rate is 44%. the outlook for the global economy took a positive turn in the first half of 2023 as inflationary pressure began to ease, but ongoing political tensions and domestic challenges in key markets are slowing any return to sustained growth of the business. Further global energy prices returning to levels last seen prior to the invasion of Ukraine, combined with easing commodity and food prices, have helped put further downward pressure on inflation for the rest 2023.

Lock down restrictions imposed time to time as a measure to control the spread of the pandemic and the challenges imposed from the macroeconomic front caused disruptions to the business operations and delays in recovery of debts. However, the Group's overall business was not significantly impacted. No significant increase in credit risk was identified in respect of receivables.

As the situation is evolving, the effects of these challenges are subject to uncertainty, with the full range of possible effects currently unknown. However, the management is vigilant on social and economic variables, and will continue to monitor and assess the impact and likelihood of both risks and opportunities.

40 NON CONTROLLING INTERESTS IN SUBSIDIARIES

The following table summarises the information relating to subsidiaries that have material non controlling interest (NCI), before any intra-group eliminations.

	31.03.2023			31.03.2022		
	Trading Companies	Leisure and Other	Plantation	Trading Companies	Leisure and Other	Plantation
Revenue	72,576,581	3,137,879	13,537,608	49,148,396	1,736,587	7,983,311
Operating Profit / (Loss)	11,644,510	214,188	5,462,990	4,209,241	(99,420)	920,435
Finance Cost	(5,052,540)	(551,439)	(624,902)	(2,414,918)	(414,858)	(528,434)
Income Tax	(995,525)	(156,815)	(1,138,263)	(599,693)	3,114	51,865
Profit/ Loss After Tax	5,596,445	(494,066)	3,699,825	1,194,630	(511,164)	443,866
Total Comprehensive Income	6,279,598	(876,511)	3,348,961	2,241,934	(284,737)	1,325,139
Profit/ (Loss) allocated to NCI	1,879,618	(504,969)	1,544,379	948,987	(123,495)	593,917
Non Current Assets	18,184,517	4,286,473	9,470,917	15,823,803	4,693,056	9,747,048
Current Assets	29,030,791	2,877,137	3,557,520	26,077,769	2,553,697	2,856,998
Total Assets	47,215,308	7,163,610	13,028,437	41,901,572	7,246,753	12,604,046
Non Current Liabilities	11,350,395	2,617,371	6,523,567	8,404,343	1,811,105	5,262,344
Current Liabilities	27,678,666	3,897,395	7,535,105	27,287,777	4,629,609	9,704,726
Total Liabilities	39,029,061	6,514,766	14,058,672	35,692,120	6,440,714	14,967,070

Names of Significant Subsidiaries With Material Non Controlling Interest (NCI)

Sectors	Principal Place of Business	NCI Effective Holding	
		2023	2022
Trading Companies			
E. B. Creasy & Company PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	40.11%	40.09%
Lankem Ceylon PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	27.72%	27.34%
Colonial Motors Ceylon Limited	297, Union Place, Colombo 02	44.17%	44.17%
C M Holdings PLC	297, Union Place, Colombo 02	34.48%	34.32%
Muller & Phipps (Ceylon) PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.27%
Pettah Pharmacy (Private) Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.27%
E. B. Creasy Logistics Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.11%	40.09%
Darley Butler & Company Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.11%	47.02%
Candy Delights Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.11%	47.02%
Laxapana Batteries PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	59.11%	59.10%
C. W. Mackie PLC	No.36, D.R.Wijewardena Mawatha, Colombo 10	58.78%	57.93%
Lankem Paints Limited	Nawam Mawatha, Colombo 2	27.72%	27.34%
Lanka Special Steels Limited	No. 53A, Ward Place, Colombo 07	40.11%	40.09%
Ceylon Tapes (Private) Limited	No. 10/2 Raja Mawatha, Kanuwana, Ekala, Ja-ela.	13.18%	13.00%
JF Packaging Limited	No. 306, Minuwangoda road, Kotugoda.	27.72%	27.34%
ACME Printing and Packaging PLC	No. 98, Sri Sangaraja Mawatha, Colombo 10	49.90%	45.89%
Leisure and Other			
Sigiriya Village Hotels PLC	Sigiriya	52.53%	55.01%
Marawila Resorts PLC	Thalwilawella, Thoduwwa, Marawila	59.36%	61.08%
Colombo Fort Hotels Limited	8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01	24.79%	28.59%
Galle Fort Hotel (Private) Limited	Galle	24.79%	28.59%
Baruwala Resorts PLC	Moragalla, Beruwala	43.81%	46.66%
BOT Hotel Services (Private) Limited	8-2/1, Leyden Bastian Road, York Arcade Building, Colombo 01	38.29%	41.00%
Waverly Power (Private) Limited	Agarapatana - Nuwara Eliya District	55.33%	42.27%
Plantation			
Kotagala Plantations PLC	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	51.44%	51.34%
Agarapatana Plantations Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	55.33%	56.32%
Lankem Development PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	53.96%	53.80%
Lankem Tea & Rubber Plantations (Private) Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	13.35%	13.16%

41. OPERATING SEGMENTS

	Trading of Consumer Products			Trading of Industrial Products			Leisure			Plantations			Others			Total		
	2023		2022	2023		2022	2023		2022	2023		2022	2023		2022	2023		2022
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Revenue	51,457,885	34,931,692	21,118,696	14,216,704	1,227,121	667,250	13,537,608	7,983,311	2,019,591	1,175,658	89,360,901	58,974,615						
Inter Segment Eliminations	(10,722,467)	(7,095,249)	(1,175,686)	(120,932)	(30)	26,226	(3,674)		(378,195)	(228,397)	(12,280,052)	(7,418,352)						
Revenue from External Customers	40,735,418	27,836,443	19,943,010	14,095,772	1,227,091	693,476	13,533,934	7,983,311	1,641,396	947,261	77,080,849	51,556,263						
Segment Results after Eliminations	5,610,833	2,037,549	3,084,189	1,049,294	129,099	(2,359)	4,435,064	961,218	8,846	(141,149)	13,268,032	3,904,553						
Gain from Bargain Purchase	-	-	-	-	-	-	-	-	-	-	-	-						
Finance Expenses	(3,343,069)	(1,749,147)	(1,709,471)	(665,771)	(348,447)	(357,782)	(624,902)	(528,434)	(249,074)	(83,379)	(6,274,963)	(3,384,513)						
Share of Results of Associate	-	-	-	-	-	-	-	-	18,185	11,663	18,185	11,663						
Share of Results of Joint Venture	(165,413)	(127,808)	-	-	-	-	-	-	-	-	(165,413)	(127,808)						
Profit Before Tax	2,102,351	160,593	1,374,718	383,523	(219,348)	(360,141)	3,810,162	432,784	(222,043)	(212,865)	6,845,839	403,895						
Taxation	(747,927)	(496,876)	(247,598)	(102,817)	(93,347)	26,917	(1,138,263)	51,864	(86,493)	(31,283)	(2,313,628)	(552,195)						
Profit for the Year	1,354,424	(336,283)	1,127,120	280,706	(312,695)	(333,224)	2,671,899	484,649	(308,536)	(244,147)	4,532,212	(148,300)						
Equity Holders of the Parent	1,007,532	(485,250)	91,610	13,188	11,485	(80,125)	1,637,959	458,441	(402,409)	(257,544)	2,346,178	(351,290)						
Non Controlling Interest	346,892	148,967	1,035,509	267,518	(324,180)	(253,099)	1,033,940	26,207	93,873	13,397	2,186,034	202,991						
Total	1,354,424	(336,283)	1,127,120	280,706	(312,695)	(333,224)	2,671,899	484,649	(308,536)	(244,147)	4,532,212	(148,300)						
Depreciation and amortisation	472,233	417,154	595,858	243,242	104,535	118,313	481,028	528,164	56,286	48,147	1,709,939	1,355,019						
Property, Plant & Equipments - Additions	880,779	1,313,245	1,666,209	317,280	60,048	106,850	638,570	420,585	24,927	19,197	3,270,533	2,177,156						
Non-Current Assets																		
Property, Plant & Equipment	9,272,980	8,550,461	4,826,829	3,724,773	4,922,131	4,963,748	5,355,307	5,596,644	247,098	263,311	24,624,345	23,098,939						
Leasehold Properties	-	-	-	-	-	-	793,667	791,083	-	-	793,667	791,084						
Right to use of Assets	546,248	472,776	180,867	138,582	50,734	45,703	-	-	36,163	40,554	814,012	697,615						
Investment Properties	1,432,588	1,492,625	296,682	345,148	181,551	181,551	-	-	801,743	799,851	2,712,565	2,819,176						
Biological Assets	-	-	-	-	-	-	3,317,885	3,133,550	-	-	3,317,885	3,133,550						
Investment in Associates & joint Venture	-	163,547	-	-	-	-	-	-	658,240	366,940	658,240	530,487						
Other Long-Term Investments	856,029	419,148	1,848	2,019	2,053	973	4,059	225,772	5,907	6,662	869,896	654,571						
Retirement Benefit Obligations																		
- Plan Assets	46,970	38,543	53,893	46,017	-	-	-	-	-	-	100,863	84,560						
Deferred Tax Assets	103,754	239,119	536,243	308,310	-	-	-	-	14,858	10,125	654,855	557,554						
	12,258,570	11,376,218	5,896,361	4,564,849	5,156,469	5,191,975	9,470,918	9,747,049	1,764,010	1,487,443	34,546,325	32,367,535						

	Trading of Consumer Products		Trading of Industrial Products		Leisure		Plantations		Others		Total	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000	Rs:000
41. OPERATING SEGMENTS (CONTD.)												
Goodwill			-	-	-	-	-	-	-	-	669,701	669,701
Income Tax Recoverable	49,284	32,066	27,381	42,937	714	714	4,354	4,164	1,128	9,562	82,861	89,443
Non-Current Liabilities												
Interest-Bearing Borrowings	4,666,661	4,060,216	3,305,828	2,318,948	1,385,616	1,112,920	2,671,921	2,404,108	271,243	321,702	12,301,269	10,217,894
Capital Grants	4,136	4,582	317	470	-	-	499,687	520,698	-	-	504,140	525,750
Deferred Tax Liabilities	1,395,517	701,813	552,257	170,802	1,043,229	479,023	1,554,739	548,439	238,385	186,189	4,789,127	2,086,266
Retirement Benefit Obligations	1,150,386	918,252	275,293	229,260	31,258	43,295	1,797,220	1,789,099	22,817	25,807	3,276,975	3,005,714
Rent Received in Advance	-	-	-	-	-	-	-	-	-	-	-	-
	7,216,700	5,684,863	4,133,695	2,719,480	2,460,103	1,635,238	6,523,567	5,262,344	532,445	533,698	20,866,511	15,835,624
Current Liabilities												
Income Tax Payables	765,066	163,716	144,953	95,709	55,716	37,811	82,035	104,224	122,175	102,411	1,169,945	503,872

Group Financial Summary

As at 31st March,	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
								Restated	Restated	Restated

TRADING RESULTS

Group Revenue	77,080,849	51,556,263	43,231,519	36,230,793	41,689,356	43,293,386	41,016,474	36,860,104	35,384,600	35,029,794
Profit/(Loss) before Tax	6,845,840	403,895	493,199	(3,708,626)	(3,360,071)	(155,716)	(916,447)	(518,466)	85,726	53,749
Income Tax Expense	(2,313,628)	(552,195)	(547,871)	2,377	195,450	(152,561)	(161,816)	(161,751)	(334,213)	(329,384)
Profit/(Loss) for the Period	4,532,211	(148,300)	(54,672)	(3,706,249)	(3,164,621)	(308,277)	(1,078,263)	(680,217)	(248,487)	(275,635)
Other Comprehensive Income	(1,164,100)	2,048,994	674,170	(176,665)	4,884,082	(227,573)	339,965	224,102	58,039	(142,790)

Attributable to:

Equity Holders of the Parent	1,706,998	617,539	(109,995)	(3,100,616)	511,909	(609,384)	(740,430)	(236,610)	208,795	(94,546)
Non - Controlling Interest	1,661,115	1,283,155	729,494	(782,298)	1,207,552	73,534	2,132	(219,505)	(399,243)	(323,879)
	3,368,112	1,900,694	619,498	(3,882,914)	1,719,461	(535,850)	(738,298)	(456,115)	(190,448)	(418,425)

CAPITAL EMPLOYED

Stated Capital	927,000	927,000	730,368	730,368	327,000	327,000	327,000	327,000	327,000	327,000
Capital Reserves	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058
Revenue Reserves	4,832,390	2,966,249	2,066,618	2,188,359	5,181,961	4,779,872	6,539,747	7,358,967	7,717,790	7,477,502
	5,779,448	3,913,307	2,817,044	2,938,785	5,529,019	5,126,930	6,886,805	7,706,025	8,064,848	7,824,560
Non - Controlling Interest	5,744,584	4,644,964	3,706,309	3,019,296	4,220,461	3,159,291	4,003,925	4,246,250	4,443,556	4,993,804
Total Equity	11,524,032	8,558,271	6,523,353	5,958,081	9,749,480	8,286,221	10,890,730	11,952,275	12,508,404	12,818,364
Total Debt	30,040,995	28,624,023	23,670,675	23,528,089	21,652,546	22,893,299	19,675,316	18,135,808	15,064,936	12,477,962
	41,565,027	37,182,294	30,194,028	29,486,170	31,402,026	31,179,520	30,566,046	30,088,084	27,573,340	25,296,326

ASSETS EMPLOYED

Property, Plant & Equipment	24,624,345	23,098,939	21,480,579	21,784,218	24,526,759	19,330,577	19,440,906	18,989,573	18,522,474	16,039,000
Other Non-Current Assets	10,618,280	9,970,847	9,483,585	9,464,555	7,147,281	5,699,579	4,761,462	4,485,260	4,384,477	3,569,478
Current Assets	28,564,723	22,678,911	18,871,185	15,300,504	16,999,784	19,512,494	17,493,433	17,012,222	16,728,532	15,832,651
Assets Held for Sale	-	30,000	60,000	67,365	67,365	60,000	207,956			
Liabilities Net of Debt	(31,416,805)	(31,384,803)	(27,861,510)	(25,332,555)	(25,292,317)	(24,671,381)	(21,143,353)	(19,478,040)	(17,480,580)	(15,287,631)
	32,390,543	24,393,895	22,033,840	21,284,087	23,448,873	19,931,269	20,760,404	21,009,015	22,154,903	20,153,498

CASH FLOW

Net Cash Generated from/ (used in) :

Operating Activities	786,743	(1,346,890)	1,527,870	(1,941,991)	1,684,826	(484,935)	726,188	(1,904,014)	(1,386,736)	1,643,947
Investing Activities	(2,598,107)	(1,172,152)	(757,357)	(7,214)	(1,179,861)	(2,238,075)	(1,887,804)	(1,400,615)	(3,421,836)	(1,345,360)
Financing Activities	1,142,761	4,249,345	61,818	1,537,321	(1,392,370)	2,999,320	1,264,414	2,303,916	2,278,260	217,398

INVESTOR'S INDICATORS

Earnings/(Loss) per Share (Rs.)	9.78	(1.48)	(2.35)	(12.08)	(12.08)	(2.78)	(4.89)	(1.73)	0.32	(0.83)
Net Asset/(Liability) per Share (Rs.)	24.08	21.74	15.65	30.72	30.72	28.48	38.26	42.81	44.80	43.47
Price Earnings Ratio (Times)	2.67	(8.94)	(5.49)	(1.12)	(1.12)	(6.91)	(3.70)	(11.28)	79.83	(30.73)

KEY INDICATORS

Market Value per Share (Rs.)	26.10	13.20	12.90	7.10	13.50	19.20	18.10	19.50	25.20	25.50
Market Capitalisation (Rs.'000)	6,264,000	3,168,000	2,842,345	2,430,000	2,430,000	3,456,000	3,258,000	3,510,000	4,536,000	4,590,000
Current Ratio (Times)	0.48	0.43	0.39	0.40	0.40	0.49	0.51	0.53	0.62	1.04
Interest Cover	2.09	1.12	1.19	0.03	0.03	0.94	0.57	0.67	1.06	1.03

Share Information

Distribution of Shareholding

No. of Shares Held	As At 31st March 2023			As At 31st March 2022		
	No. of Shareholders	Total Holding	Holding %	No. of Shareholders	Total Holding	Holding %
1 - 1,000	1,426	444,498	0.19	1,294	389,677	0.16
1,001 - 10,000	831	3,419,740	1.43	713	2,803,458	1.17
10,001 - 100,000	321	10,365,125	4.31	249	7,640,770	3.19
100,001 - 1,000,000	77	23,962,475	9.98	70	21,199,891	8.83
Over 1,000,000	23	201,808,162	84.09	22	207,966,204	86.65
	2,678	240,000,000	100.00	2,348	240,000,000	100.00

Analysis of Ordinary Shareholders

	As At 31st March 2023			As At 31st March 2022		
	No. of Shareholders	Total Holdings	%	No. of Shareholders	Total Holdings	%
Individuals	2,477	34,577,999	14.41	2,166	29,502,856	12.29
Institutions	201	205,422,001	85.59	182	210,497,144	87.71
	2,678	240,000,000	100.00	2,348	240,000,000	100.00

PUBLIC HOLDING

The percentage of shares held by the public as at 31st March 2023 was 33.48% (2022 – 33.66%)

PUBLIC SHAREHOLDERS

The number of Public Shareholders as at 31st March 2023 were 2,659. (2022 – 2,330)

FLOAT ADJUSTED MARKET CAPITALISATION

The applicable option under Colombo Stock Exchange Rule 7.14.1 (i) (a) on Minimum Public Holding is Option 5 and the Float Adjusted Market Capitalisation as at 31st March 2023 was Rs.2,097,187,200/-.

MARKET VALUE OF SHARES

	2022/2023 Rs.	2021/2022 Rs.
Highest	34.20	28.90
Lowest	9.20	12.00
Market Value as at the Year end	26.10	13.20

NET ASSETS PER SHARE

	Rs.
31.03.2023	9.65
31.03.2022	9.00

Share Information contd.

TWENTY MAJOR SHAREHOLDERS

Position	Full Name of the Shareholder	31.03.2023		31.03.2022	
		No. of Shares	Share Percentage	No. of Shares	Share Percentage
1	Property and Investment Holdings (Private) Limited	40,153,059	16.73%	40,153,059	16.73%
2	Colombo Investment Trust PLC	31,149,717	12.98%	30,117,969	12.55%
3	Colombo Fort Investments PLC	26,863,895	11.19%	26,727,282	11.14%
4	Financial Trust Limited	26,724,863	11.14%	27,899,295	11.62%
5	Capital Investments Limited	23,084,375	9.62%	23,084,375	9.62%
6	Corporate Holdings (Pvt) Ltd A/C No.02	9,099,080	3.79%	9,099,080	3.79%
7	Sampath Bank PLC/ Dr.T.Senthilveri	8,910,442	3.71%	15,410,442	6.42%
8	Seylan Bank PLC/Arunasalam Sithampalam	5,700,000	2.38%	5,700,000	2.38%
9	Corporate Holdings (Pvt) Ltd A/C No.01	5,185,945	2.16%	5,185,945	2.16%
10	Union Investments (Private) Ltd	4,300,000	1.79%	4,300,000	1.79%
11	Mr. Sanjeev Rajaratnam	2,225,000	0.93%	2,000,000	0.83%
12	Seylan Bank PLC/Senthilveri Holdings (Pvt) Ltd	2,158,691	0.90%	684,737	0.28%
13	Hatton National Bank PLC/Almas Holdings (Private) Limited	2,127,947	0.89%	-	-
14	Jacey Trust Services (Private) Limited-Account No 01	1,858,500	0.77%	1,858,500	0.77%
15	Miss Andal Radhakrishnan	1,800,000	0.75%	1,800,000	0.75%
16	Miss Meenambigai Priyadarshini Radhakrishnan	1,800,000	0.75%	1,800,000	0.75%
17	C M Holdings PLC	1,500,000	0.62%	1,500,000	0.62%
18	Hatton National Bank PLC/Anushman Rajaratnam	1,429,601	0.60%	1,638,766	0.68%
19	Mr. Nandadeva Perera	1,395,000	0.58%	1,932,470	0.81%
20	Sampath Bank PLC/Mr. Abishek Sithampalam	1,175,066	0.49%	1,175,066	0.49%
	Total	198,641,181	82.77%	202,066,986	84.18%

Notes

Notes

Notice of Meeting

Notice is hereby given that the One Hundred and Twenty Fourth Annual General Meeting of The Colombo Fort Land & Building PLC will be held on 27th September 2023 at 11.00 a.m. and conducted as a Virtual Meeting from 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, and the business to be brought before the meeting will be:

1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2023 with the Report of the Auditors thereon.
2. To declare a First and Final Dividend of Rs. 0.25 per share as recommended by the Directors.
3. To re-elect Mr. P.M.A. Sirimane who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
4. To re-elect Mr. S. Rajaratnam who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
5. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No.04).
6. To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No.05).
7. To reappoint Mr. S.D.R. Arudpragasam as a Director. As Mr. S.D.R. Arudpragasam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a resolution which is set out below in relation to his reappointment (see Note No.06).
8. To reappoint Mr. A.R. Rasiah as a Director. As Mr. A.R. Rasiah is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a resolution which is set out below in relation to his reappointment (see Note No.07).
9. To authorise the Directors to determine contributions to Charities.
10. To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.

By Order of the Board,
Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
04th September, 2023

Notice of Meeting contd.

Note:

1. A member is entitled to appoint a Proxy to attend and vote in his/her stead and a Proxy need not be a member of the Company. A Form of Proxy is enclosed with this Report. The instrument appointing a Proxy must be completed and deposited at the Registered Office of the Company, not less than forty- eight hours before the time fixed for the meeting.
2. Members are encouraged to vote by Proxy through the appointment of a member of the Board of Directors to represent them and vote on their behalf. Members are advised to complete the Form of Proxy and their voting preferences on the specified resolutions to be taken up at the meeting and submit the same to the Company in accordance with the instructions given on the reverse of the Form of Proxy.
3. Please refer the CSE website and the "Circular to Shareholders" dated 04th September, 2023 for further instructions relating to the Annual General Meeting and for joining the Meeting virtually.
4. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.M. de S. Jayaratne, as an Ordinary Resolution at the Annual General Meeting of the Company:
"Resolved –
That Mr. A.M. de S. Jayaratne who is eighty three years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A.M. de S. Jayaratne."
5. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. C.P.R. Perera as an Ordinary Resolution at the Annual General Meeting of the Company:
"Resolved –
That Mr. C.P.R. Perera who is seventy nine years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. C.P.R. Perera."
6. Special Notice has been received by the Company from a shareholder giving notice of the intention to move the following Resolution regarding the reappointment of Mr. S.D.R. Arudpragasam as an Ordinary Resolution at the Annual General Meeting of the Company:
"Resolved –
That Mr. S.D.R. Arudpragasam who is seventy two years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of seventy years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Director, Mr. S.D.R. Arudpragasam."
7. Special Notice has been received by the Company from a shareholder giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.R. Rasiah as an Ordinary Resolution at the Annual General Meeting of the Company:
"Resolved –
That Mr. A.R. Rasiah who is seventy seven years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of seventy years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Director, Mr. A.R. Rasiah."

Form of Proxy

I/We of

 being a member/members of THE COLOMBO FORT LAND & BUILDING PLC hereby appoint
 of
 whom failing

- | | |
|---------------------------------------|----------------------------|
| 1. Sri Dhaman Rajendram Arudpragasam | of Colombo or failing him, |
| 2. Ajit Mahendra de Silva Jayaratne | of Colombo or failing him, |
| 3. Anushman Rajaratnam | of Colombo or failing him |
| 4. Chrisantha Priyange Richard Perera | of Colombo or failing him, |
| 5. Parakrama Maithri Asoka Sirimane | of Colombo or failing him, |
| 6. Sanjeev Rajaratnam | of Colombo or failing him, |
| 7. Albert Rasakantha Rasiah | of Colombo |

as my/our proxy to represent me/us, to speak and to vote on my/our behalf at the One Hundred and Twenty Fourth Annual General Meeting of the Company to be held on 27th September 2023 at 11.00 a.m. and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting.

	For	Against
1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March 2023 with the Report of the Auditors thereon.	☐	☐
2. To declare a First and Final Dividend of Rs.0.25 per share for the year ended 31st March 2023 as recommended by the Directors.	☐	☐
3. To re-elect Mr. P.M.A. Sirimane, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
4. To re-elect Mr. Sanjeev Rajaratnam who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
5. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
6. To reappoint Mr. C.P.R. Perera as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
7. To reappoint Mr. S.D.R. Arudpragasam as a Director. As Mr. S.D.R. Arudpragasam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
8. To reappoint Mr. A.R. Rasiah as a Director. As Mr. A.R. Rasiah is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
9. To authorize the Directors to determine contributions to charities.	☐	☐
10. To reappoint Messrs KPMG, Chartered Accountants, as Auditors and to authorize the Directors to determine their remuneration.	☐	☐

As witness my/our hand(s) this day of 2023.

.....
 Signature of Shareholder

Note:

1. A proxy need not be a member of the Company.
2. Please indicate with an X in the space provided how your proxy is to vote. If there is in the view of the proxy holder doubt (by reason of the way in which the instructions contained in the proxy have been completed) as to the way in which the Proxy holder should vote, the Proxy holder shall vote as he thinks fit.
3. Instructions as to completion appear on the reverse hereof.

INSTRUCTIONS AS TO COMPLETION OF FORM OF PROXY

1. To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, not less than 48 hours before the time appointed for the holding of the meeting.
2. In perfecting the Form of Proxy, please ensure that all details are legible.
3. Please indicate clearly how your Proxy is to vote on the resolution. If no indication is given the Proxy at his discretion may vote as he thinks fit.
4. In the case of Corporate Members, the Form of Proxy must be under seal or under the hand of an Authorised Officer or Attorney.
5. Where the Form of Proxy is signed under a Power of Attorney (POA) which has not been registered with the Company, the original POA together with a photocopy of the same, or a copy certified by a Notary Public must be lodged with the Company along with the Form of Proxy.

Corporate Information

S.D.R. Arudpragasam - *Chairman*
FCMA (U.K.)

C.P.R. Perera - *Deputy Chairman*

Anushman Rajaratnam - *Group Managing Director*
B.Sc. (Hons.), CPA, MBA

A.M. de S. Jayaratne
B.Sc. (Econ.), FCA (Eng. & Wales), FCA (ICASL)

P.M.A. Sirimane
FCA, MBA

S. Rajaratnam
B.Sc., CA

A.R. Rasiah
B.Sc. (Cey.), FCA

Name of the Company

The Colombo Fort Land & Building PLC

Legal Form

A Quoted Company with limited liability, incorporated under the provisions of the Joint Stock Companies Ordinance 1861 & 1888 on 30th April, 1895 and re-registered under the Companies Act No. 07 of 2007 on 3rd July, 2008.

Company No.

PQ172

Registered Office

No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 01.

Stock Exchange Listing

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

Bankers

Commercial Bank of Ceylon PLC
Standard Chartered Bank
Hatton National Bank PLC
Indian Bank
Sampath Bank PLC

Auditors

Messrs. KPMG, Chartered Accountants

Legal Advisers

Julius & Creasy Attorneys-at-Law

Tax Advisors

Messrs. KPMG, Chartered Accountants

Managers & Secretaries

Corporate Managers & Secretaries (Private) Limited
No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 1.
Tel: 011 2344485 - 9

Concept & Designed by



The Colombo Fort Land & Building PLC
Annual Report 2022/23